



HRVATSKA POŠTANSKA BANKA P.L.C.

(a public limited liability company incorporated and existing under the laws of the Republic of Croatia)

€150,000,000 4.125 per cent. Fixed Rate Reset Callable Senior Preferred Notes due 2029

The €150,000,000 4.125 per cent. Fixed Rate Reset Callable Senior Preferred Notes due 2029 (the "**Notes**") will be issued by Hrvatska poštanska banka p.l.c. (the "**Issuer**" or the "**Bank**") on 13 July 2026 (the "**Issue Date**"). The issue price of the Notes is 99.563 per cent. of their principal amount.

The Notes will bear interest from (and including) the Issue Date to (but excluding) the Reset Date at the rate of 4.125 per cent. per annum payable annually in arrear on 13 July in each year, starting on (and including) 13 July 2027. From and including the Reset Date, the Notes will bear interest at the Reset Rate of Interest determined in accordance with Condition 4 (*Interest Payments*). Payments on the Notes will be made in euro without deduction for or on account of taxes imposed or levied by the Republic of Croatia to the extent described under "*Terms and Conditions of the Notes – Condition 8 (Taxation)*".

Unless previously redeemed or purchased and cancelled or substituted, the Notes will be redeemed at their principal amount on 13 July 2029.

The Notes may be redeemed at the option of the Issuer if a Tax Event or an MREL Disqualification Event occurs or if, at any time, the outstanding aggregate principal amount of the Notes is 25 per cent. or less of the aggregate principal amount of the Notes originally issued (including, for these purposes, any Further Notes (as defined in the Conditions)). The Notes may also be redeemed on the Reset Date at the option of the Issuer. Any such redemption of the Notes would be in whole, but not in part, at their principal amount together with accrued and unpaid interest up to (but excluding) the date fixed for redemption. Any such redemption would be subject to Condition 5(b) (*Redemption, Substitution, Variation and Purchase – Conditions to Redemption, Substitution, Variation and Purchase*). See "*Terms and Conditions of the Notes – Condition 5 (Redemption, Substitution, Variation and Purchase)*".

Application has been made to the Luxembourg Stock Exchange for the Notes to be listed on the official list of the Luxembourg Stock Exchange (the "**Official List**") and to trading on the Euro MTF market (the "**Euro MTF Market**") of the Luxembourg Stock Exchange. References in this Offering Memorandum to the Notes being "listed" (and all related references) shall mean that the Notes have been admitted to the Official List and have been admitted to trading on the Euro MTF Market. The Euro MTF Market is not a regulated market for the purposes of Directive 2014/65/EU on markets in financial instruments (as amended, "**MiFID II**"). This Offering Memorandum is a prospectus for the purposes of Part IV of the Luxembourg law of 16 July 2019 on prospectuses for securities (the "**Prospectus Law**") and for the purposes of the admission to trading of the Notes on the Euro MTF Market in accordance with the rules and regulations of the Luxembourg Stock Exchange. This document does not constitute a prospectus for the purposes of Article 3 of Regulation (EU) 2017/1129 (the "**Prospectus Regulation**") and relevant measures supplementing the Prospectus Regulation in Luxembourg, and has been prepared for the purpose of admission to trading of the Notes on the Euro MTF Market.

The Notes have not been, and will not be, registered under the United States Securities Act of 1933, as amended (the "**Securities Act**") and, subject to certain exceptions, may not be offered or sold within the United States of America (the "**US**") or to or for the account or benefit of US persons, as defined in Regulation S under the Securities Act ("**Regulation S**"). For a description of certain restrictions on offers and sales of Notes and on distribution of this Offering Memorandum, see "*Subscription and Sale*".

The Notes will be issued in registered form and will be available and transferable in minimum denominations of €100,000 and integral multiples of €1,000 in excess thereof. The Notes will initially be represented by a global certificate in registered form (the "**Global Certificate**") which will be deposited with, and registered in the name of a nominee for, a common depositary for Euroclear Bank SA/NV ("**Euroclear**") and Clearstream Banking S.A. ("**Clearstream, Luxembourg**") on or prior to the Issue Date. Interests in the Global Certificate will be shown on, and transfers thereof will be effected only through, records maintained by Euroclear and Clearstream, Luxembourg. Except in limited circumstances as described herein, definitive certificates ("**Certificates**") for Notes will not be issued in exchange for interests in the Global Certificate. See "*Summary of Provisions relating to the Notes in Global Form*".

The Notes are expected to be assigned a rating of Baa3 by Moody's Investors Service Cyprus Limited ("**Moody's**") (of Porto Bello Building 1, Siafi Street, 3042 Limassol, PO Box 53205, CY 3301 Limassol, Cyprus). Moody's is established in the European Economic Area (the "**EEA**") and registered under Regulation (EC) No 1060/2009 on credit rating agencies (the "**EU CRA Regulation**"). Moody's appears on the latest update of the list of registered credit rating agencies (as of the date of this Offering Memorandum) published by ESMA, which can be found at <http://www.esma.europa.eu>. The rating Moody's is expected to give to the Notes will be endorsed by Moody's Investors Service Ltd., which is established in the UK and registered under Regulation (EU) No 1060/2009 on credit rating agencies as it forms part of domestic law in the UK by virtue of the European Union (Withdrawal) Act 2018 (as amended, "**EUWA**") (the "**UK CRA Regulation**").

A security rating is not a recommendation to buy, sell or hold securities and may be subject to suspension, reduction or withdrawal at any time by the assigning rating agency.

The Reset Rate of Interest in respect of the Notes will be (subject as provided in Condition 4 (*Interest Payments*)) calculated by reference to the applicable annualised mid-swap rate for swap transactions in euro (with a maturity equal to 12 months) as displayed on Reuters page "ICESWAP2" at 11.00 a.m. (Central European Time) on the Reset Determination Date and by reference to the Euro Inter-bank Offered Rate ("EURIBOR"), which is provided by the European Money Markets Institute (the "**Administrator**"). As at the date of this Offering Memorandum, the Administrator appears on the register of administrators and benchmarks established and maintained by the European Securities and Markets Authority ("**ESMA**") pursuant to article 36 of Regulation (EU) 2016/1011 (the "**EU Benchmarks Regulation**").

An investment in the Notes involves certain risks; for a discussion of these risks see "*Risk Factors*" below.

Sole Bookrunner
Morgan Stanley

The date of this Offering Memorandum is 9 July 2026

IMPORTANT NOTICES

The Issuer accepts responsibility for the information contained in this Offering Memorandum and declares that, to the best of its knowledge, the information contained in this Offering Memorandum is in accordance with the facts and this Offering Memorandum make no omission likely to affect its import.

This Offering Memorandum is to be read in conjunction with all the documents which are incorporated herein by reference. See "*Information Incorporated by Reference*".

Certain information in this Offering Memorandum has been extracted or derived from independent sources. Where this is the case, the source has been identified. The Issuer confirms that such information has been accurately reproduced and that, so far as it is aware and is able to ascertain from information published by the relevant source, no facts have been omitted which would render the reproduced information inaccurate or misleading.

The Issuer has confirmed to Morgan Stanley Europe SE (the "**Sole Bookrunner**") that this Offering Memorandum contains all information which is material in the context of the issue, offering and sale of the Notes; this Offering Memorandum is true and accurate in all material respects and is not misleading in any material respect; any opinions, predictions or intentions expressed in this Offering Memorandum on the part of the Issuer are honestly held or made and are not misleading and are based on reasonable assumptions; this Offering Memorandum does not omit to state any material fact necessary to make such information, opinions, predictions or intentions (in such context) not misleading; and that all proper enquiries have been made to ascertain or verify the foregoing.

The Issuer has not authorised the making or provision of any representation or information regarding the Issuer or the Notes other than as contained in this Offering Memorandum or as approved for such purpose by the Issuer. Any such representation or information should not be relied upon as having been authorised by the Issuer, the Sole Bookrunner, The Bank of New York Mellon, London Branch (the "**Agent**" and "**Agent Bank**"), The Bank of New York Mellon SA/NV, Dublin Branch (the "**Registrar**" and "**Transfer Agent**") (the Agent, Registrar, Transfer Agent and Agent Bank together the "**Agents**").

None of the Sole Bookrunner, the Agents or any of their respective directors, affiliates, advisers or agents have authorised the whole or any part of this Offering Memorandum and none of them makes any representation or warranty or accepts any responsibility as to the accuracy or completeness of the information contained in this Offering Memorandum or any responsibility for the acts or omissions of the Issuer or any other person in connection with the issue and offering of the Notes. Neither the delivery of this Offering Memorandum nor the offering, sale or delivery of any Note shall in any circumstances create any implication that there has been no adverse change, or any event reasonably likely to involve any adverse change, in the condition (financial or otherwise) of the Issuer since the date of this Offering Memorandum. The Sole Bookrunner expressly does not undertake to review the financial condition or affairs of the Issuer during the life of the Notes or to advise any investor in the Notes of any information coming to their attention.

No person is authorised to give any information or to make any representation not contained in this Offering Memorandum and any information or representation not so contained must not be relied upon as having been authorised by or on behalf of the Issuer, the Sole Bookrunner or the Agents. Neither the delivery of this Offering Memorandum nor any sale made in connection herewith shall, under any circumstances, create any implication that there has been no change in the affairs of the Issuer since the date hereof or the date upon which this Offering Memorandum has been most recently amended or supplemented or that there has been no adverse change in the financial position of the Issuer since the date hereof or the date upon which this Offering Memorandum has been most recently amended or supplemented or that the information contained in, or incorporated by reference in, it or any other information supplied in connection with the Notes is correct as of any time subsequent to the date on which it is supplied or, if different, the date indicated in the document containing the same.

The Notes may not be a suitable investment for all investors. Each potential investor in the Notes must determine the suitability of the investment in light of its own circumstances. In particular, each potential investor should either on its own or with the help of its financial and other professional advisers:

- (i) have sufficient knowledge and experience to make a meaningful evaluation of the Notes, the merits and risks of investing in the Notes and the information contained in, or incorporated by reference in, this Offering Memorandum or any applicable supplement;
- (ii) have access to, and knowledge of, appropriate analytical tools to evaluate, in the context of its particular financial situation, an investment in the Notes and the impact the Notes will have on its overall investment portfolio;
- (iii) have sufficient financial resources and liquidity to bear all of the risks of an investment in the Notes, including where the currency for principal or interest payments is different from the potential investor's currency;
- (iv) understand thoroughly the terms of the Notes; and
- (v) be able to evaluate (either alone or with the help of a financial adviser) possible scenarios for economic, interest rate and other factors that may affect its investment and its ability to bear the applicable risks.

Legal investment considerations may restrict certain investments. The investment activities of certain investors are subject to legal investment laws and regulations, or review or regulation by certain authorities. Each potential investor should consult its legal advisers to determine whether and to what extent (1) the Notes are legal investments for it, (2) the Notes can be used as collateral for various types of borrowing and (3) other restrictions apply to its purchase or pledge of the Notes. Financial institutions should consult their legal advisers or the appropriate regulators to determine the appropriate treatment of the Notes under any applicable risk-based capital or similar rules.

An investment in the Notes may give rise to higher yields than a bank deposit placed with the Issuer or any of its subsidiaries acting as a deposit-taking bank. However, an investment in the Notes carries risks which are very different from the risk profile of such a bank deposit. The Notes may provide greater liquidity than a bank deposit since bank deposits are generally not transferable. Conversely, unlike certain bank deposits, (i) holders of the Notes have the ability to require repayment of their investment only in limited circumstances (see "*Terms and Conditions of the Notes*") and (ii) holders of the Notes will not have the benefit of any insurance or deposit guarantee from the Croatian Deposit Insurance Agency ("HAOD") or any other government agency in Croatia or elsewhere.

The obligations of the Issuer are not in any way guaranteed by, or otherwise backed by the credit of, the Republic of Croatia or any agency, ministry or political subdivision thereof.

Offer restrictions

This Offering Memorandum does not constitute an offer of, or an invitation by or on behalf of the Issuer or the Sole Bookrunner to subscribe or purchase, any Notes.

The distribution of this Offering Memorandum and the offering, sale and delivery of Notes in certain jurisdictions may be restricted by law. Persons into whose possession this Offering Memorandum comes are required by the Issuer and the Sole Bookrunner to inform themselves about and to observe any such restrictions. For a description of certain restrictions on offers, sales and deliveries of Notes and on distribution of this Offering Memorandum and other offering material relating to the Notes, see "*Subscription and Sale*".

MiFID II Product Governance / Professional Investors and ECPs only target market: Solely for the purposes of each manufacturer's product approval process, the target market assessment in respect of the Notes has led to the conclusion that: (i) the target market for the Notes is eligible counterparties and professional clients only, each

as defined in MiFID II; and (ii) all channels for distribution of the Notes to eligible counterparties and professional clients are appropriate. Any person subsequently offering, selling or recommending the Notes (a "**distributor**") should take into consideration the manufacturers' target market assessment; however, a distributor subject to MiFID II is responsible for undertaking its own target market assessment in respect of the Notes (by either adopting or refining the manufacturers' target market assessment) and determining appropriate distribution channels.

Prohibition of Sales to EEA Retail Investors: The Notes are not intended to be offered, sold or otherwise made available to and should not be offered, sold or otherwise made available to any retail investor in the EEA. For these purposes, a retail investor means a person who is one (or both) of: (i) a retail client as defined in point (11) of Article 4(1) of MiFID II; or (ii) a customer within the meaning of Directive (EU) 2016/97 (the "**Insurance Distribution Directive**"), where that customer would not qualify as a professional client as defined in point (10) of Article 4(1) of MiFID II. Consequently no key information document required by Regulation (EU) No 1286/2014 (as amended, the "**EU PRIIPs Regulation**") for offering or selling the Notes or otherwise making them available to retail investors in the EEA has been prepared and therefore offering or selling the Notes or otherwise making them available to any retail investor in the EEA may be unlawful under the EU PRIIPs Regulation.

Prohibition of Sales to UK Retail Investors: The Notes are not intended to be offered, sold, distributed or otherwise made available to and should not be offered, sold, distributed or otherwise made available to any retail investor in the United Kingdom ("**UK**"). For these purposes, a retail investor means a person who is not a professional client, as defined in point (8) of Article 2(1) of Regulation (EU) No 600/2014 as it forms part of domestic law in the UK by virtue of the EUWA. Consequently no disclosure document required by the FCA Product Disclosure Sourcebook ("**DISC**") for offering, selling or distributing the Notes or otherwise making them available to retail investors in the UK has been prepared and therefore offering, selling or distributing the Notes or otherwise making them available to any retail investor in the UK may be unlawful under the DISC and the Consumer Composite Investments (Designated Activities) Regulations 2024.

Singapore SFA Product Classification: In connection with Section 309B of the Securities and Futures Act 2001 of Singapore, as modified or modified or amended from time to time (the "**SFA**") and the Securities and Futures (Capital Markets Products) Regulations 2018 of Singapore (the "**CMP Regulations 2018**"), the Issuer has determined, and hereby notifies all relevant persons (as defined in Section 309A(1) of the SFA), that the Notes are 'prescribed capital markets products' (as defined in the CMP Regulations 2018) and Excluded Investment Products (as defined in MAS Notice SFA 04-N12: Notice on the Sale of Investment Products and MAS Notice FAA-N16: Notice on Recommendations on Investment Products).

Presentation of Financial Information

Unless otherwise indicated, the financial information in this Offering Memorandum relating to the Issuer and of its subsidiaries (the "**Group**") has been derived from the audited consolidated and separate financial statements of the Group and the Issuer for the financial years ended 31 December 2025 and 31 December 2024 (together, the "**Annual Financial Statements**") and the unaudited condensed consolidated and separate interim financial information of the Group and the Issuer for the three months ended 31 March 2026 (the "**Interim Financial Statements**"). The Annual Financial Statements and the Interim Financial Statements are together referred to as the "**Financial Statements**".

The Issuer's financial year ends on 31 December, and references in this Offering Memorandum to any specific year are to the 12-month period ended on 31 December of such year. The Annual Financial Statements have been prepared in accordance with IFRS Accounting Standards as adopted by the European Union ("**IFRS**"). The Interim Financial Statements have been prepared in accordance with the International Accounting Standards Interim Financial Reporting as adopted by the European Union ("**IAS 34**").

When preparing the 2026 interim financial information, and to align the definition of cash and cash equivalents between the statements of cash flows and statement of financial position, the Bank and the Group revised the presentation of certain balances in the statement of financial position as of 31 December 2025. Specifically, deposits with banks with original maturities of up to 90 days are now included within 'Cash and cash equivalents'. These balances were previously presented under 'Loans and receivables from banks' in the 2025 Financial Statements (as defined below). Consequently, the comparative figures as of 31 December 2025 for 'Cash and cash equivalents' and 'Loans and receivables from banks' have been presented on a revised basis to conform to the current period's presentation. See Note 23 to the 2026 Interim Financial Information (as defined below) for additional details.

Stabilisation

In connection with the issue of Notes, Morgan Stanley Europe SE (the "**Stabilisation Manager**"), or persons acting on behalf of the Stabilisation Manager, may over-allot Notes or effect transactions with a view to supporting the market price of the Notes at a level higher than that which might otherwise prevail. However, stabilisation may not necessarily occur. Any stabilisation action may begin on or after the date on which adequate public disclosure of the terms of the offer of the Notes is made and, if begun, may cease at any time, but it must end no later than the earlier of 30 days after the issue date of the Notes and 60 days after the date of the allotment of the Notes. Any stabilisation action or over-allotment must be conducted by the Stabilisation Manager, or person(s) acting on behalf of the Stabilisation Manager, in accordance with all applicable laws and rules.

General

In this Offering Memorandum, unless otherwise specified, references to "€", "EUR" or "euro" are to the lawful currency for the time being of the EEA. References to "**billions**" are to thousands of millions. In this Offering Memorandum, unless otherwise specified or the context otherwise requires, a reference to a law or a provision of a law is a reference to that law or provision as extended, amended or re-enacted.

Certain figures included in this Offering Memorandum have been subject to rounding adjustments; accordingly, figures shown for the same category presented in different tables may vary slightly and figures shown as totals in certain tables may not be an arithmetic aggregation of the figures which precede them.

References herein to a "**Condition**" or "**Conditions**" shall be to the "*Terms and Conditions of the Notes*".

FORWARD-LOOKING STATEMENTS

Certain statements included in this Offering Memorandum may constitute "forward-looking statements". Forward-looking statements provide the Issuer's current expectations or forecasts of future events. Forward-looking statements include statements about the Issuer's expectations, beliefs, plans, objectives, intentions, assumptions and other statements that are not historical facts. Certain words including "anticipate", "believe", "continue", "estimate", "expect", "intend", "may", "on-going", "plan", "potential", "predict", "project", "will", "schedule", and similar words or expressions, or the negatives of those word or phrases, may identify forward-looking statements. However, the absence of those words or phrases does not necessarily mean that a statement is not forward-looking.

In addition, all statements other than statements of historical facts included in this Offering Memorandum, including, but without limitation, those regarding the financial position, business strategy, prospects, capital expenditure and investment plans of the Issuer and the plans and objectives of the Issuer for its future operations (including development plans and objectives relating to the Issuer's operations), are forward-looking statements.

Forward-looking statements appear in a number of places in this Offering Memorandum, including, without limitation, in the "*Risk Factors*" and "*Description of the Issuer*" sections of this Offering Memorandum.

Investors are cautioned that forward-looking statements are not guarantees of future performance and involve known and unknown risks, uncertainties and other factors which may cause actual results or performance of the Issuer to differ materially from those expressed or implied by such forward-looking statements. Such forward-looking statements are based on numerous estimates and assumptions regarding the Issuer's present and future business strategies and the environment in which the Issuer will operate in the future. Any forward-looking statements in this Offering Memorandum speak only as of the date of this Offering Memorandum, reflect the Issuer's current view with respect to future events and are subject to risks relating to future events and other risks, uncertainties and assumptions relating to the Issuer's operations, results of operations, growth strategy and liquidity. Known and unknown factors could cause actual results to differ materially from those projected in the forward-looking statements. As such, investors should not place undue reliance on any forward-looking statements as a prediction of future or actual results. Such factors include, but are not limited to, those described in "*Risk Factors*". All of the forward-looking statements made in this Offering Memorandum are qualified by these cautionary statements.

None of the Issuer or any employees and agents of the Issuer assumes: (i) any obligation or undertaking to release any updates or revisions to any forward-looking statements contained herein to reflect any change in the Issuer's expectations with regard thereto or any change of events, conditions or circumstances, on which any such statements were based or (ii) any liability in the event that any of the forward-looking statements does not materialise or turns out to be incorrect. All subsequent written and forward-looking statements attributable to the Issuer or persons acting on behalf of the Issuer are expressly qualified in their entirety by such cautionary statements.

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OVERVIEW

This overview refers to certain provisions of the "Terms and Conditions of the Notes" and must be read as an introduction to this Offering Memorandum and any decision to invest in the Notes should be based on a consideration of the Offering Memorandum as a whole.

Words and expressions defined in the Conditions or elsewhere in this Offering Memorandum have the same meanings in this overview.

Issuer:	Hrvatska poštanska banka p.l.c.
Legal Entity Identifier (LEI):	529900D5G4V6THXC5P79.
Sole Bookrunner:	Morgan Stanley Europe SE.
Agent and Agent Bank:	The Bank of New York Mellon, London Branch.
Registrar and Transfer Agent:	The Bank of New York Mellon SA/NV, Dublin Branch
Notes:	€150,000,000 4.125 per cent. Fixed Rate Reset Callable Senior Preferred Notes due 2029.
Issue Date:	13 July 2026.
Issue Price:	99.563 per cent. of the principal amount of the Notes.
Form and Denomination:	The Notes will be issued in registered form and represented upon issue by a Global Certificate which will be deposited with, and registered in the name of a nominee for, a common depositary on behalf of Euroclear and Clearstream, Luxembourg on or about the Issue Date. The Global Certificate will be exchangeable for Certificates only in certain limited circumstances. See "<i>Summary of Provisions relating to the Notes in Global Form</i>". The Notes will be issued in denominations of €100,000 each and integral multiples of €1,000 in excess thereof.
Status of the Notes:	The Notes will be senior preferred notes of the Issuer and will constitute senior, unsecured, unsubordinated, unguaranteed, direct, general and unconditional obligations of the Issuer intended to qualify as eligible liabilities instruments (within the meaning of point (a) of Article 72a(1) and Article 72b CRR, as applicable) for the purpose of satisfaction of the MREL requirements of the Issuer in accordance with Article 12c of the SRM Regulation. In the event of insolvency proceedings of the Issuer, the Notes will rank (i) junior to all present and future obligations of the Issuer preferred by mandatory provisions of law, (ii) <i>pari passu</i> among themselves and at least <i>pari passu</i> with all other present and future unsecured obligations of the Issuer, and (iii) senior to all present and future obligations of the Issuer which rank junior pursuant to mandatory provisions of law and arising from subordinated claims.

The Notes are neither secured, nor subject to a guarantee or any other arrangement that enhances the seniority of the claims under the Notes.

Negative Pledge:	There is no negative pledge under the Conditions.
Interest:	The Notes will bear interest from (and including) the Issue Date to (but excluding) the Reset Date at the rate of 4.125 per cent. per annum payable annually in arrear on 13 July in each year, starting on (and including) 13 July 2027. From and including the Reset Date, the Notes will bear interest at the Reset Rate of Interest determined in accordance with Condition 4 (<i>Interest Payments</i>).
Maturity Date:	13 July 2029 (the " Maturity Date ").
Waiver of Set-Off:	No Holder shall be entitled to exercise any right of set-off, netting, compensation, counterclaim, or retention in respect of any amount owed to it by the Issuer in respect of such Notes. See Condition 3(b) (<i>Status – Set-off, etc.</i>).
Final Redemption:	Unless previously redeemed or purchased and cancelled subject to Condition 5(b) (<i>Redemption, Substitution, Variation and Purchase – Conditions to Redemption, Substitution, Variation and Purchase</i>), the Notes will be redeemed at their principal amount on the Maturity Date.
Optional Redemption:	Subject to Condition 5(b) (<i>Redemption, Substitution, Variation and Purchase – Conditions to Redemption, Substitution, Variation and Purchase</i>), on giving not less than 15 nor more than 60 days' notice to the Holders (which notice shall be irrevocable) in accordance with Condition 12 (<i>Notices</i>), the Registrar and the Agent, the Issuer may elect to redeem the Notes in whole, but not in part, on 13 July 2028 (the " Reset Date "), at their principal amount, together with interest accrued and unpaid to (but excluding) the date fixed for redemption. See Condition 5(c) (<i>Redemption, Substitution, Variation and Purchase – Issuer's Call Option</i>).
Early Redemption	Except as described in "Optional Redemption" above, early redemption will only be permitted, subject to Condition 5(b) (<i>Redemption, Substitution, Variation and Purchase – Conditions to Redemption, Substitution, Variation and Purchase</i>), (a) for tax reasons, as described in Condition 5(d) (<i>Redemption, Substitution, Variation and Purchase – Redemption Due to Tax Event</i>), (b) upon the occurrence of an MREL Disqualification Event, as described in Condition 5(e) (<i>Redemption, Substitution, Variation and Purchase – Redemption Due to MREL Disqualification Event</i>) or (c) if, at any time, the outstanding aggregate principal amount of the Notes is 25 per cent. or less of the aggregate principal amount of the Notes originally issued (and, for these purposes, any Further Notes (as defined in the Conditions) shall be deemed to have been originally issued), as described in Condition 5(f) (<i>Redemption, Substitution, Variation and Purchase – Clean-up Call</i>). In such circumstances, the Issuer may elect to redeem the Notes in whole, but not in part at any time, at their principal amount, together with interest accrued and unpaid to (but excluding) the date fixed for redemption.

Substitution and Variation:	Subject to Condition 5(b) (<i>Redemption, Substitution, Variation and Purchase – Conditions to Redemption, Substitution, Variation and Purchase</i>), on giving not less than 15 nor more than 60 days' notice to the Holders in accordance with Condition 12 (<i>Notices</i>), the Registrar and the Agent (which notice shall be irrevocable), but without any requirement for the consent or approval of the Holders, the Issuer may at any time either substitute all (but not some only) of the Notes for, or vary the terms of the Notes as provided in Condition 5(g) (<i>Redemption, Substitution, Variation and Purchase – Substitution or Variation</i>).
Default:	The Notes will have the benefit of a default provision as described in Condition 7(a) (<i>Default – Default</i>). Holders' remedies in the event of a default will be limited as described in Condition 7(c) (<i>Default – Extent of Holders' Remedy</i>).
Withholding Tax:	All payments of principal, interest and any other amounts by or on behalf of the Issuer in respect of the Notes shall be made free and clear of, and without withholding or deduction for or on account of, any present or future taxes, duties, assessments or governmental charges of whatever nature imposed, levied, collected, withheld or assessed by the Relevant Jurisdiction (being the Republic of Croatia as at the Issue Date) or any political subdivision thereof or by any authority therein or thereof having power to tax, unless such withholding or deduction is required by law. In that event, in respect of payments of interest (but not principal or any other amount) the Issuer will pay such Additional Amounts (as defined in Condition 8 (<i>Taxation</i>)) as will result in receipt by the Holders of such amounts as would have been received by them in respect of payments of interest had no such withholding or deduction been required, subject to certain exceptions, as further described under " <i>Terms and Conditions of the Notes—Condition 8 (Taxation)</i> ".
Rating:	The Notes are expected to be assigned a rating of Baa3 by Moody's (of Porto Bello Building 1, Siafi Street, 3042 Limassol, PO Box 53205, CY 3301 Limassol, Cyprus), which is established in the EEA and registered under the EU CRA Regulation. The rating Moody's is expected to give to the Notes will be endorsed by Moody's Investors Service Ltd., which is established in the UK and registered under UK CRA Regulation. In general, European regulated investors are restricted from using a rating for regulatory purposes if such rating is not issued by a credit rating agency established in the EEA and registered under the EU CRA Regulation unless (1) the rating is provided by a credit rating agency not established in the EEA but is endorsed by a credit rating agency established in the EEA and registered under the EU CRA Regulation or (2) the rating is provided by a credit rating agency not established in the EEA which is certified under the EU CRA Regulation. Similarly, in general, UK regulated investors are restricted from using a rating for regulatory purposes if such rating is not issued by a credit rating agency established in the UK and registered under the UK CRA Regulation unless (1) the rating is provided by a credit rating agency not established in the UK but is endorsed by a credit rating agency established in the UK

and registered under the UK CRA Regulation or (2) the rating is provided by a credit rating agency not established in the UK which is certified under the UK CRA Regulation.

A rating is not a recommendation to buy, sell or hold securities and may be subject to revision, suspension or withdrawal at any time by the assigning rating agency.

Governing Law:

The Notes and any non-contractual obligations arising out of or in connection with them will be governed by, and shall be construed in accordance with, the laws of England, save that the provisions of Conditions 3 (*Status*) and 15(d) (*Governing Law and Jurisdiction – Acknowledgement of Bail-in and Loss Absorption Powers*) will be governed by, and shall be construed in accordance with, Croatian law.

Listing and Trading:

Application has been made for the Notes to be admitted to listing on the Official List and to trading on the Euro MTF Market.

Clearing Systems:

Euroclear and Clearstream, Luxembourg (the "**Clearing Systems**").

Use of Proceeds:

The net proceeds of the issue of the Notes will be used by the Issuer for its general corporate purposes, including, without limitation, the financing of its lending activities, the refinancing of existing liabilities and the strengthening of its capital and liability structure, including for the purposes of meeting its minimum requirement for own funds and eligible liabilities ("**MREL**").

Selling Restrictions:

For a description of certain restrictions on offers, sales and deliveries of the Notes and on the distribution of offering materials in the United States, the EEA, the UK, Singapore and Croatia, see "*Subscription and Sale*".

Risk Factors:

Investing in the Notes involves risks. See "*Risk Factors*".

ISIN:

XS3428232204.

Common Code:

342823220.

RISK FACTORS

Any investment in the Notes is subject to a number of risks. The Notes may not be a suitable investment for all investors. Prospective investors should ensure they understand the risks of investing in the Notes before they make any investment decision. They should make their own independent decision whether to invest in the Notes based upon their own judgement and advice from such of their own advisers as they consider necessary.

The Issuer believes that the following factors may affect its ability to fulfil its obligations under the Notes. All of these factors are contingencies which may or may not occur and the Issuer is not in a position to express a view on the likelihood of any such contingency occurring. Factors which the Issuer believes may be material for assessing the market risks associated with the Notes are also described below.

The Issuer believes the factors described below represent the principal risks inherent in investing in the Notes, but the Issuer may be unable to pay interest or other amounts on or in connection with the Notes or to repay the principal amount of the Notes for other reasons and the Issuer does not represent that the statements below regarding the risks of acquiring or holding the Notes are exhaustive. Additional risks and uncertainties relating to the Issuer, the industries in which it and its subsidiaries operate and/or the Notes that are not currently known to the Issuer, or that are currently deemed immaterial, may individually or cumulatively also have a material adverse effect on the business, prospects, results of operations and/or financial position of the Group and, if any such risk should arise or contingency occur, the price of the Notes may decline and investors could lose all or part of their investment. Prospective investors should also read the detailed information contained elsewhere in this Offering Memorandum (including the documents incorporated by reference herein) and reach their own views prior to making any investment decision.

Words and expressions defined in the "Terms and Conditions of the Notes" below or elsewhere in this Offering Memorandum have the same meanings in this section. Unless otherwise specified, the risks relating to the Issuer, as discussed in this section below, apply to the Issuer together with its branches and subsidiaries.

RISKS RELATING TO THE ISSUER

Risks relating to the economic, political and competitive environment of Croatia

The Group is exposed to geopolitical conditions impacting Croatia

The Group is vulnerable to geopolitical changes that could impact Croatia, potentially affecting the Issuer's business and therefore the Group's business operations. Geopolitical tensions and increasing geo-economic fragmentation may destabilise the macroeconomic environment and financial markets, posing challenges to the Group's strategic objectives and profitability. Factors such as elevated geopolitical uncertainty, changes in trade and security policies, and global market volatility could have a negative influence on economic activity in Croatia, as well as in Europe, leading to a deterioration in asset quality, and adverse effects on fees, margins, and capital market activities. These influences could, individually or collectively, have negative impact on the Issuer's business, financial condition, and operational results. A significant proportion of the Issuer's lending is provided to individuals in the form of unsecured loans, which have a higher degree of vulnerability to macroeconomic developments.

Croatia's economy is particularly susceptible to external shocks due to its dependence on imported goods, energy, and raw materials, its export focus on European Union ("EU") markets, and its trade, investment, and remittance connections with EU member states. A decline in external demand for Croatia's exports of goods and services, particularly tourism-related services, volatility in energy and food prices, supply chain disruptions, and shifts in investor sentiment could hinder economic growth, elevate inflation, and/or jeopardise price stability in Croatia. In such scenarios, central bank policy responses, whether through tighter or prolonged restrictive monetary policies or a reversal of easing cycles, could increase borrowing costs and reduce credit demand, and heighten market volatility, thereby directly impacting the Issuer's financial performance and profitability.

In February 2022, the Russian Federation commenced war in Ukraine. These actions have significantly heightened tensions between Russia and Western countries, including the U.S., NATO, the EU, and the UK and led the U.S., the EU and the UK, among others, to impose economic and financial sanctions, export controls and other measures against Russia, Russian government officials and Russian corporations and financial institutions. The ongoing conflict has had an impact on energy supplies, global supply chains, economic growth, international capital markets, investor sentiment and commodity prices (including oil and gas, which has led to rising fuel prices and inflation). However, the Russian invasion of Ukraine has not had a significant impact on the dynamics of economic activity in Croatia. Limited exposure to both countries, coupled with the effective implementation of government measures, has mitigated the potential transmission of adverse effects from the conflict in Ukraine, such as rising energy prices. Prolonged harsh sanctions, countersanctions, and general uncertainty in Europe may lead to a drop in investments, causing currency fluctuations, increases in interest rates, and decreases in the availability of credit, trading, and capital flows. Potentially renewed inflationary pressures could worsen the financial situation of companies and households, also severely impacting the Issuer (for example, increase of defaults, legal implications, decrease of asset prices, etc.). Concerns regarding the development of the conflict in Ukraine may adversely affect the Croatian economy.

Changes in US trade and foreign policy, including the announcement of significant new tariffs on 4 February 2025, and the potential for additional sector-specific measures, have provoked retaliatory actions from certain affected countries; notably, China announced counter-tariffs on 10 February 2025, and it escalated those countermeasures on and after 10 April 2025. Such protectionist trends and possible further countermeasures have and could continue to disrupt supply chains, increase market volatility, and threaten price stability. Due to its limited direct exposure, Croatia is not expected to feel the negative consequences directly, but as a small and open economy, it is at risk of adverse spillover effects from the Euro area.

On 28 February 2026, the U.S. and Israel launched a large-scale military offensive against Iran. In response, Iran launched retaliatory attacks against the U.S. and Israeli military assets and strikes on targets located in several Middle Eastern countries. Iran also blocked the passage of ships through the Strait of Hormuz, a key shipping route for the global energy commodities market. The conflict led to severe disturbance in oil supply and an increase in the price of oil, since 20% to 25% of global oil supply and approximately 20% of global LNG supply goes through the Strait of Hormuz, which is currently blocked for free transit despite the recent ceasefire. If this situation is prolonged it could transmit into higher prices of oil products, gas, fertilisers, plastic products and transport and insurance costs. This could materialise in higher inflation and consequently higher interest rates which can have negative impact on bank and clients.

As of the date of this Offering Memorandum, it is not certain when the conflict will end and what will be its final outcome. The continuation or escalation of this conflict could have material adverse effects on global economic conditions, including sustained increases in energy prices, disruption to international trade and transportation, heightened inflationary pressures, supply chain disruptions, and increased volatility in financial markets.

Any deterioration in Croatia's macroeconomic and financial conditions, whether driven by the European security environment, Middle Eastern conflicts (including the recent conflict between the U.S. and Iran), shifts in global trade policy, or broader fragmentation, could negatively impact the Issuer. Persistent volatility in energy and commodity prices could further erode household and corporate cash flows, declines in asset values and increase defaults in sensitive sectors. Changes in monetary policy may raise funding costs, compress net interest margins, and reduce valuations of financial instruments, while market stress episodes could impair market liquidity and fee income. Heightened regulatory, sanctions, and supervisory requirements may increase compliance costs and operational risks, limit certain activities or counterparties, and affect cross-border transactions.

As a small and open economy, Croatia is vulnerable to fluctuations in the global economy. The Issuer may thus be adversely affected by unfavourable conditions in the global economy or volatile equity and credit markets

The Croatian economy is fully integrated in the global trade and financial flows, with EU member states accounting for the bulk of these flows. As a result, the performance of the Croatian economy depends to a large extent on the developments in the global economy and the global financial markets. Increased global political instability, caused above all by the wars in or with Iran and Ukraine and the threat of a military conflict between Russia and NATO, trade controversies, slowdown of economic growth at the level of global economy, the availability and cost of credit and episodes of market turbulences could have an adverse impact on both developed and emerging countries, such as Croatia.

Negative developments in, or the general weakness of, the Croatian economy, in particular increasing levels of unemployment, may lead to inflationary pressures and increases in interest rates and have a direct negative impact on the debt servicing capabilities of the Issuer's customers. The Issuer can provide no assurances that a deterioration of the Croatian economy will not lead to a higher number of defaulting customers. Therefore, a weak economy and negative economic development may jeopardise the Issuer's growth targets and may have adverse effect on the Issuer's business, prospects, results of operations and financial condition.

The performance of the Croatian economy remains largely dependent upon the developments in the global economy, equity and credit markets, as well as effectiveness of economic, financial and monetary measures undertaken by its government, together with tax, legal, regulatory, and political developments. Any potential failure by the Issuer to manage the risks associated with its business could have a material adverse effect on its business, reputation, operational results and financial position.

The Group is controlled by the Republic of Croatia

As at the date of this Offering Memorandum, the Republic of Croatia, directly or through entities under its control, is the majority shareholder of the Issuer and the Issuer is also subject to specific legislation applicable to companies majority-owned by the State.

Accordingly, the Issuer may be exposed to the effect of political changes on its operations, in particular on its ability to change the composition of the governing bodies. Such changes may have an adverse effect on the assumptions and implementation of the Issuer and the Issuer's strategies. Additionally, the decisions taken by the Government as a shareholder may conflict with the interests of other shareholders of the Issuer. This may also conflict with interests of holders of the Notes issued by the Issuer. As a consequence, the decisions of the Issuer's controlling shareholder may adversely affect the Issuer's financial performance and ability to perform its obligations under the Notes.

Changes in Croatia's sovereign credit rating – whether relating to domestic or external debt – by international credit rating agencies could have negative implications for the Issuer. A downgrade may affect the Issuer's own creditworthiness, increase its funding costs, and limit access to external sources of financing or result in less favourable borrowing conditions.

Any weakening of the country's fiscal position, including setbacks in fiscal consolidation efforts, could lead to a downgrade of the sovereign and/or the Issuer to below investment grade. Such a scenario would likely make international funding for the sovereign and the Issuer more expensive and less accessible, with broader consequences for economic activity. Reduced economic growth could, in turn, dampen demand for loans and weaken the repayment capacity of borrowers.

As a result, these developments could adversely affect the Issuer's funding conditions, liquidity, business performance, and overall financial position.

Risks relating to the business of the Issuer

The Issuer could be adversely affected by changes in interest rates

The Issuer's business model naturally exposes it to interest rate risk due to mismatches in the pricing, maturity, and repricing profiles of its interest rate-sensitive assets and liabilities with sensitivity, in particular, due to its predominantly deposit-funded model. Interest rates are sensitive to many factors beyond the Issuer's control, such as inflation, monetary and fiscal policies set by the Croatian National Bank ("CNB") and by the Government,

monetary policy decisions of the ECB in connection with the euro, the liberalisation of financial services, increased competition, as well as domestic and international economic and political conditions. Changes in the absolute level of interest rates can affect the spread between the rate of interest that a financial institution pays to borrow funds from its depositors and other lenders and the rate of interest that it charges on loans it extends to its customers. To the extent the interest margin decreases, net interest income will also decrease, unless the Issuer is able to compensate such decrease by increasing the total amount of funds it lends to its customers. An increase in rates charged to customers can also negatively impact interest income if it reduces the amount of customer borrowings. For competitive reasons, the Issuer may choose to raise rates of interest it pays on deposits without being able to make a corresponding increase in the interest rates it charges to its customers. A mismatch in the structure of interest-bearing assets and interest-bearing liabilities in any given period could, in the event of changes in interest rates, reduce the Issuer's net interest margin. Moreover, an increase in market interest rates may lead to a negative mark-to-market of securities held at fair value through profit or loss or through other comprehensive income with a negative impact on the Issuer's capital position.

A sustained change in interest rates may negatively impact the Issuer's net interest income and the economic value of its balance sheet. Variations in benchmark rates, the slope or shape of the yield curve, and credit spreads can disproportionately or unexpectedly affect the returns on interest earning assets or the cost of interest-bearing liabilities, compressing interest margins and increasing funding costs.

Due to unforeseen fluctuations in market interest rates, there may be a mismatch between the interest income earned from lending and crediting operations of the Issuer and the interest costs paid on interest-bearing liabilities, which may have material adverse effect on the Issuer's operations, financial condition and results of operations. It is difficult to anticipate changes in the market situation and to predict the impact that these changes could have. Material changes in interest rates and the Issuer's inability to maintain interest rate margins may result in lower net interest income and could have a material adverse effect on the Issuer's business, financial condition, results of operations and prospects, as well as the Issuer's ability to fulfil its obligations under the Notes.

Fluctuations in exchange rates as well as other market prices could adversely affect the Issuer's results of operations

Market risk is the risk that market prices of assets and liabilities or revenues will be adversely affected by changes in market conditions and includes but is not limited to changes in foreign exchange rates, interest rates, credit spreads of issuers of securities, equity and debt price risks or market volatility. Changes in foreign exchange rates also affect the market price of assets and liabilities denominated in foreign currencies and the profit and loss values as measured in euro and may affect income from foreign exchange dealing.

The Issuer's investment securities portfolio (at amortised cost and FV through P&L and OCI) is concentrated in sovereign and bank issuers. As at 31 December 2025, the Issuer's total securities amounted to EUR 2,268.5 million. Although the Issuer has shifted towards sovereign assets and shortened duration assets to enhance liquidity and average credit quality, concentration in domestic sovereign instruments remains significant. Croatian sovereign bonds and treasury bills represented 23.2% of total assets as at 31 December 2025, underscoring the Issuer's exposure to the domestic sovereign's credit profile and local market liquidity conditions. As a result, adverse movements in yields or sovereign spreads could drive fair value reserve volatility and reduce the value of securities held at fair value, while also affecting the Group's ability to realise gains or rebalance positions efficiently.

The Issuer is exposed to open positions risk, counterparty risk and hedge ineffectiveness risk

The Issuer employs various instruments and strategies to manage and hedge financial risks. However, unforeseen changes in market conditions can reduce the effectiveness of these hedging measures. If hedges do not perform as intended, the Issuer may incur losses. In extreme cases, a position that was initially hedged could become unprotected if the counterparty to the hedge defaults. Market developments that do not align with the Issuer's

historical trading patterns may also weaken the effectiveness of hedging strategies, potentially affecting financial results, operations, and business prospects.

The Issuer is also exposed to counterparty risk in connection with derivative transactions. If a counterparty is unable to meet its contractual obligations – for example, due to insolvency or similar financial distress – the Issuer may incur losses. Any such losses arising from material derivative positions could negatively impact the Issuer's financial condition, performance, and results of operations.

Additionally, the Issuer may hold open, unhedged positions in interest rates, foreign exchange, and other financial instruments. These positions may be maintained either in anticipation of favourable market movements or because certain risks cannot be hedged efficiently or at all. Such open positions expose the Issuer to the possibility that changes in interest rates, exchange rates, or the market prices of financial instruments could generate significant losses.

The Issuer is exposed to credit risk

The Issuer is exposed to credit risk, which is the potential for loss if a borrower or counterparty fails to fulfil their contractual obligations as against the Issuer. This risk arises from various sources, including loans and advances to customers and banks, investments in debt securities, and off-balance sheet exposures such as undrawn commitments, letters of credit, and guarantees. A decline in the credit quality of borrowers or counterparties, a decrease in collateral values, or a weakening macroeconomic environment in the Issuer's core markets could significantly and negatively impact its business, financial condition, and operational results.

The Issuer's loan portfolio is diversified across corporate, retail, and SME segments (as of 31 March 2026, outstanding gross loans in the amount of EUR 3,935.1 million had been provided by the Issuer, with approximately 51% to the retail segment, 35% to the corporate, public sector and financial markets segment and 14% to the SME segment), with a mix of secured and unsecured exposures. However, it remains sensitive to stress specific to borrowers and sectors, as well as to the performance of the Croatian economy. The Issuer has moderate levels of exposure to cyclical sectors such as construction and real estate, as well as a high exposure to the Croatian sovereign both through its securities portfolio and lending to state owned enterprises. Deterioration in the quality of the Issuer's credit portfolio and increases in non-performing loans ("NPLs") result in increased credit risk costs for the Issuer.

The Issuer's risk costs are based on, among other things, the Issuer's analysis of probabilities of default and collection influencing loss given default (using current probabilities and historical information) and loan management methods and the valuation of underlying assets and expected available income of clients, as well as other assumptions of the Issuer, made in order to determine the credit risk costs as well as the capital requirements for addressing such risk. The Issuer's analyses and assumptions may prove to be inadequate and might result in inaccurate predictions of ongoing or future credit performance.

There can be no assurances that the current provisioning ratio will not increase in the future, or that the coverage ratio for the associated risks (including the NPL coverage ratio) will prove to be sufficient.

A significant deterioration in credit quality could necessitate higher impairment charges, slower loan growth, tighter underwriting, or repricing of credit risk. These actions could reduce net interest income, fee income, and profitability, weaken capital ratios, and impede strategic objectives. If these risks materialise, the Issuer's ability to meet obligations as they fall due, including under eligible liabilities which are available to count towards the Issuer's and/or the Issuer's MREL requirements (including, without limitation, the Notes), and other debt instruments, could be adversely affected. An adverse economic environment may also pressure clients, resulting in increased defaults, overdue payments, higher loan impairment, declines in mortgage collateral values, and stagnation or contraction of the loan book. The Issuer's activities and operating profit are directly influenced by the macroeconomic environment and domestic sentiment, which in turn shape loan demand. These factors may adversely affect profitability and the Issuer's ability to meet its obligations under the Notes.

The Issuer is subject to the risk that liquidity may not be readily available

The Issuer relies on customer deposits to meet a substantial portion of its funding requirements. Customer deposits are subject to fluctuation due to factors outside the Issuer's control, and the Issuer can provide no assurance that it will not experience a significant outflow of deposits within a short period of time. Any material decrease in deposits could have a negative impact on the Issuer's liquidity. Outbreaks of military conflicts, such as the military conflicts in Ukraine or in Iran, the Gaza Strip and Israel, and the resulting economic and financial uncertainties may determine a systemic change in customers' behaviour, at the same time with a decrease in money market liquidity. Such developments could limit the Issuer's ability to rebalance its liquidity position across currencies and negatively impact the Issuer's overall liquidity.

As a credit provider, the Issuer is exposed to market liquidity risk, which arises from an inability to easily sell an asset because there is inadequate market liquidity or market disruption. The Issuer is also exposed to funding liquidity risk, which is an exposure to additional expenditure arising out of a change in the cost of refinancing, or from a spread over a certain horizon and confidence level, or from insolvency of counterparties, which may result in difficulties in meeting future payment obligations, either in full, on time or on economically beneficial terms.

Credit and money markets worldwide have experienced and continue to experience limited activity in the interbank market for unsecured lending and increased capital requirements. Even a perception among market participants that a financial institution is experiencing greater liquidity risk may cause significant damage to the institution, since potential lenders may require additional collateral or other measures that further reduce the financial institution's ability to secure funding. If such increase in perceived counterparty risk were to affect the Issuer, this would lead to reductions in the Issuer's access to traditional sources of liquidity and would be compounded by further regulatory restrictions on funding, liquidity and capital structures.

The Issuer's access to, and cost of, funding could be adversely affected by a resurgence of financial crises, worsening economic conditions, rating downgrades and other relevant factors. A change in the funding structure towards less stable and more expensive funding sources could also result in a higher liquidity buffer requirement and an adverse impact on the Issuer's liquidity ratios. If the Issuer has difficulty securing adequate sources of short- and long-term liquidity or if it became subject to material deposit outflows, this could negatively affect the Issuer's ability to comply with the applicable regulatory and commercial liquidity requirements and have a material adverse effect on the Issuer's ability to fulfil its obligations under the Notes. Business development initiatives, changes to the Issuer's operating model and business acquisitions could adversely affect its reputation, business, financial condition, results of operations and/or prospects of the Issuer.

The Issuer is subject to operational risk

The Issuer is exposed to operational risk, which arises from potential losses due to inadequate or failed internal processes, human error, system malfunctions, or external events such as natural disasters, terrorism, infrastructure failures, or external fraud. This category encompasses legal risk, model risk, and ICT (information and communication technology) risk.

The Issuer operations rely on the accurate and efficient processing of a large volume of transactions. Operational losses can result from employee mistakes, inadequate documentation, failure to obtain proper authorizations, non-compliance with regulatory or business conduct requirements, equipment malfunctions, natural disasters, or failures in external systems, including those of suppliers or counterparties.

Although the Issuer actively monitors and manages operational risk, there is no guarantee that all control and mitigation measures will prevent or limit losses from every operational risk. Additionally, service interruptions may occur due to failures of third-party providers or natural events beyond the Issuer's control, which could disrupt services offered to clients and affect business continuity.

Borrowers may fail to duly perform their obligations under mortgage loans

The Issuer is exposed to potential credit-related losses that can occur as a result of borrowers being unable or unwilling to honour their contractual obligations.

Various factors can influence mortgage delinquency rates, prepayment rates, foreclosure and eviction frequency and the ultimate payment of interest and principal, such as changes in market interest rates, foreign exchange rates, international, national or local economic conditions, regional economic or housing conditions, changes in tax laws, inflation or real estate property values, unemployment, the financial standing of borrowers, the availability of financing, yields on alternative investments, political developments and government policies, changes in the personal or financial condition of the borrowers or other, similar factors.

Decreases of the borrower's ability to duly perform their obligations under the mortgage loans due to any of the factors specified above or an increase in the delinquency rates and prepayment rates may have an adverse effect on the business and profitability of the Issuer.

The Issuer operates in a highly competitive market which may adversely affect its results of operations if it is unable to compete effectively

The Issuer operates in a highly competitive banking market in Croatia, where its performance could decline if it loses its competitive edge. As of the end of 2025, the Issuer was the fifth-largest bank operating in Croatia by assets and the largest domestically-owned bank (*source: Moody's*). It faces constant competition from universal banks and foreign-owned subsidiaries, competing on pricing, product features, service quality, and distribution. The competitive environment is further intensified by industry consolidation, the expansion of international banking groups, and the emergence of non-bank financial institutions, electronic money institutions, and fintech in payments and consumer finance. This competition may lead to reduced margins on both assets and liabilities and increased funding costs as banks compete for deposits and payment services.

Competition for deposits is particularly intense due to the sector's heavy reliance on retail funding. If competitors offer higher deposit rates or more attractive product features, the Issuer may need to adjust its liabilities to retain or attract customers, potentially reducing its net interest margin and profitability. The Issuer's loan yields could also be pressured if competitors pursue market share through aggressive pricing or relaxed terms in mortgages, consumer finance, SME lending, or corporate lending. However, the Issuer benefits from a granular, predominantly retail deposit base, with almost 54% of deposits from retail and SME customers as at 31 December 2025. The Issuer's ability to maintain its market position depends on continuously enhancing its product range, digital capabilities, and service quality while maintaining prudent risk standards. Failure to innovate, delays in executing transformation initiatives, or negative customer reactions to service model changes could weaken its competitive position. If the Issuer cannot compete effectively, its loan and deposit growth could slow, net interest margin and fee income could shrink, operating costs could rise, and asset quality could be indirectly impacted by market share-driven underwriting practices. Any of these outcomes could negatively affect the Issuer's business, financial condition, operational results, and future prospects.

Technological advancements may be to the detriment of the Issuer if it is unable to compete effectively

In recent years, the banking sector has seen a significant rise in digital, technology-driven business models and ventures, including fintech companies, which aim to revolutionise the traditional banking model and compete with established institutions. These new technology-focused market entrants, along with existing players adapting to this shift, are reshaping the competitive landscape by increasing price competition and offering enhanced or alternative customer experiences through digital channels. If the Issuer fails to anticipate, adopt, and scale relevant technologies in a timely, secure, and cost-effective manner, or to convert such investments into customer acquisition, retention, and engagement, its competitive position, growth prospects, and profitability could be negatively impacted.

This technological transformation involves substantial implementation and integration risks. Large-scale IT initiatives, such as platform upgrades, process automation, advanced analytics deployment, and new product rollouts, require ongoing capital investment, specialised talent, and rigorous programme governance. Delays, cost

overruns, vendor underperformance, legacy system constraints, or deficiencies in enterprise architecture could hinder the timely realisation of benefits, increase operating expenses, and create operational vulnerabilities. The Issuer's strategy also includes expanding partnerships with third-party providers and fintechs to accelerate innovation and time-to-market. While these models can add value, they increase dependencies on external technologies, service levels, and controls; failures or outages at partners, or contractual and supervision shortcomings, could disrupt customer services, lead to financial losses, and damage the Issuer's reputation.

Increased digitalisation heightens the Issuer's exposure to cyber, fraud, and information security risks. A major cyber incident, fraud event, or data breach, whether at the Issuer or a critical vendor, could result in service interruptions, customer harm, remediation costs, regulatory sanctions, litigation, loss of data integrity or confidentiality, and reputational damage. Even without a successful attack, an escalating threat environment may necessitate sustained investment in security operations, fraud detection, identity management, and resilience, thereby increasing the Issuer's cost base. The Issuer has adopted a Digital Operational Resilience Strategy which is in-line with Regulation (EU) 2022/2554 (The Digital Operational Resilience Act ;"DORA") in order to strengthen its digital operational resilience and to ensure continuity of critical services under all conditions. The DORA Strategy is intended to enable the Issuer to enhance risk management, improve incident response capabilities and align with regulatory requirements across the EU. By implementing DORA requirements, the Issuer aims to safeguard its ICT systems, protect customer data and maintain trust in an increasingly complex threat landscape but there can be no assurance that it will do so in all circumstances.

The rapid pace of regulatory and market changes in digital finance also adds complexity. Evolving standards for operational resilience, outsourcing, cloud adoption, data protection, real-time payments, strong customer authentication, and model governance (including for artificial intelligence) may require additional investment, process redesign, and control enhancements. If the Issuer does not adapt its systems and processes to meet these requirements, it could face supervisory findings, constraints on product delivery, or delayed launches. Conversely, if industry-wide technology mandates or competitive innovations (such as new instant payment schemes) gain rapid traction, the Issuer may need to reprice or reconfigure products in ways that compress margins or existing revenue streams.

Success in technology-driven competition relies heavily on human capital. The market for digital, data, cybersecurity, and engineering talent is highly competitive. If the Issuer cannot attract, develop, and retain the specialised skills needed to execute its transformation agenda, manage complex change, and operate secure digital platforms at scale, its ability to compete effectively could be compromised. Any of these factors, individually or collectively, could have a significant adverse effect on the Issuer's business, financial condition, and operational results.

The Issuer is subject to environmental, social and governance risks that could adversely affect its reputation, business, financial condition, results of operations and/or prospects

The Issuer faces environmental, social, and governance ("ESG") risks, which are becoming increasingly significant among regulators, investors, customers, employees, and other stakeholders. This growing focus on ESG considerations heightens the potential for negative impacts on the Issuer's reputation, business, financial condition, operational results, and future prospects. Although the Issuer has publicly committed to sustainability at the core of its business and has received external recognition for its ESG practices, expectations in this area are constantly evolving, often outpacing binding regulations. Any perceived or actual failure to meet stakeholder expectations, industry benchmarks, or emerging regulatory standards could result in accusations of "greenwashing", negative publicity, loss of customer and investor trust, reduced access to funding, changes in business relationships (including with correspondent banks and institutional partners), and increased scrutiny from regulators and civil society.

Environmental risks include both transition and physical climate risks. Transition risks may arise from policy and regulatory changes (including sustainability and disclosure requirements in jurisdictions where the Issuer operates or maintains business relationships), shifting market preferences, and technological advancements that affect the

creditworthiness of borrowers and counterparties, especially in sectors where the Issuer is strategically involved, such as infrastructure, energy, tourism, and agriculture. Physical risks from acute or chronic climate events (such as floods, storms, heatwaves, or water stress) could disrupt the Issuer's operations (including branch and data centre continuity), reduce collateral values, and impair borrowers' ability to meet their obligations, leading to higher credit losses, increased provisions, and a decline in asset quality.

Regulatory developments at the European level, including initiatives under the EU Green Deal and sustainable finance frameworks, are expected to drive significant changes in economic activity, regulatory requirements, and cost structures. Meeting climate-related expectations may also necessitate additional investments in systems, data, processes, and risk management capabilities, potentially increasing operating costs.

The combination of these ESG factors may increase operating costs, limit business growth, affect funding availability and pricing, and contribute to earnings volatility. They may also interact with other risk types such as credit, market, liquidity, and operational risks, amplifying their impact. If any of these risks materialise, individually or collectively, they could have a significant adverse effect on the Issuer's reputation, business, financial condition, operational results, and future prospects.

The Issuer's operational systems and networks may become vulnerable to an increasing risk of continually evolving cyber security or other technological risks

A significant portion of the Issuer's operations rely heavily on the secure processing, storage and transmission of confidential and other information as well as the monitoring of a large number of complex transactions on a constant basis. The Issuer stores an extensive amount of information (including personal data) specific to its clients (natural or legal persons) for its retail, corporate and governmental customers and clients and must accurately record and reflect their extensive account transactions. The proper functioning of the Issuer's payment systems, financial and sanctions controls, risk management, credit analysis and reporting, accounting, customer service and other IT systems, as well as the communication networks existent between the branches and working points of the Issuer and its main data processing centres, is critical to the Issuer's operations. If the respective services cannot be supplied continuously and without interruption, particularly in the case where updates may be necessary for the proper delivery of new or extended products and services, then the Issuer's activities and performance of these systems may be interrupted which may negatively impact the Issuer's business.

These activities have been, and will continue to be, subject to an increasing risk of cyber-attacks, the nature of which is continually evolving. The financial sector remains a primary target of cyber criminals, with an increasing level of sophistication in both, criminal and nation state hacking for the purpose of stealing money, stealing, destroying or manipulating data and/or disrupting operations. The Issuer has adopted DORA at the end of 2024. The Issuer's computer systems, software and networks may become vulnerable to unauthorised access, loss or destruction of data (including confidential client information), account takeovers, unavailability of service, computer viruses or other malicious code, cyber-attacks and other events. These threats may derive from human error, fraud or malice on the part of employees or third parties or may result from accidental technological failure. If one or more of these events occur, it could result in the disclosure of confidential client information, damage to the Issuer's reputation with its clients and the market, additional costs to the Issuer (stemming from the need to repair systems or add new personnel or protection technologies), regulatory penalties and financial losses to the Issuer. Such events could also cause interruptions or malfunctions in the operations of the Issuer (such as the lack of availability of the Issuer's online banking systems), as well as the operations of its customers or other third parties. Disaster recovery, security and service continuity protection measures that the Issuer has undertaken or may undertake in the future may be insufficient to prevent losses caused. Given the volume of transactions in which the Issuer is involved, certain errors or actions may be repeated or compounded before they are discovered and rectified, which would further increase these costs and consequences.

In addition, third parties with which the Issuer does business under stringent contractual agreements may also be sources of cyber security or other technological risks. Unauthorised access, loss or destruction of data or other

cyber incidents could occur, resulting in similar costs and consequences to the Issuer as those described above. The risks associated with cyber security and other technological risks might generate

Any deterioration, suspension, or withdrawal of the credit ratings of the Issuer could result in increased funding costs, may damage customer and counterparty perception, and may have other material adverse effects on the Issuer

Credit ratings represent the opinion of a rating agency on the credit standing or financial strength of an entity and assess the likelihood of delay and default on payments by the entity. They are significant for the Issuer since they affect both the willingness of customers and other counterparties to do business with the Issuer and the cost and other terms on which creditors are willing to transact with the Issuer.

The Issuer's credit ratings do not always mirror the risk related to the Notes. Any credit rating agency may suspend its ratings, lower its ratings or withdraw the rating if, in the sole judgement of the credit rating agency, the credit quality of the Issuer has declined or is in question. In addition, at any time a credit rating agency may revise its relevant rating methodology with the result that, among other things, any rating assigned to the Issuer may be lowered. If any of the ratings assigned to the Issuer is lowered, suspended or withdrawn, the market value of the Notes may be reduced. Furthermore, such ratings may not reflect the potential impact of all risks related to the structure, market, and other factors that may affect the financial standing of the Issuer. Accordingly, a credit rating is not a recommendation to buy, sell or hold securities and may be revised, suspended or withdrawn by the rating agency at any time. The Issuer's ratings may decline as a result of adverse macroeconomic developments or regulatory activities in the countries and regions in which it operates or as a result of company-specific developments or changes in the rating agencies' support assumptions. They may also decline if the sovereign credit rating of Croatia is downgraded regardless of any direct correlation with the Issuer's activities.

The Issuer can at any time choose to stop cooperating with the relevant credit rating agency, which may result in the Issuer and its debt securities no longer being rated, unless the Issuer chooses to be rated by one or several other credit rating agencies. A decline in the rating of the Issuer or suspension or withdrawal of the rating by a rating agency may result in increased funding costs, may damage customer and other counterparty perceptions and may have other material adverse effects on the business, the financial condition, results of operations and/or prospects of the Issuer.

The Issuer has and may continue to conduct merger and acquisitions, enter into joint ventures and divestment or disposal activities and there can be no assurance that they may be successful

The Issuer has undertaken acquisitions of Jadranska banka in 2018, Sberbank and Pronam in 2022, merger of Stambena štedionica in 2019 and announced the acquisition of Croatia banka in 2026 (subject to regulatory approvals). In addition, the Issuer has and will continue to actively assess opportunities in acquisitions in line with its day-to-day business, investment strategy and where there are appropriate acquisition or divestment opportunities in the market. Although due diligence and detailed analysis are conducted before these activities are undertaken, there can be no assurance that these can fully expose all problems, potential liabilities and unresolved disputes that the target company may have. In addition, valuations and analysis on the target company conducted by the Issuer and by professionals alike are based on numerous assumptions, and there can be no assurance that those assumptions are correct or appropriate or that they will receive universal recognition.

In the case of divestments and disposals, though the Issuer may seek to take advantage of commercial or strategic opportunities to divest or dispose its various businesses on commercially attractive terms, there are no assurances that the Issuer will be able to sell or dispose of its interests readily or at all or at the price as valued by the Issuer. Some of these investments, mergers and acquisitions, joint ventures and divestment and disposal activities are subject to regulatory approvals and there can be no assurance that such approvals will be obtained, and even if granted that there will be no burdensome conditions attached to such approvals. The Issuer may not necessarily be able to successfully integrate target businesses or projects into the Issuer and may not be able to derive any synergies from its investment, acquisition or entry into the joint venture, or successfully divest or dispose of any

existing businesses at the targeted valuation of the Issuer (or at all), leading to increases in costs, time and resources expended.

Reputation is a critical factor in the Issuer's business

The ability to retain existing customers and attract new ones depends largely on the perceived quality of service and the recognition of the Issuer's brand, as well as that of the Group. The Issuer's reputation is closely tied to the reputation and strategic decisions of the Group. Therefore, any actual or perceived negative developments related to the business, financial position, results, or prospects of the Group could adversely impact the Issuer's own reputation.

Negative publicity, unfavourable public perception, or reputational damage could reduce customer trust and hinder the Issuer's ability to maintain or expand its client base. Such effects may materially impact the Issuer's business performance, financial condition, and future prospects. In addition, damage to the reputation of the Issuer, its subsidiaries, or business partners could negatively affect net assets and financial results, which may, in turn, compromise the Issuer's capacity to meet its obligations under the securities issued or to be issued.

The Issuer's continued ability to compete effectively in its businesses depends on its ability to attract qualified employees and to retain and motivate its existing employees

The Issuer's continued ability to compete effectively depends on its ability to attract qualified employees and to retain and motivate its existing employees. The Issuer's performance is largely dependent on the talents and efforts of highly skilled individuals. Individual employees operate under high workloads and complex resource planning, as the Issuer prioritises both business-driven and regulatory-driven developments while simultaneously managing its day-to-day operations. Competition for employees within the financial services industry, and increasingly from non-bank and technology firms in areas such as digital banking, data, cybersecurity and risk, is intense and may increase the Issuer's recruitment and retention challenges.

The need for higher cost efficiency could result in a lower rate of wage increases in coming periods, which may adversely affect the Issuer's ability to retain or recruit employees, including in specialised roles that underpin its digitisation agenda and branch-service transformation plans. Conversely, increases in staff costs above market expectations could weigh on profitability metrics and potentially lead to less favourable assessments from investors and other stakeholders and impair the Issuer's ability to generate capital and attract funding.

Any inability to attract, retain and motivate qualified personnel could impair the Issuer's capacity to execute strategic priorities, pursue business opportunities, realise planned efficiencies and manage existing or new assets profitably. The impact of employee-related risks could materially adversely affect the business, financial condition, results of operations and/or prospects of the Issuer.

Risks relating to legal and regulatory matters and litigation

The Issuer is subject to substantial regulation and supervision. Any new governmental or regulatory requirements and/or any change in perceived levels of adequate capitalisation and leverage could subject the Issuer to increased capital requirements and require the Issuer to obtain additional capital or liquidity in the future

The Issuer has to comply with complex regulatory requirements at all times. Such requirements tend to evolve and become more extensive and stricter. Compliance with such requirements, including the ongoing monitoring and implementation of new or amended rules and regulations, causes significant costs and effort for the Issuer. Any breach or alleged breach of such requirements may result in significant regulatory measures and may trigger considerable legal and reputational risks. Any legislative or regulatory actions and any required changes to the business operations of the Issuer resulting from changes to applicable regulation, as well as any deficiencies in the Issuer's compliance with applicable regulation, could result in significant loss of revenue, limit the Issuer's ability to pursue business opportunities in which it might otherwise consider engaging, affect the value of assets

that it holds, require the Issuer to increase the prices for its services (and thereby adversely impact on the demand for its products and services), impose additional compliance and other costs on the Issuer or otherwise adversely affect its business. The Issuer may be requested to comply with higher capital and liquidity requirements and may incur substantial costs related to the monitoring and meeting these requirements, as detailed below.

- **SREP requirements** - the Issuer is subject to the supervisory review and evaluation process ("SREP") requirements stipulated by the Croatian Credit Institutions Act (Official Gazette ("OG") 22/2026) (the "**Credit Institutions Act**") implementing the Directive 2013/36/EU, as amended ("**CRD IV**"), applicable by laws and the Council Regulation (EU) No 1024/2013 as amended (Single Supervisory Mechanism Regulation) determined by the annual SREP based on the CNB as competent authority's decision. According to the business model, governance and risk management, capital adequacy and the liquidity situation of the Issuer, the CNB has issued a decision applicable since 1 January 2026 which imposes Pillar 2 capital requirements of 2%, while the liquidity requirements and Pillar 2 Guidance is set at 0%. SREP requirements may vary annually. Together with the conclusions of the SREP, the CNB provides the Issuer with the conclusions related to the risks, deficiencies and concerns relating to the internal assessment of the Issuer's capital needs, whether the methodologies used by the Issuer are appropriate to the nature, extent and complexity of its activities and if the results obtained in the Internal Capital Adequacy Assessment Process (ICAAP) reflect the unexpected losses associated with the significant risks to which the Issuer is exposed. An increasing Pillar 2 requirement could trigger additional pressure on the capitalisation of the Issuer.
- **Capital buffers** - in line with CRD IV and pursuant to the Credit Institutions Act, institutions are required to maintain specific capital buffers in addition to own funds requirements (Pillar I requirements) imposed by Regulation (EU) No 575/2013, as amended (Capital Requirements Regulation – "**CRR**") and potentially any Pillar 2 additional own funds requirements.

Revised rules on capital and liquidity, *i.e.*, Regulation (EU) No. 2019/876 of the European Parliament and of the Council of 20 May 2019 amending Regulation (EU) No. 575/2013 as regards the leverage ratio, the net stable funding ratio, requirements for own funds and eligible liabilities, counterparty credit risk, market risk, exposures to central counterparties, exposures to collective investment undertakings, large exposures, reporting and disclosure requirements, and Regulation (EU) No. 648/2012 ("**CRR II**") and Directive (EU) 2019/878 of the European Parliament and of the Council of 20 May 2019 amending Directive 2013/36/EU as regards exempted entities, financial holding companies, mixed financial holding companies, remuneration, supervisory measures and powers and capital conservation measures ("**CRD V**") were published in the Official Journal on 7 June 2019 following a legislative process which began at the end of 2016. The requirements stipulated by CRD V have been implemented into Croatian law.

The latest amendments to the prudential framework introduced by Regulation (EU) 2024/1623 ("**CRR III**") have further strengthened requirements for credit institutions, including the introduction of the output floor and revised approaches to credit, market and operational risks. These requirements are complemented by Directive (EU) 2024/1619 of the European Parliament and of the Council of 31 May 2024 amending Directive 2013/36/EU ("**CRD VI**"), which sets out enhanced supervisory powers, governance standards, and risk management requirements, including those related to environmental, social and governance (ESG) risks. Most of these new rules apply since 1 January 2025 (with multi-year transitional periods for the out-put floor and certain other provisions, and the implementation of the fundamental review of the trading book (FRTB) which has been deferred to 2027) and are aimed to ensure that EU banks become more resilient to potential future economic shocks, while contributing to Europe's recovery from the COVID-19 pandemic and the transition to climate neutrality. The package consists of three pillars: (i) implementing Basel III while taking into account the specific features of the EU's banking sector, for example when it comes to low-risk mortgages, or "internal models" used by banks to calculate their capital requirements do not underestimate risks. The proposal aims to strengthen resilience, without resulting in significant increases in capital requirements. It limits the overall impact on capital requirements to what is necessary, while it reduces compliance costs, in particular for smaller banks; (ii)

sustainability - banks will be required to systematically identify, disclose and manage ESG risks as part of their risk management which includes regular climate stress testing by both supervisors and banks while proportionate disclosure rules regarding the degree to which banks are exposed to ESG risks will apply; and (iii) stronger supervision meaning supervisors overseeing EU banks will benefit from stronger supervision tools especially in relation to rules applicable in assessing whether senior staff have the requisite skills and knowledge for managing a bank or its subsidiaries. The amended CRD VI introduces further enhancements, including the integration of ESG factors and crypto assets into risk management. The CRR III sets out detailed, directly applicable rules on the calculation of capital requirements, including revised methodologies for credit, market and operational risk, as well as the introduction of the output floor to reduce variability in risk-weighted assets (RWAs) stemming from internal models. CRD VI has been implemented into Croatian law in the Credit Institutions Act and in secondary regulations by CNB's Decision on the Governance System (OG No. 30/2026), Decision on the Assessment of the Suitability of the Chairperson of the Management Board, Members of the Management Board, Chairperson of the Supervisory Board, Members of the Supervisory Board, and Key Function Holders in a Credit Institution (OG No. 30/2026) and Decision on employee remuneration (OG No. 30/2026).

Also, the European Banking Authority's (EBA) October 2022 policy work on Interest Rate Risk in the Banking Book (IRRBB) has transitioned into fully active, legally binding regulations as of late 2023 and early 2024. This updated framework includes mandatory Guidelines on IRRBB and CSRBB, revised Regulatory Technical Standards (RTS) for Supervisory Outlier Tests, and updated Implementing Technical Standards (ITS) on reporting, requiring strict compliance with new interest rate shock scenarios. These regulatory products complete the onboarding into EU law of the Basel standards on IRRBB and are of crucial importance given the current interest rate environment. The regulator is closely monitoring their implementation and more generally the impact of the evolving interest rates on the management of IRRBB by EU institutions and on other related prudential aspects.

Furthermore, the Issuer is subject to the CNB's decision on governance arrangements, which governs, among others, requirements related to organisational structure; the tasks and method of organisation and operation of supervisory board committees; the internal controls system and control functions and risk management rules. More generally, the risk of non-compliance with different legal and regulatory requirements and any adverse changes thereto, may potentially negatively affect the Issuer's current business model, internal policies and results, this risk being particularly relevant for the Issuer.

Compliance with anti-money laundering and counter-terrorist financing ("AML/CFT"), sanctions and anti-corruption rules involve significant costs and efforts, and non-compliance may have severe legal and reputational consequences for the Issuer

The Issuer is subject to applicable AML/CFT laws and regulations, including the Prevention and Combating of Money Laundering and Terrorist Financing Act (OG No. 108/2017, 39/2019 and 151/2022), which transposes, amongst other things, Directive (EU) 2015/849 and Directive (EU) 2018/843 into Croatian law. The EU AML/CFT framework continues to evolve and is expected to be further strengthened, including through the implementation of the EU AML reform package, which will from 10 July 2027 replace the current directives with a new directive and directly applicable regulation (Regulation (EU) 2024/1624).

As an obliged entity, the Issuer is required to implement appropriate policies, procedures and controls designed to prevent and detect money laundering and terrorist financing and to mitigate the risk of misuse of the financial system. In this context, the Issuer takes into account applicable regulatory guidance, including the EBA Guidelines on ML/TF risk factors (EBA/GL/2021/02) and the EBA Guidelines on compliance management and the role of the AML/CFT compliance officer (EBA/GL/2022/05), and maintains an internal control framework based on a risk-based approach.

The Issuer is also subject to international and European restrictive measures (sanctions) adopted by the European Union and the United Nations. Such measures, adopted in particular pursuant to Articles 29 TEU and 215 TFEU and published in the Official Journal of the European Union, may include asset freezes, prohibitions on making

funds or economic resources available to designated persons or entities, as well as trade and financial restrictions. In the Republic of Croatia, the implementation and enforcement of sanctions is governed by the Act on Restrictive Measures (OG No. 133/2023, 151/2025).

The Issuer has established internal systems and controls designed to ensure compliance with applicable sanctions requirements, including risk-based assessments of its exposure to restrictive measures, taking into account relevant regulatory guidance such as the EBA Guidelines on restrictive measures (EBA/GL/2024/14). However, the increasing scope and complexity of global sanctions regimes, in particular in light of evolving geopolitical developments (including those relating to Ukraine and Iran), may increase compliance risks.

Monitoring compliance with AML/CFT and sanctions requirements can impose a significant operational and financial burden and may involve complex technical challenges. While the Issuer seeks to ensure compliance with applicable laws and regulations, it may not be able to ensure full compliance at all times or in all circumstances, including across its group and employees. Any breach or alleged breach of AML/CFT or sanctions rules could result in regulatory action, financial penalties and reputational damage, which may have a material adverse effect on the Issuer's business, financial condition, results of operations or prospects. The Issuer is also subject to rules regarding anti-corruption. Monitoring compliance with anti-corruption rules can result in a significant financial burden on banks and other financial institutions and can pose significant technical problems. The Issuer cannot guarantee that it is in compliance with all applicable anti-corruption rules at all times or that its Group-wide anti-corruption standards are being consistently applied by its employees in all circumstances. Any violation of anti-corruption rules, or even alleged violations, may have severe legal, monetary and reputational consequences and could have a material adverse effect on the Issuer's business, financial condition, results of operations, liquidity or prospects.

The Issuer is obliged to contribute to the Single Resolution Fund and to the deposit guarantee fund

The bank resolution fund pools together regular (annual) contributions from credit institutions (including the Issuer) in accordance with the provisions of the Regulation (EU) No 806/2014, as amended ("**SRMR**") and the Act on the Resolution of Credit Institutions and Investment Firms (OG Nos. 146/2020, 21/2022, 27/2024, 145/2024 and 48/2026) ("**Croatian Resolution Act**"). On 13 February 2026, the Single Resolution Board ("**SRB**") announced that the target level of the Single Resolution Fund ("**SRF**") remains achieved at the end of 2025. As of 31 December 2025, the SRF funds are above the prescribed target level of 1% of covered deposits in all member states participating in the Single Resolution Mechanism ("**SRM**"). As a result, and unless circumstances change, there will be no annual collection of contributions to the SRF in 2026. The target level check will be conducted again at the beginning of 2027.

By joining the SRM on 10 July 2020, the Republic of Croatia became a full member of the SRM in accordance with the SRMR, whose implementation has been further regulated by the Credit Institutions Act and the Croatian Resolution Act. As part of the SRM, the credit institutions in the Republic of Croatia (including the Issuer) are contributing to the SRF through the HAOD.

The provisions of Directive 2014/49/EU, as amended (Directive on Deposit Guarantee Schemes – "**DGSD**") have been transposed into Croatian legislation pursuant to the Croatian Deposit Insurance Regime Act (OG 146/2020, 119/2022) and form part of the measures adopted in the aftermath of the financial crisis in an effort to establish the Banking Union and aims to further strengthen the protection of depositors. In principle, the target level of the deposit insurance fund is set to 2.5% of the total amount of insured deposits and had to be collected from credit institutions in the Republic of Croatia (including the Issuer) until 3 July 2024. As of 31 December 2023, the target level of 2.5% of the total insured deposits held by credit institutions authorized in the Republic of Croatia (including the Issuer) was achieved. As a result, no regular annual contributions were collected from credit institutions within the scope of the SRF in 2024 or 2025 and are not expected to be collected in 2026, *i.e.* contributions would only be collected under specific circumstances or in the event of resolution actions requiring the use of the SRF. However, in addition to *ex-ante* contributions, if necessary, credit institutions (including the Issuer) will have to pay extraordinary (*ex post*) contributions to a certain extent, set by the HAOD.

Through amendments to the DGSD, which are part of the Crisis Management and Deposit Insurance ("CMDI") package, it is envisaged to regulate the observed legal gaps in the framework deposit insurance and harmonization of the rules for DGSD interventions different from the actual payment of compensation in case of failure of the institution, i.e. the opening of forced liquidation over the same.

The Issuer's obligation to make such contributions may result in additional financial burden for the Issuer and may have a negative impact on its financial position and results of operation.

The Bank Recovery and Resolution Directive provisions may have a material adverse effect on the investment in the Notes, there being a risk for any holder of Notes of losing their investment, as well as on the Issuer's business, financial condition, results of operations and prospects

The provisions of the Directive 2014/59/EU, as amended (Bank Recovery and Resolution Directive - "**BRRD**") have been transposed into Croatian legislation via the Croatian Resolution Act and the Credit Institutions Act. The legislation may have a negative impact on debt instruments (including the Notes) by allowing the resolution authorities to order write-down of such instruments or convert them into instruments of ownership under resolution circumstances. The Issuer may be subject to resolution tools and other powers as set out under the above-mentioned laws.

The BRRD has been modified by Directive (EU) 2019/879 of the European Parliament and of the Council of 20 May 2019 amending the Bank Recovery and Resolution Directive as regards the loss-absorbing and recapitalisation capacity of credit institutions and investment firms and Directive 98/26/EC ("**BRRD 2**"). The changes made by BRRD 2 are implemented into Croatian law. Amendments made relate in particular to MREL requirements and confer on the Relevant Resolution Authorities (as defined in the Conditions) additional powers.

The BRRD and SRMR recognise as resolution strategies both, a single or multiple point-of-entry ("**SPE**" and "**MPE**") approach. In an SPE approach a failing bank subsidiary is recapitalised by using instruments issued by the group parent, the proceeds being down-streamed to the failing subsidiary, while in an MPE approach a failing bank subsidiary is recapitalised by using instruments issued by the failing subsidiary itself. By applying the SPE approach, the shareholder structure of the parent entity may undergo change as a result of the resolution, whereas by applying the MPE approach, the shareholder structure of the failing subsidiary is the one that may be subject to change, with the shareholding structure of the parent entity remaining the same.

The CNB, as the national resolution authority ("**NRA**"), defines a resolution strategy for the Issuer.

The CNB's preferred resolution strategy for the Issuer involves the application of the bail-in tool and is primarily aimed at preserving the sustainability of the entire institution. The basis of this resolution strategy is to maintain an appropriate MREL requirement, primarily through regulatory capital, own funds and/or eligible liabilities.

The MREL requirement represents the minimum level of regulatory capital and eligible liabilities required to ensure that the Issuer absorbs an adequate amount of losses and is recapitalised in an amount sufficient to implement the preferred resolution strategy for a period of at least one year from its application. The prescribed MREL requirement for the Issuer, as a percentage of its total risk exposure amount (TREA), equals 24.17% (or 30.67% once capital buffers have been added to the basic MREL requirement from December 2025). MREL eligible liabilities are all directly issued debt instruments of the Issuer that qualify as eligible liabilities instruments in accordance with Article 72b of the CRR and/or the Croatian Resolution Act, including all debt instruments that qualify as eligible liabilities items in accordance with the transitional provisions of the CRR and/or the Croatian Resolution Act.

The CNB is also responsible for defining an alternative resolution strategy being the sale of the Issuer's shares (share deal). The Issuer is part of a group of linked entities according to the Credit Institutions Act, and is the 100% owner of the following companies which form the other entities in the Group: HPB Invest d.o.o. and HPB-nekretnine d.o.o. However, for the purpose of the resolution regime, the Issuer does not have any material entities

identified besides the Issuer itself. Consequently, the resolution group just consists of the Issuer. Therefore, a single point-of-entry ("SPE") approach is applied.

The determination of MREL is determined yearly in line with applicable banking laws. As of the date of this Offering Memorandum, a binding MREL target has been set for the Issuer at 30.67% (as of 31 December 2025, the binding MREL target was 30.67%). If the Relevant Resolution Authority requests an increase of the Issuer's MREL, this could require the Issuer to issue additional eligible liabilities at substantial costs. This could have a material adverse impact on the Issuer's profitability and financial situation. If the Issuer is unable to increase its MREL ratio sufficiently, its credit ratings may drop and its cost of funding may increase, and/or the competent authorities may impose fines, penalties or other regulatory measures.

Moreover, there is a risk that the Issuer may not be able to meet these minimum requirements for own funds and eligible liabilities, which could materially adversely affect the Issuer's ability to make payments on the Notes. In particular, under the bail-in tool, the Relevant Resolution Authority may order a write-down of the Notes or convert them into CET 1 instruments. In such cases, that might mean that Holders of the Notes may be subject to bail-in proceedings, or may even lose all, or part of their investment. Apart from potentially being subject to resolution tools and exercise of other powers as set out under the Croatian Resolution Act and BRRD, the Issuer may also be subject to the regime instituted by the general national bankruptcy proceedings for credit institutions.

The Issuer is subject to litigation risk

The Issuer may from time to time be subject to litigation, whether of a substantive or vexatious nature. Such litigation, if not dismissed at an early stage or if decided contrary to the Issuer's best commercial interests, may have an adverse impact on the operations of the Issuer. Furthermore, such cases may include claims or actions in which the petitioner or plaintiff has not specifically, or not in whole, quantified the penalties or damages sought. In these circumstances, it may, in particular, be difficult to predict the outcome of a dispute and estimate possible losses in a reliable manner and, therefore, to set aside adequate provisions for such possible losses. Furthermore, the Issuer might also be subject to representative actions brought by prosecuting attorneys, empowered bodies or certain civil society organizations in relation to consumer agreements which are entered into pursuant to the Issuer's standard forms of contract, where a court might, in certain circumstances, declare its judgement binding with respect to all agreements entered into on the relevant standard terms of the Issuer if one or more of them is found unfair. In relation to agreements entered into on the standard terms of the Issuer, there is also the risk that an action brought by a customer and/or a judgement rendered in favour of such customer, which would not, in isolation, affect the financial condition of the Issuer, may encourage a large number of other customers with similar agreements to bring several actions simultaneously against the Issuer. Should such actions be brought against the Issuer and be adjudicated contrary to its commercial interest, the combined effect of such judgements together, as a whole, may have a negative effect on the operations of the Issuer. In addition, the Issuer may settle litigation prior to final judgements or determination of liability with a view to avoiding the cost, management efforts or negative business, regulatory or reputational consequences of continuing to contest liability, even when the Issuer believes that it has no liability. This might also be the case where the potential consequences of failing to prevail would be disproportionate to the costs of settlement. Furthermore, the Issuer may, for similar reasons, reimburse counterparties for losses even when the Issuer does not believe that it is legally compelled to do so.

Most of the active lawsuits against the Bank and the Group pertain to Swiss franc (CHF) loans disputes arising from the "Petrošić" case, which were assumed by the Bank following its merger of Sberbank d.d. (Nova hrvatska banka d.d.) into the Bank. The association 'Petrošić' sued a total of eight Croatian banks (including the Bank's legal predecessor), claiming that consumers who took out loans linked to CHF in the period from 2004 to 2008 were not adequately informed by the banks of all risks associated with such loans, and that the variable interest rates applied in those agreements were unlawful. The claim sought to have both the CHF-indexation of the loan principal and the unilateral adjustment of variable interest rates declared null and void. After lengthy proceedings involving both the Constitutional and Supreme Courts, the High Commercial Court of the Republic of Croatia delivered rulings in the collective consumer protection proceedings, while the Constitutional Court of the Republic of Croatia in February 2021 essentially confirmed the findings concerning the nullity of the CHF currency clause

and variable interest rate provisions. The ruling in the collective proceedings was declaratory rather than condemnatory in nature, meaning that individual consumers were required to initiate separate proceedings in respect of their monetary claims. The lawsuit initiating proceedings related to CHF-indexation of the loan principal had to be filed with the competent court no later than 14 June 2023. However, this statute of limitation does not apply to claims relating to variable interest rates applied in CHF loans disputes. As a result of the aforesaid unfavourable ruling, the number of new client-consumer lawsuits against the Issuer related to CHF loans has continued to increase year after year.

In individual disputes concerning non-converted CHF loans, the courts' positions and judicial practice have clearly developed in favour of the plaintiffs. During 2023, compared to previous years, the number of lawsuits against the Issuer related to CHF loans, as well as the number of final judgments against the Issuer, further increased. The increased number of litigations resulted in higher amounts of provisions for legal cases. The Issuer specifically creates portfolio provisions for potential disputes related to non-converted CHF loans.

Pursuant to amendments to the Consumer Credit Act and the Credit Institutions Act adopted in 2015, CHF-linked loans were converted into EUR-linked or HRK loans under the statutory conversion framework. The Supreme Court issued a decision in 2020, in the so-called "model" proceedings initiated due to questions about the validity of agreements for CHF loan conversion. The Supreme Court declared the conversion of loans in Swiss francs valid and considered that conversion agreements (including all their addenda) have valid legal effect regardless of the nullity of provisions on interest rates or currency clauses in the original CHF loan agreements. In 2022, the Court of Justice of the European Union also delivered a decision, determining that the disputed conversion cases were not subject to the application of Directive 93/13 in the circumstances of that case, in particular having regard to the fact that the original loan agreement had been concluded before Croatia's accession to the European Union. The Court of Justice of the European Union left it to the national courts to assess whether a contractual balance was indeed established, taking into account all legal and factual circumstances preceding the conversion. In 2026, the Supreme Court issued a further decision in proceedings concerning converted CHF-linked loans, clarifying the legal position in respect of certain consumer claims following statutory conversion. The decision indicates that, while consumers who converted CHF-linked loans are not entitled to repayment of principal amounts allegedly overpaid under null provisions of the original loan agreements, they may still pursue claims for statutory default interest. Accordingly, although the latest Supreme Court decision may reduce the Issuer's exposure in respect of principal repayment claims relating to converted CHF-linked loans, individual proceedings may continue, in particular in relation to statutory default interest and related costs. The Bank has established provisions for converted CHF loans.

Furthermore, in 2024 and 2025 there has been an increase in the number of lawsuits filed against the Issuer related to the nullity of upfront and exit fees, as well as in the number of final judgments rendered against the Issuer. With respect to the nullity of upfront and exit fees, the Supreme Court of the Republic of Croatia, in its decisions issued in 2022 and 2024, took a position regarding the rights of plaintiffs as consumers where the claim relates to upfront and exit fees. For the Issuer to succeed in such proceedings, the Issuer must demonstrate the objectively incurred, fair costs it directly sustained when concluding the loan agreement or due to early loan repayment. Additionally, the Issuer must provide precise evidence regarding the amount of these costs. The Bank is also required to consider its transparency obligations as stipulated by the Consumer Protection Act. Otherwise, the provisions in question would be deemed null and void. In view of these developments, the Issuer has increased provisions for cases in which the claim pertains to the nullity of upfront and exit fees.

The Bank's total provisions relating to CHF mortgage claims were EUR 16.7 million as at 31 March 2026.

The Bank's total provisions relating to upfront and exit fees were EUR 2.0 million as at 31 March 2026.

In addition to the foregoing, please see "*Description of the Issuer - Legal Proceedings*" for an overview of the most relevant legal proceedings pending against the Issuer as at 31 March 2026.

Any litigation is subject to many uncertainties, and the outcome is not predictable. Failure to manage these risks could adversely affect the Issuer's operations and/or reputation.

Handling customer personal data represents a significant part of the Issuer's daily activity, and a leakage of such data might violate the applicable laws and regulations

The Issuer accumulates, stores and uses in its operations data which are protected by data protection laws. Although the Issuer takes precautions to protect customer data in accordance with the applicable privacy requirements, it is possible that there may be data leakages in the future. In addition, the Issuer works with service providers or third-parties' commercial partners, which may not fully comply with the relevant contractual terms and all data protection obligations imposed on them.

Therefore, should any violations of data protection laws be identified to have been committed by the Issuer, they may result in fines, claims for damages, prosecution of relevant employees and managers, reputational damage and loss of customers and may have a material adverse effect on the Issuer's business, prospects, results of operations and financial condition.

Applicable Croatian insolvency and bankruptcy laws, as well as other laws and regulations governing creditors' rights may limit the Issuer's ability to obtain payments on defaulted loans and advances

Croatian bankruptcy and enforcement laws may not offer in all respect the same level of rights, remedies and protections that creditors enjoy under the legal regimes in other EU jurisdictions. In particular, Croatian bankruptcy and enforcement laws and practice may make it comparatively more difficult and time-consuming for the Issuer to recover amounts in respect of its secured and unsecured claims before the Croatian courts. Inability to obtain effective legal remedies in a reasonably timely manner may adversely affect the Issuer's business, financial condition, results of operations, liquidity or prospects.

Changes in laws or administrative practices could entail risks

The Issuer operates in a legal and regulatory environment in Croatia that is subject to frequent changes and evolving supervisory expectations. Amendments to laws, new regulatory standards, shifts in supervisory approaches, or changes in the interpretation or enforcement of existing rules by the CNB or other authorities may require the Issuer to modify product structures, contractual documentation, capital and liquidity plans, governance arrangements, risk frameworks, systems and controls, or daily operations. These changes may need to be implemented within compressed timeframes and could entail additional costs, potentially impacting the Issuer's business model, growth path, balance sheet composition, funding mix, risk-weighted assets, and earnings profile.

Tax rules and administrative practices may also change, affecting the taxation of interest or gains on debt instruments, withholding obligations, or the deductibility of provisions and expenses. Changes to accounting standards or their local interpretation could similarly impact reported results, capital ratios, or distributable items.

Finally, authorities' administrative practices, including on-site inspections, thematic reviews, stress-testing methodologies, interpretations of existing rules, and data and reporting requirements, may evolve, sometimes without formal legal change. These shifts may require significant management attention, remediation projects, or systems enhancements and could affect the timing or feasibility of strategic initiatives. Any of these developments, individually or collectively, could have a material adverse effect on the Issuer's business, financial condition, operational results, funding profile, or prospects, and could also affect the characteristics, risk profile, marketability, or regulatory treatment of the Notes.

Furthermore, the Issuer operates in a heavily regulated environment and have to comply with extensive regulations in Croatia. No assurance can be given as to the impact of any possible judicial decision or change to laws or administrative practices of Croatia after the date of this Offering Memorandum.

RISKS ASSOCIATED WITH THE NOTES

The Issuer may be subject to statutory resolution

The BRRD contemplates that powers will be granted to the Relevant Resolution Authority including (but not limited to) the write-down tool and the general bail-in tool. For more information on the implementation of the BRRD in the eurozone and Croatia, see *"Risk Factors – The Bank Recovery and Resolution Directive provisions may have a material adverse effect on an investment in the Notes, there being a risk for any holder of Notes of losing their investment, as well as on the Issuer's business, financial condition, results of operations and prospects."* above and *"Risk Factors – The Croatian resolution legislation implementing the BRRD"* below.

The purpose of the general bail-in tool is to ensure that a credit institution subjected to resolution may be recapitalised either by way of write-down or conversion of liabilities into ordinary shares. The general bail-in tool may be imposed either as a sole resolution measure or in combination with the rest of the Resolution Tools.

As well as the write-down tool and the general bail-in tool as described above, the powers granted to the Relevant Resolution Authority under the BRRD include the other Resolution Tools. In addition, among the broader powers granted to the Relevant Resolution Authority under the BRRD, the BRRD provides powers to the Relevant Resolution Authority to amend the dates on which payments of principal, interest and any other amounts become due on debt instruments or other eligible liabilities of the relevant financial institution and/or impose a temporary suspension of payments.

In summary, if the Issuer is subjected to resolution measures in the future the Relevant Resolution Authority may cancel all or a portion of the principal amount of, and interest on, certain unsecured liabilities (including the Notes) and/or convert certain debt claims (including the Notes) into another security, including equity instruments of the surviving issuer entity, if any. Furthermore, the Notes may be subject to modifications to, or the disapplication of, provisions in the Conditions of the Notes, including alteration of the principal amount or any interest payable on the Notes, an extension of the maturity date or an amendment to any other dates on which payments may be due, as well as the suspension of payments for a certain period.

Pursuant to Condition 15(d) (*Governing Law and Jurisdiction – Acknowledgement of Bail-in and Loss Absorption Powers*), each Holder of the Notes acknowledges and accepts that any liability of the Issuer arising under the Notes may be subject to the exercise of Bail-in and Loss Absorption Powers by the Relevant Resolution Authority. The exercise of any such power or any suggestion of such exercise could materially adversely affect the value of any Notes subject to the BRRD and could lead to the Holders losing some or all of their investment in the Notes. Prospective investors in the Notes should consult their own advisers as to the consequences of the implementation of the BRRD. See also *"Risk Factors – The Bank Recovery and Resolution Directive provisions may have a material adverse effect on an investment in the Notes, there being a risk for any holder of Notes of losing their investment, as well as on the Issuer's business, financial condition, results of operations and prospects."* above.

In addition to the BRRD, the EU has adopted the SRM Regulation. The SRM Regulation establishes the SRB, consisting of representatives from the ECB, the European Commission and the relevant national resolution authorities, and provides the framework for the resolution of financial institutions within participating Member States. As a credit institution classified by the ECB and the CNB as a 'less significant entity', the Issuer is subject to the Croatian prudential supervisory regime administered by the CNB within the framework of the Single Supervisory Mechanism, under the overall oversight of the ECB. While the CNB is the resolution authority with direct responsibility for the Issuer, where necessary to ensure the consistent application of high resolution standards, the SRB can decide, or the CNB can request the SRB, to exercise directly all its powers with regard to banks that are originally within its remit (which would include the Issuer). If a resolution action requires the use of the SRF, the SRB will also be responsible for the adoption of the resolution scheme for that bank. The SRM Regulation mirrors the BRRD and, to a large part, refers to the BRRD so that (where applicable) the SRB is able to apply the same powers that would otherwise be available to the relevant national resolution authority. National resolution authorities will remain responsible for the execution of the resolution scheme according to the instructions of the SRB.

The CNB acting as the Relevant Resolution Authority is responsible for preparing and adopting a resolution plan for the entities subject to its powers, including the Issuer. It also determines the MREL which the Issuer is expected to be required to meet at all times (the MREL requirements applicable to the Issuer with effect from 1 January 2026, together with the historical and current MREL levels applicable to the Issuer, have been summarised in "*Description of the Issuer – MREL requirements applicable to the Issuer*").] The CNB will also have the powers in relation to early intervention as set forth in BRRD, including the power to require the Issuer to contact potential purchasers in order to prepare for the resolution of the Issuer. The CNB will have the authority to exercise the specific resolution powers set out in the BRRD. These will be launched if it assesses that the following conditions are met: (i) the Issuer is failing or is likely to fail; (ii) having regard to timing and other relevant circumstances, there is no reasonable prospect that any alternative private sector measures or supervisory action or the write-down or conversion of relevant capital instruments, taken in respect of the Issuer, would prevent its failure within a reasonable timeframe; and (iii) a resolution action is necessary in the public interest.

The exercise of any resolution powers by the CNB or the SRB or any powers pursuant to BRRD with respect to the Issuer or any suggestion of such exercise will likely materially adversely affect the price or value of an investment in the Notes and/or the ability of the Issuer to satisfy its obligations under the Notes and could lead to the Holders losing some or all of their investment in the Notes.

The Croatian resolution legislation implementing the BRRD

The Croatian Resolution Act and (where applicable) the SRM Regulation provide for certain resolution measures, including the power to impose in certain circumstances a suspension of activities. Any suspension of activities can, to the extent determined by the Relevant Resolution Authority, result in the partial or complete suspension of the performance of agreements entered into by the Issuer. The Croatian Resolution Act also provides the Croatian National Bank with the right to appoint a special manager to the Issuer or to exercise control over the Issuer through exercise of shareholder rights and management and disposal of the Issuer's assets. More broadly, the Croatian Resolution Act (when read together with the SRM Regulation, where applicable) grants powers to take a number of resolution measures which may apply to the Issuer, including (i) a forced sale of the credit institution (sale of business), (ii) the establishment of a bridge institution bank, (iii) the forced transfer of all or part of the assets, rights or obligations of the credit institution (asset separation) and (iv) the application of the general bail-in and loss absorption tool. In addition, the Croatian Resolution Act sets forth that the Issuer must at all times meet the MREL requirement determined by the Croatian National Bank.

The powers set out in the resolution legislation will impact how credit institutions are managed as well as, in certain circumstances, the rights of creditors. If the write-down tool or the general bail-in tool becomes applicable to the Issuer, the Notes may be subject to write-down or conversion into equity on any application of those powers, which may result in Holders losing some or all of their investment. Subject to certain conditions, the terms of the obligations owed by the Issuer may also be varied by the Relevant Resolution Authority (for example, as to dates on which payments of principal, interest and other amounts become due). The exercise of any power under the resolution legislation or any suggestion of such exercise could materially adversely affect the rights of Holders, the price or value of their investment in any Notes and/or the ability of the Issuer to satisfy its obligations under any Notes. See also "*Risk Factors – The Issuer may be subject to statutory resolution*" above.

Under certain circumstances, the Issuer's ability to redeem or repurchase the Notes may be limited

The rules under the Applicable Banking Regulations prescribe certain conditions for the granting of permission by the Relevant Resolution Authority to a request by the Issuer to redeem or repurchase the Notes prior to the Maturity Date. The Issuer may redeem or repurchase the Notes only if such redemption or repurchase is in accordance with applicable provisions of the Applicable Banking Regulations, and, where necessary, has been granted the approval of or permission from the Relevant Resolution Authority (to the extent such approval is then required under the Applicable Banking Regulations). The rules under the Applicable Banking Regulations relating to redemption and repurchase of the Notes may be modified further after the Issue Date.

Remedies in case of default on the Notes are severely limited

Pursuant to the Conditions of the Notes, the Holders do not have a right to accelerate future scheduled payments of principal or interest under the Notes other than in case of Winding-up Proceedings (as defined in the Conditions) of the Issuer. In the case of non-payment by the Issuer of any amounts due, the Holders of Notes may claim payment in respect of Notes only in the Winding-up Proceedings of the Issuer.

Regular liquidation may be instituted by the Issuer in case dissolution is planned subject to CNB's approval of the liquidation plan. A request for the opening of insolvency proceedings (being compulsory liquidation in Croatia) over the Issuer may be filed only by the CNB if (among other reasons) the Issuer is not able to fulfil its obligations as they fall due. As an exception, a request for the opening of compulsory liquidation proceedings may also be filed by a liquidator (where a regular liquidation of the Issuer has been previously commenced). Whilst the Issuer's inability to meet its obligations as they fall due, which may arise in particular where the Issuer's accounts are blocked by creditors seeking enforcement of their claims, is one of the grounds for compulsory liquidation initiated by the CNB, the Holders do not have a direct right to institute any winding up, insolvency or bankruptcy of the Issuer.

The Issuer could, in certain circumstances, substitute or vary the terms of the Notes

In certain circumstances (being where a Tax Event or MREL Disqualification Event has occurred and is continuing, or in order to ensure the effectiveness of Condition 15(d) (*Governing Law and Jurisdiction – Acknowledgement of Bail-in and Loss Absorption Powers*)), the Issuer may, in accordance with Applicable Banking Regulations and without the consent or approval of the Holders, substitute or vary the terms of the Notes such that they remain, or become, Qualifying Securities. See also "*Risk Factors – Modifications and waivers*" below.

While the Issuer cannot generally make changes to the terms of such Notes that are materially less favourable to an investor than the terms of the Notes, Condition 15(d) (*Governing Law and Jurisdiction – Acknowledgement of Bail-in and Loss Absorption Powers*) may be changed in order to ensure the effectiveness and enforceability of Condition 15(d) (*Acknowledgement of Bail-in and Loss Absorption Powers*). There can be no assurance that the terms of any Qualifying Securities will be viewed by the market as equally favourable to Holders, that such Qualifying Securities will trade at prices that are equal to the prices at which the Notes would have traded on the basis of their original terms or that the market for the Qualifying Securities will be as liquid as that for the Notes on the basis of their original terms.

There can be no assurance as to whether any of these changes will negatively affect any particular Holder. In addition, the tax and stamp duty consequences of holding such varied Notes could be different for some categories of Holders from the tax and stamp duty consequences for them of holding the Notes prior to such substitution or variation.

Modification and waivers

The Conditions of the Notes contain provisions for calling meetings of Holders to consider and vote upon matters affecting their interests generally, or to pass resolutions in writing. These provisions permit defined majorities to bind all Holders including Holders who did not attend and vote at the relevant meeting, or as the case may be, did not sign the written resolution including those Holders who voted in a manner contrary to the majority.

Furthermore, the Conditions of the Notes provide that the Notes and the Conditions of the Notes may be amended without the consent of the Holders upon the occurrence of a Benchmark Event pursuant to and in accordance with Condition 4(i) (*Interest Payments – Benchmark Discontinuation*), any modification which is of a formal, minor or technical nature, or to comply with mandatory provisions of law, or to correct a manifest error in accordance with Condition 10(b) (*Meetings of Holders, Modification and Waiver – Modification*). The Issuer cannot foresee, as at the date of this Offering Memorandum, what such changes may entail, however, any changes made will be binding on holders.

Credit risk of the Issuer

An investment in the Notes is subject to credit risk, which means that the Issuer may fail to meet its obligations arising from the Notes at all or in a timely manner. The Issuer's ability to meet its obligations arising from the Notes and the ability of the Holders to receive payments arising from the Notes depends on the financial position and the results of operations of the Issuer, which are subject to other risks described in this Offering Memorandum.

The Notes are not bank deposits of the Issuer and are not insured by the Croatian Deposit Insurance Agency (in Croatian: *Hrvatska Agencija za Osiguranje Depozita*). Thus, in the event of the insolvency of the Issuer, the Holders would not receive any payments related to Notes from this public institution or benefit from any other state insurance or guarantee.

There may be no active trading market for the Notes

The Notes are new securities which may not be widely distributed and for which there is currently no active trading market. Holdings in the Notes upon issue may be concentrated as they are likely to be purchased by a limited number of initial investors, one or more of whom may hold a significant proportion of the total issuance. Investors may find it difficult to sell their Notes or to sell them at prices producing a return comparable to returns on similar investments in the secondary market.

If a market does develop, it may not be very liquid. Therefore, no liquidity of any market in the Notes can be assured; nor the ability of the Holders to sell their Notes or the prices at which they would be able to sell their Notes. Therefore, the investors may find it difficult to sell their Notes or to sell them at prices producing a return comparable to returns on similar investments in the secondary market.

If the Notes are traded after their initial issuance, they may be traded at a discount or at a premium to their initial offering price, depending upon prevailing interest rates, the market for similar securities, general economic conditions and the financial condition of the Issuer. It is possible that the market for the Notes will be subject to disruptions or volatility. Any such disruption or volatility may have a negative effect on Holders, regardless of the Issuer's prospects and financial performance. As a result, there is no assurance that there will be an active trading market for the Notes. If no active trading market develops, Holders may not be able to resell their holding of the Notes at a fair value, if at all.

Exchange rates and exchange controls

The Issuer will pay principal and interest on the Notes in euro (the "**Specified Currency**"). This presents certain risks relating to currency conversions if a Holder's financial activities are denominated principally in a currency or currency unit (the "**Investor's Currency**") other than the Specified Currency. These include the risk that exchange rates may significantly change (including changes due to devaluation of the Specified Currency or revaluation of the Investor's Currency) and the risk that authorities with jurisdiction over the Investor's Currency may impose or modify exchange controls. An appreciation in the value of the Investor's Currency relative to the Specified Currency would decrease (1) the Investor's Currency-equivalent yield on the Notes, (2) the Investor's Currency equivalent value of the principal payable on the Notes and (3) the Investor's Currency equivalent market value of the Notes.

Government and monetary authorities may impose (as some have done in the past) exchange controls that could adversely affect an applicable exchange rate. As a result, Holders may receive less interest or principal than expected, or no interest or principal.

The Issuer is not prohibited from issuing further debt, which may rank *pari passu* with or senior to the Notes

There is no restriction on the amount of debt that the Issuer may issue that ranks senior to the Notes or on the quantum of securities that it may issue that rank *pari passu* with the Notes. The issue of any such debt or securities may reduce the amount recoverable by Holders in the event of voluntary or involuntary liquidation or bankruptcy of the Issuer.

No rights of set-off, netting, counterclaim or guarantee

Holders of Notes shall not be entitled to exercise any right of set-off, netting or counterclaim against moneys owed by the Issuer in respect of such Notes. Therefore, such Holders will not be entitled (subject to applicable law) to set off the Issuer's obligations under such Notes against obligations owed by them to the Issuer. This could have an adverse impact on the counterparty risk for such Holders in the event that the Issuer were to become insolvent.

The Notes are unsecured and not subject to any guarantee, security or any other arrangement that enhances the seniority of the claims under the Notes.

Interest rate risks

An investment in the Notes involves the risk that subsequent changes in market interest rates may adversely affect the value of the Notes. Particularly long-term fixed-rate notes involve a high risk of a material decline in value if the market rate exceeds the rate paid in accordance with the fixed-rate notes. On the other hand, holders of Notes that are subject to redemption at the option of the Issuer should not expect, in case of falling market rates, that the price would substantially exceed the redemption price. The yield to the Reset Date on the Notes is affected by number of factors that cannot be predicted at the time of the investment.

The interest rate on the Notes will be reset on the Reset Date, which may affect the market value of the Notes

The Notes will initially accrue interest at the Initial Fixed Interest Rate to, but excluding, the Reset Date. However, the interest rate will be reset on the Reset Date to the Reset Rate of Interest (as described in Conditions 4(d) (*Interest Payments – Reset Rate of Interest*) and 4(e) (*Interest Payments – Determination of Reset Rate of Interest*)). The Reset Rate of Interest could be less than the Initial Fixed Interest Rate, which could affect the amount of any interest payments under the Notes and the market value of an investment in the Notes. As the Notes bear interest at a fixed rate (reset with effect from the Reset Date), an investment in the Notes involves the risk that subsequent changes in market interest rates may adversely affect the value of the Notes.

A Holder's actual yield on the Notes may be reduced from the stated yield by transaction costs

When Notes are purchased or sold, several types of incidental costs (including transaction fees and commissions) are incurred in addition to the current price of the security. These incidental costs may significantly reduce or even exclude the profit potential of the Notes. For instance, credit institutions as a rule charge their clients commissions which are either fixed minimum commissions or *pro rata* commissions depending on the order value. To the extent that additional domestic or foreign parties are involved in the execution of an order, including but not limited to domestic dealers or brokers in foreign markets, Holders must take into account that they may also be charged for the brokerage fees, commissions and other fees and expenses of such parties (third party costs).

In addition to such costs directly related to the purchase of securities (direct costs), Holders must also take into account any follow-up costs (such as custody fees). Prospective investors should inform themselves about any additional costs incurred in connection with the purchase, custody or sale of the Notes before investing in the Notes.

Regulation and reform of "benchmarks" could adversely affect the Notes

From and including the Reset Date, amounts payable under the Notes will be calculated by reference to the applicable annualised mid-swap rate for swap transactions in euro (with a maturity equal to 12 months and a floating leg based on EURIBOR) as displayed on Reuters page ICESWAP2 at 11.00 a.m. (Central European Time) on the Reset Determination Date. Interest rates and indices which are deemed to be 'benchmarks', such as EURIBOR, are the subject of ongoing national, international and other regulatory guidance and proposals for reform, with further changes anticipated. Some of these reforms are already effective whilst others are still to be implemented. These reforms may cause such benchmarks to perform differently than in the past, to disappear entirely, or have other consequences which cannot be predicted. Any such consequence could have a material adverse effect on the Notes.

The EU Benchmarks Regulation applies, subject to certain transitional provisions, to the provision of benchmarks, the contribution of input data to a benchmark and the use of a benchmark within the EU. Among other things it (i) requires benchmark administrators to be authorised or registered (or, if non-EU-based, to be subject to an equivalent regime or otherwise recognised or endorsed) and (ii) prevents certain uses by EU supervised entities of benchmarks of administrators that are not authorised or registered (or, if non-EU based, not deemed equivalent or recognised or endorsed).

The EU Benchmarks Regulation could have a material impact on the Notes, in particular, if the methodology or other terms of the 'benchmark' are changed in order to comply with the terms of the EU Benchmarks Regulation, and such changes could (amongst other things) have the effect of reducing or increasing the rate or level, or affecting the volatility of the published rate or level, of the benchmark.

More broadly, any of the international, national or other proposals for reform, or the general increased regulatory scrutiny of benchmarks, could increase the costs and risks of administering or otherwise participating in the setting of a benchmark and complying with any such regulations or requirements.

The elimination of the EURIBOR benchmark or any other benchmark or changes in the manner of administration of any benchmark or any other consequential changes as a result of international or national reforms or other initiatives or investigations, could have a material adverse effect on the value of and return on debt securities (including the Notes) linked to such benchmark. Furthermore, even prior to the implementation of any changes, uncertainty as to the nature of alternative reference rates and as to potential changes to such benchmark may adversely affect such benchmark during the term of the Notes, the return on the Notes and the trading market for securities (including the Notes) based on the same benchmark.

The Conditions of the Notes provide for certain fallback arrangements in the event that the Reset Reference Rate (including any page on which such rate may be published (or any successor service)) becomes unavailable or a Benchmark Event (as defined in the Conditions) otherwise occurs in respect of an Original Reference Rate (as defined in the Conditions). Such fallback arrangements include the possibility that the Reset Rate of Interest could be set by reference to a Successor Rate or an Alternative Rate (each as defined in the Conditions of the Notes), with the application of an Adjustment Spread (as defined in the Conditions of the Notes) (which could be positive, negative or zero), and may include amendments to the Conditions of the Notes to ensure the proper operation of the new benchmark, all as determined by the Issuer (in consultation with the Independent Adviser) and as more fully described in Condition 4(i) (*Interest Payments – Benchmark Discontinuation*). It is possible that the adoption of a Successor Rate or Alternative Rate, including any Adjustment Spread, may result in the Notes performing differently (which may include payment of a lower Interest Rate) than they would if the Original Reference Rate were to continue to apply in its current form. In addition, due to the uncertainty concerning the availability of Successor Rates and Alternative Rates and the involvement of an Independent Adviser, there is a risk that the relevant fallback provisions may not operate as intended at the relevant time.

In certain circumstances, the ultimate fallback rate of interest for the purposes of calculation of the Reset Rate of Interest may result in the Initial Fixed Interest Rate continuing to be used. Further, no Successor Rate or Alternative Rate will be adopted, nor will the applicable Adjustment Spread be applied, nor will any Benchmark Amendments be made, if and to the extent that, in the determination of the Issuer, the same could reasonably be expected to prejudice the qualification of the Notes as eligible liabilities or loss absorbing capacity instruments for the purposes of the Applicable Banking Regulations. Any such consequences could have a material adverse effect on the value of and return on the Notes. Moreover, any of the above matters could affect the ability of the Issuer to meet its obligations under the Notes or could have a material adverse effect on the value or liquidity of, and the amount payable under, the Notes. Investors should consider these matters and consult their own independent advisers when making their investment decision with respect to the Notes.

The Notes may be redeemed prior to maturity

Subject to certain regulatory conditions and approvals, if a Tax Event or an MREL Disqualification Event occurs or if, at any time, the outstanding aggregate principal amount of the Notes is 25 per cent. or less of the aggregate principal amount of the Notes originally issued (including, for these purposes, any Further Notes), the Issuer may elect to redeem the Notes. In addition, on the Reset Date, the Issuer may elect to redeem the Notes. In each case the Notes would be redeemed at their principal amount together with any accrued but unpaid interest to (but excluding) the date fixed for redemption.

The Issuer may choose to redeem the Notes (subject to certain regulatory conditions and approvals) at times when prevailing interest rates may be relatively low. In such circumstances a holder of the Notes may not be able to reinvest the redemption proceeds in a comparable security at an effective interest rate as high as that of the Notes and may only be able to do so at a significantly lower rate. The exercise of any optional redemption feature is likely to limit the market value of the Notes. During any period when the Issuer may, or is perceived to be able to, elect to redeem the Notes, the market value of the Notes generally will not rise substantially above the price at which they can be redeemed. This also may be true prior to any redemption period.

The Issuer's gross-up obligation under the Notes is limited

The Issuer's obligation to pay Additional Amounts (as defined in the Conditions) in respect of any withholding or deduction in respect of taxes under the terms of the Notes applies only to payments of interest due and payable under such Notes and not to payments of principal.

As such, the Issuer would not be required to pay any Additional Amounts under the terms of the Notes to the extent any withholding or deduction applied to payments of principal. Accordingly, if any such withholding or deduction were to apply to any payments of principal under the Notes, such Holders would, upon repayment or redemption of such Notes, be entitled to receive only the net amount of such redemption or repayment proceeds after deduction of the amount required to be withheld or deducted. Therefore, Holders may receive less than the full amount due under such Notes, and the market value of such Notes may be adversely affected as a result.

Minimum denomination

As the Notes have a denomination consisting of the minimum denomination plus a higher integral multiple of another smaller amount, it is possible that the Notes may be traded in amounts in excess of EUR 100,000 (or its equivalent) that are not integral multiples of EUR 100,000 (or its equivalent). In such case a Holder who, as a result of trading such amounts, holds a principal amount of less than the minimum denomination may not receive a definitive Note in respect of such holding (should definitive Notes be printed) and would need to purchase a principal amount of Notes such that its holding amounts to the minimum denomination.

Because the Global Notes are held by or on behalf of Euroclear and Clearstream, Luxembourg, investors will have to rely on their procedures for transfer, payment and communication with the Issuer

The Notes will be represented by the Global Certificate except in certain limited circumstances described in the Global Certificate. The Global Certificate will be registered in the name of a nominee for the common depository on behalf of Euroclear and Clearstream, Luxembourg. Except in certain limited circumstances described in the Global Certificate, investors will not be entitled to receive Certificates in respect of the Notes. Euroclear and Clearstream, Luxembourg will maintain records of the beneficial interests in the Global Certificate. While the Notes are represented by the Global Certificate, investors will be able to trade their beneficial interests only through Euroclear and Clearstream, Luxembourg.

The Issuer will discharge its payment obligations under the Notes by making payments to the Agent, who will in turn make payments to Euroclear and Clearstream, Luxembourg for distribution to their account holders. A holder of a beneficial interest in the Global Certificate must rely on the procedures of Euroclear and Clearstream, Luxembourg to receive payments under the Notes. The Issuer has no responsibility or liability for the records relating to, or payments made in respect of, beneficial interests in the Global Certificate.

Holders of beneficial interests in the Global Certificate will not have a direct right to vote in respect of the Notes. Instead, such holders will be permitted to act only to the extent that they are enabled by Euroclear and Clearstream, Luxembourg to appoint appropriate proxies. Similarly, holders of beneficial interests in the Global Certificate will not have a direct right under the Global Certificate to take enforcement action against the Issuer in the event of a default under the Notes but will have to rely upon their rights under the Deed of Covenant.

Credit rating

The Issuer has been rated Baa3 and the Notes are expected to be rated Baa3 by Moody's. The rating may not reflect the potential impact of all of the risks related to the structure, market, additional factors discussed above and other factors that may affect the value of the Notes. Furthermore, one or more credit rating agencies may, from time to time, release unsolicited credit ratings reports in relation to the Notes without the consent or knowledge of the Issuer. The Issuer does not have any control over such reports or analyses and any adverse credit rating of the Notes could adversely affect the value of the Notes. A credit rating is not a recommendation to buy, sell or hold securities and may be subject to suspension, reduction or withdrawal at any time by the assigning rating agency.

Any adverse change in an applicable credit rating could adversely affect the trading price for the Notes. The Issuer is exposed to changes in the rating methodologies applied by rating agencies. Any adverse changes of such methodologies may result in a change in the ratings given to the Issuer or the Notes, which in turn may materially and adversely affect the Issuer's operations or financial condition and standing within capital markets.

In general, European regulated investors are restricted under the EU CRA Regulation from using a rating for regulatory purposes in the EEA, unless such ratings are not issued by a credit rating agency established in the EEA and registered under the EU CRA Regulation (and such registration has not been withdrawn or suspended, subject to transitional provisions that apply in certain circumstances). Such general restriction will also apply in the case of credit ratings issued by third country non-EEA credit rating agencies unless (1) the relevant credit ratings are endorsed by an EEA-registered credit rating agency or (2) the relevant third country rating agency is certified in accordance with the EU CRA Regulation (and such endorsement action or certification, as the case may be, has not been withdrawn or suspended, subject to transitional provisions that apply in certain circumstances). The list of registered and certified rating agencies published by ESMA on its website in accordance with the EU CRA Regulation is not conclusive evidence of the status of the relevant rating agency included in such list, as there may be delays between certain supervisory measures being taken against a relevant rating agency and the publication of the updated ESMA list.

Investors regulated in the UK are subject to similar restrictions under the UK CRA Regulation. As such, UK regulated investors are required to use for UK regulatory purposes ratings issued by a credit rating agency established in the UK and registered under the UK CRA Regulation. In the case of ratings issued by third country non-UK credit rating agencies, third country credit ratings can either be: (a) endorsed by a UK registered credit rating agency; or (b) issued by a third country credit rating agency that is certified in accordance with the UK CRA Regulation. Note this is subject, in each case, to (a) the relevant UK registration, certification or endorsement, as the case may be, not having been withdrawn or suspended, and (b) transitional provisions that apply in certain circumstances.

If the status of the rating agency rating the Notes changes for the purposes of the EU CRA Regulation or the UK CRA Regulation, relevant regulated investors may no longer be able to use the rating for regulatory purposes in the EEA or the UK, as applicable, and the Notes may have a different regulatory treatment, which may impact the value of the Notes and their liquidity in the secondary market. Certain information with respect to the credit rating agencies and ratings is set out on the cover of this Offering Memorandum.

Changes in laws or administrative practices could entail risks

The Conditions (other than the provisions relating to the status of the Notes and the acknowledgement of bail-in powers) are based on the laws of England in effect as at the date of issue of the Notes. No assurance can be given

as to the impact of any possible judicial decision or change to the laws of England or administrative practice after the date of this Offering Memorandum. Furthermore, the Issuer and the Group operate in a heavily regulated environment and have to comply with extensive regulations in the Republic of Croatia. No assurance can be given as to the impact of any possible judicial decision or change to laws or administrative practices of Croatia after the date of this Offering Memorandum.

Recognition of choice of court agreements and enforcement of foreign judgments in Croatia

In accordance with Condition 15 (*Governing Law and Jurisdiction*), the courts of England have jurisdiction to settle any dispute arising out of or in connection with the Notes (including Conditions 3 (*Status*) and 15(d) (*Governing Law and Jurisdiction – Acknowledgement of Bail-in and Loss Absorption Powers*) which are governed by Croatian law and any non-contractual obligation arising out of or in connection with the Notes). Notwithstanding Condition 15(b) (*Governing Law and Jurisdiction – Jurisdiction*), any Holder may take proceedings relating to a dispute in any other courts with jurisdiction. To the extent allowed by law, Holders may take concurrent proceedings in any number of jurisdictions.

Proceeding from the principles of the agreement on the withdrawal of the United Kingdom of Great Britain and Northern Ireland from the EU and the European Atomic Energy Community (the "**Withdrawal Agreement**"), for legal proceedings initiated, instruments drawn up or registered, and court settlements approved or concluded on or after 1 January 2021, the recognition of the choice of jurisdiction of English courts and the recognition and enforcement of judgments of English courts would be assessed and carried out in Croatia in accordance with the Hague Convention of 30 June 2005 on Choice of Court Agreements and the Croatian Private International Law Act (Cro. *Zakon o međunarodnom privatnom pravu*), if and as applicable. On 12 January 2024, the UK signed, and on 27 June 2024 ratified, the Hague Convention of 2 July 2019 on the Recognition and Enforcement of Foreign Judgements in Civil or Commercial Matters (the "**Hague 2019 Convention**"), which entered into force on 1 July 2025 for the UK. The Hague 2019 Convention provides for the mutual enforcement of judgements between the UK and other contracting states, including Member States, in proceedings commenced after the Hague 2019 Convention comes into force in the UK. Asymmetric and non-exclusive jurisdiction clauses are covered by the Hague 2019 Convention and will apply to judgements given in proceedings initiated after the Hague 2019 Convention comes into effect, regardless of when the agreement was made. The validity of the parties' agreement on jurisdiction, including as stipulated in Condition 15(b) (*Governing Law and Jurisdiction – Jurisdiction*) would be assessed by the Croatian courts in accordance with, firstly, the Hague 2019 Convention and, secondly, the Croatian Private International Law Act and Croatian Civil Procedure Act (Cro. *Zakon o parničnom postupku*).

The Croatian Private International Law Act, refers, in relation to the determination of jurisdiction in commercial matters, to the application of Regulation (EU) No 1215/2012 (the "**Brussels I bis Regulation**") which stipulates that parties are generally free to contractually agree on a jurisdiction of their choice, provided that, among others, the contract is concluded in the course of their business activities, in writing or in a format which can be reproduced in writing and does not relate to a matter in respect of which the exclusive jurisdiction of the Croatian courts is stipulated by the Croatian Civil Procedure Act. In order to be valid, the relevant agreement concerning applicable jurisdiction should not in bad faith exclude a party's right to use Croatian jurisdiction. The validity of asymmetric jurisdiction clauses is not expressly regulated in the Croatian Civil Procedure Act and have received limited review by the Croatian courts. With respect to the recognition of judgments of foreign courts, the Croatian Private International Law Act provides that a court may refuse, on the application of an interested party, to recognise the judgment based on the grounds stipulated in the Croatian Private International Law Act. These include, in particular, where the party against whom recognition is sought was not properly enabled to participate in the proceedings, where recognition would be contrary to Croatian public policy, where the matter falls within the exclusive jurisdiction of the Croatian courts, where the foreign court based its jurisdiction on grounds such as the mere presence of the defendant or assets without a sufficient connection to the dispute, where jurisdiction was exercised contrary to the jurisdictional rules of the Brussels I bis Regulation, and where there are conflicting judgments or pending proceedings between the same parties in respect of the same matter.

Thus, the ability of Holders to bring proceedings against the Issuer in the English courts or other foreign courts and the recognition and enforcement of the judgements of English courts and other foreign courts in Croatia may be subject to limitations and conditions arising from, as applicable in each particular situation, international agreements or conventions or the Croatian Private International Law Act and Croatian Civil Procedure Act.

Recognition and enforcement of the choice of English law to govern the majority of the provisions of the Notes and procedural rules applied in court proceedings in Croatia

Under item (a) of Article 66 of the Withdrawal Agreement, Regulation (EC) 593/2008 of the European Parliament and of the Council of 17 June 2008 on the law applicable to contractual obligations (the "**Rome I Regulation**") shall apply with respect to contracts concluded before 1 January 2021. For contracts concluded on or after 1 January 2021, recognition of choice of law to govern any contractual obligations would, in a situation where a relevant dispute is brought to a Croatian court (and provided that such Croatian court has jurisdiction over the dispute) be decided by the Croatian court in accordance with the Croatian Private International Law Act, which provides for the application of the Rome I Regulation as the primary conflict-of-law instrument in contractual matters. In accordance with the Rome I Regulation, as a general principle, an agreement shall be governed by the law (or laws) chosen by the parties and, by their choice, parties may select the law applicable to the whole or part of the agreement. However, a foreign law chosen by the parties shall not be applied by the Croatian courts in certain circumstances, above all, if: (i) application of a provision of foreign law is manifestly incompatible with the public order of Croatia; (ii) provisions of foreign law allow the parties to deviate from the provisions of Croatian law that have extraterritorial application or overriding mandatory provisions; or (iii) the substance of the applicable foreign law cannot be established by the Croatian court, regardless of all reasonable efforts, within a reasonable time. In such circumstances Croatian courts may apply Croatian law instead.

Further to the above, in any proceedings taken in Croatian courts or other authorities for the enforcement of the Notes, the courts and the authorities would apply procedural rules of Croatian law, and the enforcement would thus be subject to the limitations arising from Croatian law. Such limitations include, *inter alia*, that the enforcement of the Notes in the Croatian courts may be subject to restrictions based upon principles of reasonableness and fairness, statutory limitations for filing of claims and the general discretionary authority of the courts to mitigate damages. In addition, restrictions on the enforcement of the Notes could (depending on the circumstances) arise from applicable bankruptcy, insolvency, moratorium and other laws of general application relating to or affecting generally the enforcement of creditors' rights and remedies from time to time in effect. Any of the above may adversely affect the enforcement by Holders of their claims against the Issuer arising from the Notes.

The legal and judicial system in Croatia is less familiar with investments in securities, such as the Notes, than other European countries

The legal and judicial system in Croatia is less familiar with investments in securities such as the Notes than those of other European countries. Commercial law, competition law, securities law, company law, bankruptcy law and other areas of law are relatively new as such to local judges. At the same time, such legal provisions have been and continue to be subject to constant changes as new laws are being adopted as to the transition to a market economy and EU legislation. Existing laws and regulations may be applied inconsistently in Croatia or may be interpreted in an unexpected manner. Further, a degree of uncertainty exists that legal remedies can be obtained in a timely manner in Croatia. The relatively limited experience of a significant number of the competent governmental authorities, specifically with regard to capital markets issues and the existence of a number of issues relating to the independence of the judiciary system may lead to ungrounded decisions or to decisions based on considerations that are not grounded in the law. In addition, the processing of legal remedies may at times involve extensive delays. The court system in Croatia receives lower levels of funding relative to other European countries. The enforcement of judgments may also prove difficult and be subject to delays, especially where such judgments may lead to closure of businesses or job losses. This lack of legal certainty and the inability to obtain effective legal remedies in a timely manner may adversely affect the Issuer's business and may also make it difficult for investors in the Notes to enforce their claims against the Issuer.

INFORMATION INCORPORATED BY REFERENCE

The following information shall be deemed to be incorporated in, and to form part of, this Offering Memorandum *provided however* that any statement contained in any document incorporated by reference in, and forming part of, this Offering Memorandum shall be deemed to be modified or superseded for the purpose of this Offering Memorandum to the extent that a statement contained herein modifies or supersedes such statement:

- the audited consolidated and separate financial statements of the Group and the Issuer as of and for the financial year ended 31 December 2025, together with the notes thereto (the "**2025 Financial Statements**"), which appear on pages 215 to 348 of the Issuer's annual report and accounts for the year ended 31 December 2025 (the "**2025 Annual Report**") (available at: <https://www.hpb.hr/UserDocsImages/Financijska-izvjesca/26/Annual%20Report%202025.pdf?vel=10873946>) ;
- the independent auditor's report to the 2025 Financial Statements (the "**2025 Auditor's Report**"), which appears on pages 202 to 213 of the 2025 Annual Report (available at: <https://www.hpb.hr/UserDocsImages/Financijska-izvjesca/26/Annual%20Report%202025.pdf?vel=10873946>);
- the audited consolidated and separate financial statements of the Group and the Issuer as of and for the financial year ended 31 December 2024, together with the notes thereto (the "**2024 Financial Statements**"), which appear on pages 185 to 313 of the Issuer's annual report and accounts for the year ended 31 December 2024 (the "**2024 Annual Report**") (available at: <https://www.hpb.hr/UserDocsImages/Financijska-izvjesca/Annual%20Report%20-%2031.12.2024.pdf?vel=9113360>);
- the independent auditor's report to the 2024 Financial Statements (the "**2024 Auditor's Report**"), which appears on pages 175 to 183 of the 2024 Annual Report (available at: <https://www.hpb.hr/UserDocsImages/Financijska-izvjesca/Annual%20Report%20-%2031.12.2024.pdf?vel=9113360>);
- the unaudited condensed consolidated and separate interim financial information of the Group and the Issuer for the three months ended 31 March 2026 (the "**2026 Interim Financial Information**") (available at: <https://www.hpb.hr/UserDocsImages/odnosi-s-investitorima/HPB-interim-report-31-3-2026.pdf?vel=1722588>) ; and
- the report on review of condensed consolidated and separate interim financial information (the "**2026 Review Report**"), which appears on page 2 of the 2026 Interim Financial Information (available at: <https://www.hpb.hr/UserDocsImages/odnosi-s-investitorima/HPB-interim-report-31-3-2026.pdf?vel=1722588>).

The information set out above that is incorporated by reference in this Offering Memorandum is a direct translation into English from the original languages of such information. To the extent that there are any inconsistencies between the original language versions and the translations, the original language versions shall prevail.

Any information contained in or incorporated by reference in any of the documents specified above which is not incorporated by reference in this Offering Memorandum is either not relevant to investors or is covered elsewhere in this Offering Memorandum and, for the avoidance of doubt, unless specifically incorporated by reference into this Offering Memorandum, information contained on the Issuer's website does not form part of this Offering Memorandum.

Any document which is incorporated by reference into any of the documents deemed to be incorporated in, and form part of, this Offering Memorandum shall not constitute a part of this Offering Memorandum.

TERMS AND CONDITIONS OF THE NOTES

The following, subject to alteration and completion and other than any italicised paragraphs, are the terms and conditions of the Notes which will be endorsed on each Certificate in definitive form (if issued).

The issue of the €150,000,000 4.125 per cent. Fixed Rate Reset Callable Senior Preferred Notes due 2029 (the "**Notes**"), which expression shall in these terms and conditions (the "**Conditions**") unless the context otherwise requires, include any Further Notes issued pursuant to Condition 13) of Hrvatska poštanska banka p.l.c. (the "**Issuer**") was authorised by resolutions of the Management Board of the Issuer passed on 23 April 2026. A fiscal agency agreement dated 13 July 2026 (such agreement, as amended and/or supplemented and/or restated from time to time, the "**Fiscal Agency Agreement**") has been entered into in relation to the Notes between the Issuer, The Bank of New York Mellon, London Branch as fiscal agent (the person for the time being the fiscal agent and under the Fiscal Agency Agreement, the "**Agent**"), The Bank of New York Mellon, London Branch as the initial agent bank (the person for the time being the agent bank under the Fiscal Agency Agreement, the "**Agent Bank**"), The Bank of New York Mellon SA/NV, Dublin Branch as the initial registrar (the person for the time being the registrar under the Fiscal Agency Agreement, the "**Registrar**"), and the initial transfer agents named therein (the person(s) for the time being the transfer agent(s) under the Fiscal Agency Agreement, the "**Transfer Agent(s)**"). "**Agents**" means the Agent, the Agent Bank, the Registrar, the Transfer Agents and any other agent or agents appointed from time to time with respect to the Notes. The Notes have the benefit of a Deed of Covenant (the "**Deed of Covenant**") dated 13 July 2026 executed by the Issuer relating to the Notes. The Fiscal Agency Agreement includes the form of the Notes. Electronic copies of the Fiscal Agency Agreement and the Deed of Covenant are available upon written request by the Holders to the Agent, the Registrar and any Transfer Agents subject to the provision of proof of holding in a form satisfactory to the Agent, the Registrar and any Transfer Agents.

1 Form, Denomination and Title

(a) *Form and Denomination*

The Notes are serially numbered in the denominations of €100,000 and integral multiples of €1,000 in excess thereof.

The Notes are represented by registered certificates ("**Certificates**") and, save as provided in Condition 2(a), each Certificate shall represent the entire holding of Notes by the same Holder.

(b) *Title*

Title to the Notes shall pass by registration in the register that the Issuer shall procure to be kept by the Registrar in accordance with the provisions of the Fiscal Agency Agreement (the "**Registrar**"). Except as ordered by a court of competent jurisdiction or as required by law, the Holder of any Note shall be deemed to be and may be treated as its absolute owner for all purposes whether or not it is overdue and regardless of any notice of ownership, trust or an interest in it, any writing on the Certificate representing it or the theft or loss of such Certificate and no person shall be liable for so treating the Holder.

In these Conditions, "**Holder**" means the person in whose name a Note is registered.

2 Transfers of Notes

(a) *Transfer*

A holding of Notes may, subject to Condition 2(d), be transferred in whole or in part upon the surrender (at the specified office of the Registrar or any Transfer Agent) of the Certificate(s) representing such Notes to be transferred, together with the form of transfer endorsed on such Certificate(s), duly completed and executed and any other evidence as the Registrar or Transfer Agent

may reasonably require. In the case of a transfer of part only of a holding of Notes represented by one Certificate, a new Certificate shall be issued to the transferee in respect of the part transferred and a further new Certificate in respect of the balance of the holding not transferred shall be issued to the transferor. In the case of a transfer of Notes to a person who is already a Holder, a new Certificate representing the enlarged holding shall only be issued against surrender of the Certificate representing the existing holding. All transfers of Notes and entries in the Register will be made in accordance with the detailed regulations concerning transfers of Notes scheduled to the Fiscal Agency Agreement. The regulations may be changed by the Issuer with the prior written approval of the Registrar. A copy of the current regulations will be made available by the Registrar to any Holder upon written request and provision of proof of holding and identity (in a form satisfactory to the Registrar or the Transfer Agent, as the case may be).

(b) *Delivery of New Certificates*

Each new Certificate to be issued pursuant to Condition 2(a) shall be available for delivery within three business days of receipt of a duly completed and executed form of transfer and surrender of the existing Certificate(s). Delivery of the new Certificate(s) shall be made at the specified office of the Transfer Agent or of the Registrar (as the case may be) to whom delivery or surrender of such form of transfer and Certificate(s) shall have been made or, at the option of the Holder making such delivery or surrender as aforesaid and as specified in the relevant form of transfer or otherwise in writing, be mailed by uninsured post at the risk of the Holder entitled to the new Certificate to such address as may be so specified, unless such Holder requests otherwise and pays in advance to the relevant Transfer Agent or the Registrar (as the case may be) the costs of such other method of delivery and/or such insurance as it may specify. In this Condition 2(b), "**business day**" means a day, other than a Saturday or Sunday, on which banks are open for business in the place of the specified office of the relevant Transfer Agent or the Registrar (as the case may be).

(c) *Transfer Free of Charge*

Certificates, on transfer, shall be issued and registered without charge by or on behalf of the Issuer, the Registrar or any Transfer Agent, but upon payment of any tax or other governmental charges that may be imposed in relation to such transfer (or the giving of such indemnity as the Registrar or the relevant Transfer Agent may require).

(d) *Closed Periods*

No Holder may require the transfer of a Note to be registered (i) during the period of 15 days ending on (and including) the due date for redemption or substitution of that Note pursuant to Condition 5 or (ii) during the period of seven days ending on (and including) any Record Date.

3 Status

(a) *Status*

The Notes are senior preferred notes of the Issuer and so constitute senior, unsecured, unsubordinated, unguaranteed, direct, general and unconditional obligations of the Issuer which will at all times rank *pari passu* among themselves and at least *pari passu* with all other present and future unsecured obligations of the Issuer.

The Notes are directly issued by the Issuer and intended to qualify as eligible liabilities instruments (within the meaning of point (a) of Article 72a(1) and Article 72b CRR, as applicable) for the purposes of satisfaction of MREL requirements of the Issuer in accordance with Article 12c of the SRM Regulation. The Notes are neither secured, nor subject to a guarantee or any other arrangement that enhances the seniority of the claims under the Notes.

In the event of insolvency proceedings of the Issuer (being compulsory liquidation proceedings in Croatia), the Notes will rank (i) junior to all present and future obligations of the Issuer which pursuant to mandatory provisions of law rank or are expressed to rank senior to the Notes, (ii) *pari passu* among themselves and at least *pari passu* with all other present and future unsecured obligations of the Issuer, and (iii) senior to all present and future obligations of the Issuer (a) which pursuant to mandatory provisions of law rank or are expressed to rank junior to all present and future unsecured and unsubordinated obligations of the Issuer, and (b) arising from subordinated claims including, but not limited to, any claims under non-preferred unsecured, Tier 2, AT1 and CET1 instruments.

According to the Compulsory Liquidation Act as in force as at the date of these Conditions, in the event of the compulsory liquidation of the Issuer any claims under the Notes are intended to rank within the sixth higher payment rank as provided by Article 33 paragraph (7) of the Compulsory Liquidation Act.

The rights of the Holders shall be subject to any present or future Croatian laws or regulations relating to the insolvency, liquidation and/or recovery and resolution of credit institutions and investment firms in Croatia, which are, or will become, applicable to the Notes only as a result of the operation of such laws or regulations.

(b) *Set-off, etc.*

Subject to applicable law, no Holder may exercise, claim or plead any right of set-off, netting, compensation, counterclaim or retention in respect of any amount owed to it by the Issuer in respect of, or arising under or in connection with the Notes and each Holder shall, by virtue of his holding of any Note (or any beneficial interest therein), be deemed, to the fullest extent permitted under applicable law, to have waived all such rights of set-off, netting, compensation, counterclaim or retention. Notwithstanding the preceding sentence, if any of the amounts owing to any Holder by the Issuer in respect of, or arising under or in connection with the Notes is discharged by set-off or netting, such Holder shall, subject to applicable law, immediately pay an amount equal to the amount of such discharge to the Issuer (or, in the event of its winding-up or insolvency, the liquidator, administrator or, as appropriate, other relevant insolvency official of the Issuer) and, until such time as payment is made, shall hold an amount equal to such amount in trust for the Issuer (or the liquidator, administrator or, as appropriate, other relevant insolvency official of the Issuer (as the case may be)) and accordingly any such discharge shall be deemed not to have taken place.

Condition 3(b) shall not be construed as indicating or acknowledging that any rights of set-off (including compensation, counterclaim or retention), counterclaim or netting would, but for Condition 3(b), otherwise be available to any Holder with respect to any Note.

4 Interest Payments

(a) *Interest Rate*

The Notes bear interest at the applicable Interest Rate from (and including) the Issue Date in accordance with the provisions of this Condition 4.

Interest shall be payable on the Notes annually in arrear on each Interest Payment Date and shall save as set out below, during the Initial Fixed Rate Interest Period, amount to €41.25 per Calculation Amount, as provided in this Condition 4.

Where it is necessary to compute an amount of interest in respect of any Note for a period which is less than a complete Interest Period, the relevant day-count fraction shall be determined on the basis of the number of days in the relevant period, from and including the date from which interest begins

to accrue to but excluding the date on which it falls due, divided by the actual number of days in the Interest Period in which the relevant period falls (including the first such day but excluding the last).

For the avoidance of any doubt, the Interest Rate may not be amended on the basis of the credit ranking of the Issuer.

(b) Interest Accrual

The Notes will cease to bear interest from (and including) the due date for redemption thereof pursuant to Condition 5(a), (c), (d), (e) or (f) or the date of substitution thereof pursuant to Condition 5(g), as the case may be, unless, upon surrender of the Certificate representing any Note, payment of all amounts due in respect of such Note is not properly and duly made, in which event interest shall continue to accrue on the Notes, both before and after judgment, and shall be payable, as provided in these Conditions up to (but excluding) the Relevant Date. Interest in respect of any Note shall be calculated per Calculation Amount and the amount of interest per Calculation Amount shall be equal to the product of the Calculation Amount, the relevant Interest Rate and the day-count fraction as described in Condition 4(a) for the relevant period, rounding the resultant figure to the nearest cent (half a cent being rounded upwards). The amount of interest payable in respect of each Note, is the aggregate of the amounts (calculated as aforesaid) for each Calculation Amount comprising the denomination of the Note.

(c) Initial Fixed Interest Rate

For the Initial Fixed Rate Interest Period, the Notes bear interest at the rate of 4.125 per cent. per annum (the "**Initial Fixed Interest Rate**").

(d) Reset Rate of Interest

The Interest Rate will be reset (the "**Reset Rate of Interest**") in accordance with this Condition 4 on the Reset Date. The Reset Rate of Interest will be determined by the Agent Bank on the Reset Determination Date as the sum of the Reset Reference Rate and the Margin.

(e) Determination of Reset Rate of Interest

The Agent Bank will, as soon as practicable after 11:00 a.m. (Central European time) on the Reset Determination Date, determine the Reset Rate of Interest in respect of the Reset Period. The determination of the Reset Rate of Interest by the Agent Bank shall (in the absence of manifest error) be final and binding upon all parties.

(f) Publication of Reset Rate of Interest

The Agent Bank shall cause notice of the Reset Rate of Interest determined by it in accordance with this Condition 4 in respect of the Reset Period to be given to the Issuer, the Agent, the Registrar and each of the Transfer Agents, and, in accordance with Condition 12, the Holders, in each case as soon as practicable after its determination but in any event not later than the fourth Business Day thereafter.

If there is a failure to pay principal or interest on the Notes or the Notes become due and payable pursuant to Condition 7(a), the accrued interest per Calculation Amount and the Reset Rate of Interest payable in respect of the Notes shall nevertheless continue to be calculated as previously by the Agent Bank in accordance with this Condition 4 but no publication of the Reset Rate of Interest or the amount of interest payable per Calculation Amount so calculated need be made.

(g) Agent Bank and Reset Reference Banks

The Issuer will maintain an Agent Bank and (where the Reset Rate of Interest is to be calculated by reference to them) the number of Reset Reference Banks provided below. The name of the initial Agent Bank and its initial specified office is set out at the end of these Conditions.

The Issuer may from time to time replace the Agent Bank or any Reset Reference Bank with another leading investment or commercial bank or financial institution in the eurozone. If the Agent Bank is unable or unwilling to continue to act as the Agent Bank or fails duly to determine the Reset Rate of Interest in respect of the Reset Period as provided in Condition 4(d), the Issuer shall forthwith appoint another leading investment or commercial bank or financial institution (of international repute) in the eurozone to act as such in its place. The Agent Bank may not resign its duties or be removed without a successor having been appointed as aforesaid.

(h) *Determinations of Agent Bank Binding*

All notifications, opinions, determinations, certificates, calculations, quotations and decisions given, expressed, made or obtained for the purposes of this Condition 4 by or on behalf of the Agent Bank, shall (in the absence of manifest error) be binding on the Issuer, the Agent, the Registrar, the Agent Bank and the Transfer Agents and all Holders and (in the absence of wilful default, fraud or gross negligence) no liability to the Holders or the Issuer shall attach to the Agent Bank in connection with the exercise or non-exercise by it of any of its powers, duties and discretions.

(i) *Benchmark Discontinuation*

Notwithstanding the provisions above in this Condition 4, if the Issuer determines that a Benchmark Event has occurred in relation to the Original Reference Rate when the Reset Rate of Interest (or any component part thereof) remains to be determined by reference to such Original Reference Rate, the following provisions of this Condition 4(i) shall apply:

(a) *Independent Adviser*

The Issuer shall use its reasonable endeavours to appoint and consult with an Independent Adviser, as soon as reasonably practicable, with a view to the Issuer determining a Successor Rate, failing which an Alternative Rate (in accordance with Condition 4(i)(b)) and, in either case, an Adjustment Spread and any Benchmark Amendments (in accordance with Condition 4(i)(d)). The Independent Adviser appointed pursuant to this Condition 4(i) shall act in good faith and in a commercially reasonable manner. In the absence of bad faith or fraud, the Independent Adviser shall have no liability whatsoever to the Issuer, Agents, or the Holders for any determination made by it or for any advice given to the Issuer in connection with any determination made by the Issuer, pursuant to this Condition 4(i).

(b) *Successor Rate or Alternative Rate*

If the Issuer, following consultation with the Independent Adviser, or (if the Issuer is unable to appoint an Independent Adviser) the Issuer, in each case acting in good faith and in a commercially reasonable manner, determines that:

- (i) there is a Successor Rate, then such Successor Rate and the applicable Adjustment Spread shall subsequently be used in place of the Original Reference Rate to determine the Reset Rate of Interest (or the relevant component part thereof) for all relevant future payments of interest on the Notes; or
- (ii) there is no Successor Rate but there is an Alternative Rate, then such Alternative Rate and the applicable Adjustment Spread shall subsequently be used in place of the Original Reference Rate to determine the Reset Rate of Interest (or the relevant component part thereof) for all relevant future payments of interest on the Notes.

(c) *Adjustment Spread*

The Adjustment Spread (or the formula or methodology for determining the Adjustment Spread) shall be applied to the Successor Rate or the Alternative Rate (as the case may be). If the Issuer, following consultation with the Independent Adviser, or (if the Issuer is unable to appoint an Independent Adviser) the Issuer, in each case acting in good faith and in a commercially reasonable manner, is unable to determine the quantum of, or a formula or methodology for determining, such Adjustment Spread, then the Successor Rate or Alternative Rate (as applicable) will apply without an Adjustment Spread.

(d) Benchmark Amendments

If any Successor Rate or Alternative Rate and, in either case, the applicable Adjustment Spread is determined in accordance with this Condition 4(i) and the Issuer, following consultation with the Independent Adviser, or (if the Issuer is unable to appoint an Independent Adviser) the Issuer, in each case acting in good faith and in a commercially reasonable manner, determines (i) that amendments to these Conditions and/or the Fiscal Agency Agreement are necessary to ensure the proper operation of such Successor Rate or Alternative Rate and/or (in either case) the applicable Adjustment Spread (such amendments, the "**Benchmark Amendments**") and (ii) the terms of the Benchmark Amendments, then the Issuer shall, subject to the Issuer having received the Regulatory Permission and to giving notice thereof to Holders in accordance with Condition 12, without any requirement for the consent or approval of Holders, vary these Conditions and/or the Fiscal Agency Agreement to give effect to such Benchmark Amendments with effect from the date specified in such notice.

In connection with any such modifications in accordance with this Condition 4(i), the Issuer shall comply with the rules of any stock exchange on which the Notes are for the time being listed or admitted to trading.

Notwithstanding any other provision of this Condition 4(i), no Successor Rate or Alternative Rate will be adopted, nor will the applicable Adjustment Spread be applied, nor will any Benchmark Amendments be made, if and to the extent that, in the determination of the Issuer, the same could reasonably be expected to prejudice the qualification of the Notes as eligible liabilities or loss absorbing capacity instruments for the purposes of the Applicable Banking Regulations.

(e) Notices, etc.

Any Successor Rate, Alternative Rate, Adjustment Spread and the specific terms of any Benchmark Amendments determined under this Condition 4(i) will be notified promptly by the Issuer to the Agents and, in accordance with Condition 12, the Holders. Such notice shall be irrevocable and shall specify the effective date of the Benchmark Amendments, if any.

No later than notifying the Holders of the same, the Issuer shall deliver to the Agents a certificate signed by one or more Authorised Signatories of the Issuer:

- (i) confirming (i) that a Benchmark Event has occurred, (ii) the Successor Rate or, as the case may be, the Alternative Rate, (iii) the applicable Adjustment Spread and (iv) the specific terms of the Benchmark Amendments (if any), in each case as determined in accordance with the provisions of this Condition 4(i); and
- (ii) certifying that the Benchmark Amendments (if any) are necessary to ensure the proper operation of such Successor Rate or Alternative Rate and (in either case) the applicable Adjustment Spread.

The Agent shall display such certificate at its offices, for inspection by the Holders at all reasonable times during normal business hours.

The Successor Rate or Alternative Rate and the Adjustment Spread and the Benchmark Amendments (if any) specified in such certificate will (in the absence of manifest error or bad faith in the determination of the Successor Rate or Alternative Rate and the Adjustment Spread and the Benchmark Amendments (if any)) be binding on the Issuer, the Agents and the Holders.

(f) Survival of Original Reference Rate

Without prejudice to the obligations of the Issuer under this Condition 4(i), the Original Reference Rate and the fallback provisions provided for in the definition of "Reset Reference Rate" in Condition 17 will continue to apply unless and until a Benchmark Event has occurred.

5 Redemption, Substitution, Variation and Purchase

(a) Final Redemption

Unless previously redeemed or purchased and cancelled or (pursuant to Condition 5(g)) substituted, the Notes will be redeemed at their principal amount, together with accrued and unpaid interest, on 13 July 2029 (the "**Maturity Date**"). The Notes may be redeemed or purchased and cancelled or (pursuant to Condition 5(g)) substituted only at the option of the Issuer and in accordance with this Condition 5. The Notes may not be redeemed, cancelled, substituted or varied at the option or any discretion of the Holder.

(b) Conditions to Redemption, Substitution, Variation and Purchase

Any redemption, substitution, variation or purchase of the Notes in accordance with Conditions 5(c), (d), (e), (f), (g) or (h) is subject to (i) the Issuer obtaining prior Regulatory Permission in accordance with Articles 77 and 78a CRR (if required under the Applicable Banking Regulations) therefor; and (ii) in the case of any substitution or variation, such substitution or variation (a) being permitted by, and conducted in accordance with, any other applicable requirement of the Applicable Banking Regulations at such time and (b) not resulting in any event or circumstance which gives the Issuer a right to redeem the Notes by reason of a Tax Event or an MREL Disqualification Event.

Any refusal by the Relevant Resolution Authority to give its Regulatory Permission as contemplated above shall not constitute a default for any purpose.

Notwithstanding the above conditions, if, at the time of any redemption, substitution, variation or purchase, the prevailing Applicable Banking Regulations permit the redemption, substitution, variation or purchase only after compliance with one or more alternative or additional pre-conditions to those set out above in this Condition 5(b), the Issuer shall comply with such other and/or, as appropriate, additional pre-condition(s).

Prior to the publication of any notice of substitution, variation or redemption pursuant to this Condition 5 (other than redemption pursuant to Condition 5(c)), the Issuer shall deliver to the Agent to make available at its registered office to the Holders (i) a certificate signed by one or more Authorised Signatories stating that the relevant requirements or circumstances giving rise to the right to redeem, substitute or, as appropriate, vary the Notes are satisfied and, in the case of a substitution or variation, that the terms of the relevant Qualifying Securities comply with the definition thereof in Condition 17 and (ii) in the case of a redemption pursuant to Condition 5(d) only, an opinion from a nationally recognised law firm or other tax adviser in the Relevant Jurisdiction experienced in such matters to the effect that the relevant requirement or circumstance referred to in paragraph (a) or (b) of the definition of "Tax Event" applies (provided that (i) for the avoidance of doubt, such opinion shall not be required to comment on the ability of the Issuer to avoid such circumstance by taking reasonable measures available to it and (ii) such opinion shall, in the case of a redemption in reliance on paragraph (b) of the definition of "Tax Event", be required to confirm that the Issuer was, on a

date prior to the publication of the notice of such redemption, entitled to claim a deduction in respect of payments of interest in respect of the Notes in computing its taxation liabilities (or would have been so entitled if such date had been an Interest Payment Date)).

(c) *Issuer's Call Option*

Subject to Condition 5(b), the Issuer may, by giving not less than 15 nor more than 60 days' notice to the Holders in accordance with Condition 12, the Registrar and the Agent (which notice shall, save as provided in Condition 5(b), be irrevocable and shall specify the date fixed for redemption), elect to redeem in accordance with these Conditions all, but not some only, of the Notes on the Reset Date at their principal amount, together with any accrued and unpaid interest thereon to (but excluding) the date fixed for redemption. Upon the expiry of such notice, the Issuer shall, subject to Condition 5(b), redeem the Notes.

(d) *Redemption Due to Tax Event*

If, prior to the giving of the notice referred to below in this Condition 5(d), a Tax Event has occurred, then the Issuer may, subject to Condition 5(b) and having given not less than 15 nor more than 60 days' notice to the Holders in accordance with Condition 12, the Registrar and the Agent (which notice shall, subject as aforesaid, be irrevocable and shall specify the date fixed for redemption), elect to redeem in accordance with these Conditions at any time all, but not some only, of the Notes at their principal amount, together with any accrued and unpaid interest thereon to (but excluding) the date fixed for redemption. Upon the expiry of such notice, the Issuer shall, subject to Condition 5(b), redeem the Notes.

(e) *Redemption Due to MREL Disqualification Event*

If, prior to the giving of the notice referred to below in this Condition 5(e), an MREL Disqualification Event has occurred, then the Issuer may, subject to Condition 5(b) and having given not less than 15 nor more than 60 days' notice to the Holders in accordance with Condition 12, the Registrar and the Agent (which notice shall, subject as aforesaid, be irrevocable and shall specify the date for redemption), elect to redeem in accordance with these Conditions at any time all, but not some only, of the Notes at their principal amount, together with any accrued and unpaid interest thereon to (but excluding) the date fixed for redemption. Upon the expiry of such notice, the Issuer shall, subject to Condition 5(b), redeem the Notes.

(f) *Clean-up Call*

If, at any time, the outstanding aggregate principal amount of the Notes is 25 per cent. or less of the aggregate principal amount of the Notes originally issued (and, for these purposes, any Further Notes issued pursuant to Condition 13 shall be deemed to have been originally issued), the Issuer may, subject to Condition 5(b) and having given not less than 15 nor more than 60 days' notice to the Holders in accordance with Condition 12, the Registrar and the Agent (which notice shall, subject as aforesaid, be irrevocable and shall specify the date fixed for redemption), elect to redeem in accordance with these Conditions at any time all, but not some only, of the Notes at their principal amount, together with any accrued and unpaid interest thereon to (but excluding) the date fixed for redemption. Upon the expiry of such notice, the Issuer shall, subject to Condition 5(b), redeem the Notes.

(g) *Substitution or Variation*

If a Tax Event or an MREL Disqualification Event has occurred and is continuing or where otherwise required to ensure the effectiveness and enforceability of Condition 15(d), then the Issuer may, subject to Condition 5(b) and having given not less than 15 nor more than 60 days' notice to the Holders in accordance with Condition 12, the Registrar and the Agent (which notice shall be irrevocable and

shall specify the date fixed for substitution or, as the case may be, variation of the Notes) but without any requirement for the consent or approval of the Holders, at any time either substitute all (but not some only) of the Notes for, or vary the terms of the Notes so that they remain or, as appropriate, become, Qualifying Securities. Upon the expiry of such notice, the Issuer shall either vary the terms (including, without limitation, by changing the governing law of Condition 15(d)) of or substitute the Notes in accordance with this Condition 5(g), as the case may be.

In connection with any substitution or variation in accordance with this Condition 5(g), the Issuer shall comply with the rules of any stock exchange on which the Notes are for the time being listed or admitted to trading.

(h) Purchases

The Issuer or any of its Subsidiaries may, subject to Condition 5(b), in the circumstances permitted by the Applicable Banking Regulations at any time purchase (or otherwise acquire), or procure others to purchase (or otherwise acquire) beneficially for its account, Notes in any manner and at any price. The Notes so purchased (or acquired), while held by or on behalf of the Issuer, shall not entitle the Holder to vote at any meetings of the Holders and shall not be deemed to be outstanding for the purposes of calculating quorums at meetings of the Holders.

(i) Cancellation

All Notes redeemed or substituted by the Issuer pursuant to this Condition 5 will forthwith be cancelled. All Notes purchased by or on behalf of the Issuer may, subject to obtaining any Regulatory Permission therefor be held, reissued, resold or, at the option of the Issuer, surrendered for cancellation to the Registrar. Notes so surrendered, shall be cancelled forthwith. Any Notes so surrendered for cancellation may not be reissued or resold and the obligations of the Issuer in respect of any such Notes shall be permanently and irrevocably discharged.

6 Payments

(a) Method of Payment

- (i) Payments of principal shall be made in euro (subject to surrender of the relevant Certificates at the specified office of any Transfer Agent or of the Registrar if no further payment falls to be made in respect of the Notes represented by such Certificates) in like manner as is provided for payments of interest in paragraph (ii) below.
- (ii) Interest on each Note shall be paid to the person shown in the Register at the close of business on the business day before the due date for payment thereof (the "**Record Date**"). Payments of interest on each Note shall be made in euro by transfer to an account in euro maintained by the payee with a bank in a city in which banks have access to T2.

(b) Payments Subject to Laws

Save as provided in Condition 8, payments will be subject in all cases to any applicable fiscal or other laws, regulations and directives in the place of payment or other laws or regulations to which the Issuer or its Agents agree(s) to be subject and the Issuer will not be liable for any taxes or duties of whatever nature imposed or levied by such laws, regulations, directives or agreements. No commissions or expenses shall be charged to the Holders in respect of such payments.

(c) Payment Initiation

Payment instructions (for value the due date), or if that date is not a Business Day, for value the first following day which is a Business Day) will be initiated on the last day on which the Agent is open for business preceding the due date for payment or, in the case of payments of principal where the

relevant Certificate has not been surrendered at the specified office of any Transfer Agent or of the Registrar, on a day on which the Agent is open for business and on which the relevant Certificate is surrendered.

(d) Delay in Payment

Holders will not be entitled to any interest or other payment for any delay after the due date in receiving the amount due on a Note if the due date is not a Business Day or if the Holder is late in surrendering or cannot surrender its Certificate (if required to do so).

(e) Non-Business Days

If any date for payment in respect of any Note is not a business day, the Holder shall not be entitled to payment until the next following business day nor to any interest or other sum in respect of such postponed payment. In this Condition 6, "**business day**" means a day (other than a Saturday or a Sunday) on which banks and foreign exchange markets are open for business in the place in which the specified office of the Registrar is located and which is a T2 Business Day.

7 Default

(a) Default

As further described in the risk factor entitled "Remedies in case of default on the Notes are severely limited" above, only the Issuer and CNB are able to institute Winding-up Proceedings against the Issuer and may do so only in certain circumstances. The Holders are not able to institute Winding-up Proceedings against the Issuer.

In the event of any Winding-up Proceedings, any Holder may in its discretion prove or claim in the winding up or dissolution of the Issuer, whether in Croatia or elsewhere, such claim being as contemplated in Condition 3(a).

No Holder shall have the right to accelerate future scheduled payment of principal or interest under the Notes, other than in Winding-up Proceedings.

(b) Enforcement

Without prejudice to Condition 7(a), any Holder may at its discretion and without notice institute such steps, actions or proceedings against the Issuer as it may think fit to enforce any term or condition binding on the Issuer under the Notes (other than any payment obligation of the Issuer under or arising from the Notes, including, without limitation, payment of any principal or interest in respect of the Notes, including any damages awarded for breach of any obligations), provided that in no event shall the Issuer, by virtue of the institution of any such steps, actions or proceedings, be obliged to pay any sum or sums, in cash or otherwise, sooner than the same would otherwise have been due and payable by it pursuant to these Conditions unless Regulatory Permission therefor has been received.

For the avoidance of doubt, none of the rights conferred on a Holder pursuant to this Condition 7(b) shall constitute a right for the Holder to accelerate future scheduled payment under the Notes.

(c) Extent of Holders' Remedy

No remedy against the Issuer, other than as referred to in this Condition 7, shall be available to the Holders, whether for the recovery of amounts owing in respect of the Notes or in respect of any breach by the Issuer of any of its other obligations under or in respect of the Notes.

For the avoidance of doubt, a resolution of the Issuer, any moratorium in respect of the Issuer or any exercise of any Bail-in and Loss Absorption Power or any other action or measure that may be taken against the Issuer pursuant to the Applicable Banking Regulation will not constitute an event of

default or a breach of the Issuer's obligations in respect of the Notes, or a failure to perform any of the Issuer's obligations in respect of the Notes in any manner whatsoever, and shall not, of itself, entitle Holders to accelerate the future scheduled payment of principal or interest under the Notes.

8 Taxation

All payments of principal, interest and any other amounts by or on behalf of the Issuer in respect of the Notes shall be made free and clear of, and without withholding or deduction for or on account of, any present or future taxes, duties, assessments or governmental charges of whatever nature imposed, levied, collected, withheld or assessed by the Relevant Jurisdiction or any political subdivision thereof or by any authority therein or thereof having power to tax, unless such withholding or deduction is required by law. In that event, in respect of payments of interest (but not principal or any other amount) the Issuer will pay such additional amounts ("**Additional Amounts**") as will result in receipt by the Holders of such amounts as would have been received by them in respect of payments of interest had no such withholding or deduction been required, except that no such Additional Amounts shall be payable in respect of any Note:

- (a) held by or on behalf of a Holder who is liable to such taxes, duties, assessments or governmental charges in respect of such Note by reason of its having some connection with the Relevant Jurisdiction other than a mere holding of such Note;
- (b) to, or to a third party on behalf of, a Holder who could lawfully avoid (but has not so avoided) such deduction or withholding by complying or procuring that any third party complies with any statutory requirements or by making or procuring that any third party makes a declaration of non-residence or other similar claim for exemption to any tax authority in the place where the Certificate representing the Note is presented for payment; or
- (c) in respect of which the Certificate representing it is presented for payment more than 30 days after the Relevant Date except to the extent that the Holder thereof would have been entitled to such Additional Amounts on presenting the same for payment on the last day of such period of 30 days.

References in these Conditions to interest shall be deemed to include to any Additional Amounts which may be payable under this Condition 8.

Notwithstanding any other provisions of these Conditions, any amounts to be paid on the Notes by or on behalf of the Issuer shall be made net of any deduction or withholding imposed or required pursuant to an agreement described in Section 1471(b) of the U.S. Internal Revenue Code of 1986, as amended (the "**Code**"), or otherwise imposed pursuant to Sections 1471 through 1474 of the Code (or any regulations thereunder or official interpretations thereof) or any intergovernmental agreement between the United States and another jurisdiction facilitating the implementation thereof (or any fiscal or regulatory legislation, rules or practices implementing such an intergovernmental agreement) (any such withholding or deduction, a "**FATCA Withholding**"). Neither the Issuer nor any other person will be required to pay any Additional Amounts in respect of FATCA Withholding.

9 Prescription

Claims against the Issuer for payment in respect of the Notes shall be prescribed and become void unless made within 10 years (in the case of principal) or five years (in the case of interest) from the appropriate Relevant Date in respect of them.

10 Meetings of Holders, Modification and Waiver

(a) *Meetings of Holders*

The Fiscal Agency Agreement contains provisions for convening meetings of Holders (including in a physical place or by any electronic platform (such as conference call or videoconference) or a

combination of such methods) to consider any matter affecting their interests, including the sanctioning by Extraordinary Resolution of a modification of any of these Conditions. Such a meeting may be convened by the Issuer or by Holders holding not less than 10 per cent. in principal amount of the Notes for the time being outstanding.

The quorum at any such meeting for passing an Extraordinary Resolution will be one or more persons holding or representing a clear majority in principal amount of the Notes for the time being outstanding, or at any adjourned meeting one or more persons being or representing 10 per cent. in principal amount of the Notes for the time being outstanding, except that at any meeting the business of which includes the modification of certain of these Conditions (including, *inter alia*, the provisions set out in Condition 3, the terms concerning currency and due dates for payment of principal or interest payments in respect of the Notes and reducing or cancelling the principal amount of, or interest on, any Notes or the interest rate applicable to the Notes or varying the method of calculating the interest rate applicable to the Notes) the quorum will be one or more persons holding or representing not less than 75 per cent., or at any adjourned such meeting not less than 25 per cent., in principal amount of the Notes for the time being outstanding.

The agreement or approval of the Holders shall not be required in the case of any variation of these Conditions and/or the Fiscal Agency Agreement in the circumstances described in Condition 4(i) or in connection with the variation of the terms of the Notes so that they remain or become Qualifying Securities pursuant to Condition 5(g).

The Fiscal Agency Agreement provides that (i) a resolution passed, at a meeting duly convened and held, by a majority of at least 75 per cent. of the votes cast, (ii) a resolution in writing signed by or on behalf of the Holders of not less than 75 per cent. in principal amount of the Notes for the time being outstanding or (iii) consent given by way of electronic consents through the relevant clearing system(s) by or on behalf of the Holder(s) of not less than 75 per cent. in principal amount of the Notes for the time being outstanding, shall, in each case, be effective as an Extraordinary Resolution. A resolution in writing may be contained in one document or several documents in the same form, each signed by or on behalf of one or more Holders.

An Extraordinary Resolution passed at any meeting of Holders or in writing or by way of electronic consents will be binding on all Holders, whether or not they are present at the meeting or voting in favour or, as the case may be, whether or not signing the written resolution or providing electronic consents.

No modification to these Conditions or any other provisions of the Fiscal Agency Agreement shall become effective unless (if and to the extent required at the relevant time by the Applicable Banking Regulations) the Issuer shall have received Regulatory Permission therefor.

(b) Modification

The Notes, these Conditions and the Deed of Covenant may be amended without the consent of Holders to correct a manifest error. In addition, the Issuer and the Agent may agree, without the consent of the Holders, to:

- (i) any waiver or authorisation of any breach or proposed breach of or any failure to comply with, the Fiscal Agency Agreement; or
- (ii) any modification of these Conditions or the Fiscal Agency Agreement which is of a formal, minor or technical nature or is made to comply with mandatory provisions of law,

in each case, if to do so could not reasonably be expected to be prejudicial to the interests of the Holders.

(c) Notices

Any such modification, waiver, authorisation or determination shall be binding on all Holders and any such modification shall be notified to the Holders in accordance with Condition 12 as soon as practicable thereafter.

11 Replacement of the Notes

If any Certificate is lost, stolen, mutilated, defaced or destroyed, it may be replaced, subject to applicable laws and, regulations, at the specified office of the Registrar or such other Transfer Agent as may from time to time be designated by the Issuer for that purpose and notice of whose designation is given to Holders, in each case on payment by the claimant of the fees and costs incurred in connection therewith and on such terms as to evidence, security, indemnity and otherwise as the Issuer may require (provided that the requirement is reasonable in light of prevailing market practice). Mutilated or defaced Certificates must be surrendered before replacements will be issued.

12 Notices

Notices required to be given to the Holders pursuant to the Conditions shall be mailed to them at their respective addresses in the Register and deemed to have been given on the first weekday (being a day other than a Saturday or Sunday) after the date of mailing. The Issuer shall also ensure that all such notices are duly published (if such publication is required) in a manner which complies with applicable law and with the rules and regulations of any stock exchange or other relevant authority on which the Notes are for the time being listed and/or admitted to trading.

13 Further Notes

The Issuer may from time to time without the consent of the Holders, but subject to any Regulatory Permission required therefor (and such Regulatory Permission not having been revoked at the relevant date of such creation and issue), create and issue further securities having the same terms and conditions as the Notes in all respects (or in all respects except for the amount and date of the first payment of interest on them and the date from which interest starts to accrue) and so that such further issue shall be consolidated and form a single series with the outstanding Notes ("**Further Notes**"). References in these Conditions to the Notes include (unless the context requires otherwise) any Further Notes.

14 Agents

The initial Agent, the Registrar, the Agent Bank and the Transfer Agents and their initial specified offices are listed below. They act solely as agents of the Issuer and do not assume any obligation or relationship of agency or trust for or with any Holder. The Issuer reserves the right at any time to vary or terminate the appointment of the Agent, the Registrar, the Agent Bank and the Transfer Agents and to appoint replacement agents as additional or other Transfer Agents, provided that it will:

- (i) at all times maintain an Agent, a Registrar and a Transfer Agent; and
- (ii) whenever a function expressed in these Conditions to be performed by the Agent Bank falls to be performed, appoint and (for so long as such function is required to be performed) maintain an Agent Bank.

Notice of any such termination or appointment and of any change in the specified offices of the Agents will be given to the Holders in accordance with Condition 12. If any of the Agent Bank, Registrar or the Agent is unable or unwilling to act as such or if it fails to make a determination or calculation or otherwise fails to perform its duties under these Conditions or the Fiscal Agency Agreement (as the case may be), the Issuer shall appoint an independent financial institution to act as such in its place. All calculations and determinations made by the Agent Bank, the Registrar or the Agent in relation to the Notes shall (save in the

case of manifest error) be final and binding on the Issuer, the Agent Bank, the Registrar, the Agent and the Holders.

15 Governing Law and Jurisdiction

(a) Governing Law

The Notes and any non-contractual obligations arising out of or in connection with them are governed by, and shall be construed in accordance with, the laws of England, save that the provisions of Conditions 3 and 15(d) are governed by, and shall be construed in accordance with, Croatian law.

(b) Jurisdiction

The courts of England are to have jurisdiction to settle any disputes that may arise out of or in connection with the Notes and accordingly any legal action or proceedings arising out of or in connection with any Notes (including any legal action or proceedings relating to non-contractual obligations arising out of or in connection with them) ("**Proceedings**") may be brought in such courts. The Issuer irrevocably submits to the jurisdiction of the courts of England in respect of any such Proceedings and to the jurisdiction of the courts of the Republic of Croatia in respect of any Proceedings relating to Conditions 3 and 15(d). This submission is made for the benefit of each of the Holders and shall not limit the right of any of them to take Proceedings in any competent court of another European Union member state in accordance with the Brussels Ia Regulation or a state that is party to the Lugano II Convention nor shall the taking of Proceedings in one or more of such jurisdictions preclude the taking of Proceedings in any other jurisdiction specified in this Condition 15(b) (whether concurrently or not).

(c) Service of Process

The Issuer irrevocably appoints Law Debenture Corporate Services Limited of 8th Floor, 100 Bishopsgate, London, EC2N 4AG as its agent in England to receive service of process in any Proceedings in England based on any of the Notes. If for any reason the Issuer does not have such an agent in England, it will promptly appoint a substitute process agent and notify the Holders of such appointment. Nothing herein shall affect the right to serve process in any other manner permitted by law.

(d) Acknowledgement of Bail-in and Loss Absorption Powers

Notwithstanding and to the exclusion of any other term of the Notes or any other agreements, arrangements or understanding between the Issuer and any Holder (which, for the purposes of this Condition 15(d), includes each holder of a beneficial interest in the Notes), by its acquisition of the Notes (or any interest therein), each Holder acknowledges and accepts that any liability arising under the Notes may be subject to the exercise of Bail-in and Loss Absorption Powers by the Relevant Resolution Authority and acknowledges, accepts, consents to and agrees to be bound by:

- (i) the effect of the exercise of any Bail-in and Loss Absorption Powers by the Relevant Resolution Authority, which exercise (without limitation) may include and result in any of the following, or a combination thereof:
 - (A) the reduction of all, or a portion, of the Relevant Amounts in respect of the Notes;
 - (B) the conversion of all, or a portion, of the Relevant Amounts in respect of the Notes into shares, other securities or other obligations of the Issuer or another person, and the issue to or conferral on the Holder of such shares, securities or obligations, including by means of an amendment, modification or variation of the terms of the Notes;
 - (C) the cancellation of the Notes or the Relevant Amounts in respect of the Notes; and

- (D) the amendment or alteration of the maturity of the Notes or amendment of the amount of interest payable on the Notes, or the date on which interest becomes payable, including by suspending payment for a temporary period; and
- (ii) the variation of the terms of the Notes, as deemed necessary by the Relevant Resolution Authority, to give effect to the exercise of any Bail-in and Loss Absorption Powers by the Relevant Resolution Authority.

16 Contracts (Rights of Third Parties) Act 1999

No person shall have any right to enforce any term or condition of the Notes by virtue of the Contracts (Rights of Third Parties) Act 1999.

17 Definitions

In these Conditions:

"Additional Amounts" has the meaning given to it in Condition 8;

"Adjustment Spread" means either (a) a spread (which may be positive, negative or zero) or (b) a formula or methodology for calculating a spread, in each case to be applied to the Successor Rate or the Alternative Rate (as the case may be) and is the spread, formula or methodology which:

- (i) in the case of a Successor Rate, is formally recommended in relation to the replacement of the Original Reference Rate with the Successor Rate by any Relevant Nominating Body; or (if no such recommendation has been made, or in the case of an Alternative Rate);
- (ii) the Issuer, following consultation with an Independent Adviser, and acting in good faith and in a commercially reasonable manner, determines is customarily applied to the relevant Successor Rate or the Alternative Rate (as the case may be) in international debt capital markets transactions to produce an industry-accepted replacement rate for the Original Reference Rate; or (where neither paragraph (i) above nor this paragraph (ii) applies);
- (iii) the Issuer, following consultation with an Independent Adviser, and acting in good faith and in a commercially reasonable manner, determines is recognised or acknowledged as being the industry standard for over-the-counter derivative transactions which reference the Original Reference Rate, where such rate has been replaced by the Successor Rate or the Alternative Rate (as the case may be);

"Agent" has the meaning given to it in the preamble to these Conditions;

"Alternative Rate" means an alternative benchmark or screen rate which the Issuer determines in accordance with Condition 4(i)(b) is customarily applied in international debt capital markets transactions for the purposes of determining rates of interest (or the relevant component part thereof) in euro for a period of 12 months;

"Applicable Banking Regulations" means, at any time, the laws, regulations, delegated or implementing acts, regulatory or implementing technical standards, rules, requirements, guidelines and policies relating to capital adequacy and/or to minimum requirements for own funds and eligible liabilities and/or loss absorbing capacity then in effect in the Republic of Croatia including, without limitation to the generality of the foregoing, CRR, CRD, the SRM Regulation, BRRD, the Creditor Hierarchy Directive and those regulations, requirements, guidelines and policies relating to capital adequacy and/or minimum requirement for own funds and eligible liability and/or loss absorbing capacity and any other regulations, requirements, guidelines and policies relating to capital adequacy then in effect of the Competent Authority, the Relevant Resolution Authority or any other national or European Union authority from time to time, and then in effect (whether

or not such requirements, guidelines or policies have the force of law and whether or not they are applied generally or specifically to the Issuer);

"Authorised Signatories" means the Director or any other person duly authorised as such by the Issuer and confirmed in writing as such by the Issuer to the Agent;

"Bail-in and Loss Absorption Powers" means any loss absorption, write-down, conversion, transfer, modification, suspension or similar or related power existing from time to time under, and exercised in compliance with (where applicable) the SRM Regulation, or any laws, regulations, rules or requirements in effect in the Republic of Croatia, relating to (i) the transposition of the BRRD and (ii) the instruments, rules and standards created thereunder, as applicable, pursuant to which any obligation of the Issuer (or any affiliate of the Issuer) can be reduced, cancelled, modified, or converted into shares, other securities or other obligations of the Issuer or any other person (or suspended for a temporary period);

"Benchmark Amendments" has the meaning given to it in Condition 4(i);

"Benchmark Event" means:

- (i) the Original Reference Rate ceasing to be published on a permanent or indefinite basis (and, in either case, has not been published for a period of at least five Business Days) or ceasing to exist; or
- (ii) the making of a public statement by the administrator of the Original Reference Rate that it has ceased or that it will cease publishing the Original Reference Rate permanently or indefinitely (in circumstances where no successor administrator has been appointed that will continue publication of the Original Reference Rate); or
- (iii) the making of a public statement by the supervisor of the administrator of the Original Reference Rate, that the Original Reference Rate has been or will be permanently or indefinitely discontinued; or
- (iv) the making of a public statement by the supervisor of the administrator of the Original Reference Rate as a consequence of which the Original Reference Rate will be prohibited from being used either generally or in respect of the Notes; or
- (v) an official announcement by the supervisor of the administrator of the Original Reference Rate that the Original Reference Rate is no longer representative of its underlying market; or
- (vi) it has become unlawful for the Agents or the Issuer to calculate any payments due to be made to any Holder using the Original Reference Rate,

provided that in the case of sub-paragraphs (ii), (iii) and (iv), the Benchmark Event shall occur on the date of the cessation of publication of the Original Reference Rate, the discontinuation of the Original Reference Rate or the prohibition of use of the Original Reference Rate, as the case may be, and not (unless they coincide) the date of the making of the relevant public statement.

"BRRD" means Directive 2014/59/EU establishing a framework for the recovery and resolution of credit institutions and investment firms, as the same may be amended or replaced from time to time (including, without limitation, by Directive (EU) 2017/2399 and by Directive (EU) 2019/879);

"Brussels Ia Regulation" means Regulation (EU) No 1215/2012 of the European Parliament and of the Council of 12 December 2012 on jurisdiction and the recognition and enforcement of judgments in civil and commercial matters, as amended;

"Business Day" means a day, other than a Saturday, Sunday or public holiday, on which commercial banks and foreign exchange markets are open for general business in the Republic of Croatia and, if on that day a payment is to be made, a day which is also a T2 Business Day;

"Calculation Amount" means €1,000 in principal amount of the Notes;

"Certificate" has the meaning given to it in Condition 1(a);

"Conditions" has the meaning given to it in the preamble to these Conditions;

"Competent Authority" means any authority having primary responsibility for the prudential supervision of the Issuer at the relevant time (being, as at the Issue Date, the Croatian National Bank);

"Compulsory Liquidation Act" means the Croatian Act on Compulsory Liquidation of Credit Institutions (OG 146/2020, 27/2024, 48/2026);

"CRD" means the legislative package consisting of the CRD Directive, the CRR and any CRD Implementing Measures;

"CRD Directive" means Directive 2013/36/EU, as the same may be amended or replaced from time to time, including without limitation as amended by Directive (EU) 2019/878 of the European Parliament and of the Council of 20 May 2019;

"CRD Implementing Measures" means, at any time, any regulatory capital rules or regulations, or other requirements, which are applicable to the Issuer and which prescribe (alone or in conjunction with any other rules or regulations) the requirements to be fulfilled by financial instruments for their inclusion in the regulatory capital of the Issuer (on a solo or consolidated basis, as the case may be) to the extent required by the CRD Directive or the CRR, including for the avoidance of doubt any regulatory technical standards released by the European Banking Authority (or any successor or replacement thereof);

"Creditor Hierarchy Directive" means Directive (EU) 2017/2399 or any equivalent legislation that supersedes or replaces it or implements it in Croatia;

"CRR" means Regulation (EU No. 575/2013) of the European Parliament and of the Council on prudential requirements for credit institutions dated 26 June 2013, as amended or replaced from time to time (including, without limitation, by Regulation (EU) 2019/876 and of the Council of 20 May 2019 or similar laws in Croatia);

"Director" means the chief executive officer of the Issuer;

"€" or "euro" means the single currency introduced at the start of the third stage of European Economic and Monetary Union pursuant to the Treaty of Rome establishing the European Communities as amended;

"Extraordinary Resolution" means a resolution passed (a) at a meeting duly convened and held in accordance with the Fiscal Agency Agreement by a majority of at least 75 per cent. of the votes cast, (b) by a Written Resolution or (c) by an Electronic Consent (each as defined in the Fiscal Agency Agreement);

"Further Notes" has the meaning given to it in Condition 13;

"Group" means the Issuer and its consolidated Subsidiaries, taken as a whole;

"Holder" has the meaning given to it in Condition 1;

"Independent Adviser" means an independent financial institution of international repute or an independent financial adviser of recognised standing with appropriate expertise appointed by the Issuer at its own expense under Condition 4(i)(a);

"Initial Fixed Interest Rate" has the meaning given to it in Condition 4(c);

"Initial Fixed Rate Interest Period" means the period from (and including) the Issue Date to (but excluding) the Reset Date;

"Interest Payment Date" means 13 July in each year, starting on (and including) 13 July 2027;

"Interest Period" means the period beginning on (and including) the Issue Date and ending on (but excluding) the first Interest Payment Date and each successive period beginning on (and including) an Interest Payment Date and ending on (but excluding) the next succeeding Interest Payment Date;

"Interest Rate" means the Initial Fixed Interest Rate or the Reset Rate of Interest, as the case may be;

"Issue Date" means 13 July 2026, being the date of the initial issue of the Notes;

"Lugano II Convention" means the Convention on jurisdiction and the recognition and enforcement of judgments in civil and commercial matters, signed on 30 October 2007, as amended;

"Margin" means 1.65 per cent.;

"Maturity Date" has the meaning set out in Condition 5(a);

an **"MREL Disqualification Event"** shall be deemed to have occurred if, as a result of any amendment to, or change in, or replacement of, the relevant Applicable Banking Regulations, in any such case becoming effective after the Reference Date, the whole or any part of the outstanding principal amount of the Notes ceases or (in the opinion of the Issuer) will cease to count towards the Issuer's or the Group's eligible liabilities and/or loss absorbing capacity (in each case for the purposes of, and in accordance with, the relevant Applicable Banking Regulations), provided that an MREL Disqualification Event shall not occur where the relevant cessation is (in the opinion of the Issuer) due to the remaining maturity of the Notes being less than any period prescribed by any applicable eligibility criteria for such eligible liabilities and/or loss absorbing capacity under the Applicable Banking Regulations effective with respect to the Issuer and/or the Group on the Reference Date;

"Notes" has the meaning given to it in the preamble to these Conditions;

"Original Reference Rate" means the rate described in paragraph (i) of the definition of "Reset Reference Rate" (or any component part thereof);

"Qualifying Securities" means securities issued directly by the Issuer that:

- (a) other than in respect of the effectiveness and enforceability of Condition 15(d) (including, without limitation, by changing its governing law), have terms which are not materially less favourable to an investor than the terms of the Notes (as reasonably determined by the Issuer in consultation with an investment bank or financial adviser of international standing (which in either case is independent of the Issuer), and provided that a certification to such effect (including as to such consultation) of one or more Authorised Signatories shall have been delivered to the Agent to make available at its registered office to the Holders prior to the issue or, as appropriate, variation of the relevant securities), and, subject thereto, which (1) contain terms which comply with the then current Applicable Banking Regulations in order to be eligible to qualify towards the Issuer's eligible liabilities and/or loss absorbing capacity, in each case for the purposes of, and in accordance with, the relevant Applicable Banking Regulations to at least the same extent as the Notes prior to the occurrence of the relevant MREL Disqualification Event or Tax Event; (2) provide for the same Interest Rate and Interest Payment Dates from time to time applying to the Notes; (3) rank at least *pari passu* with the ranking of the Notes; (4) preserve the obligations (including the obligations arising from the exercise of any right) of the Issuer as to redemption of the Notes, including (without limitation) as to timing of, and amounts payable upon, such redemption; (5) preserve any existing rights under these Conditions to any accrued interest or other amounts which have not been paid; (6) do not contain terms which provide for interest cancellation or deferral; and (7) do not contain terms providing for loss absorption through principal write-down or conversion to ordinary shares; and
- (b) are listed (i) on the Euro MTF market of the Luxembourg Stock Exchange or (ii) on such other internationally recognised stock exchange as may be selected by the Issuer; and

- (c) where the Notes which have been substituted or varied had a published rating from a Rating Agency at any time in the 12 months prior to their substitution or variation and such rating was solicited by or on behalf of the Issuer, each such Rating Agency has ascribed, or announced its intention to ascribe, an equal or higher published rating to the Qualifying Securities;

"Rating Agency" means Moody's Investor Services (Nordics) AB and/or its successors and affiliates;

"Record Date" has the meaning given to it in Condition 6(a);

"Reference Date" means the later of (i) the Issue Date and (ii) the latest date (if any) on which any Further Notes have been issued pursuant to Condition 13;

"Register" has the meaning given to it in Condition 1(b);

"Registrar" has the meaning given to it in the preamble to these Conditions;

"Regulatory Permission" means, in relation to any action, such notice, regulatory permission (and/or, as appropriate, consent, approval or waiver) as is required therefor under prevailing Applicable Banking Regulations;

"Relevant Amounts" means the outstanding principal amount of the Notes, together with any accrued but unpaid interest and Additional Amounts due on the Notes. References to such amounts will include amounts that have become due and payable, but which have not been paid, prior to the exercise of any Bail-in and Loss Absorption Powers by the Relevant Resolution Authority;

"Relevant Date" means (i) in respect of any payment other than a sum to be paid by the Issuer in Winding-up Proceedings, the date on which payment in respect of it first becomes due or (if any amount of the money payable is improperly withheld or refused) the date on which payment in full of the amount outstanding is made or (if earlier) the date seven days after that on which notice is duly given to the Holders that, upon further surrender of the Certificate representing such Note being made in accordance with the Conditions, such payment will be made, provided that payment is in fact made upon such surrender, and (ii) in respect of a sum to be paid by the Issuer in Winding-up Proceedings, the date which is one day prior to the date on which an order is made or a resolution is passed for the winding up or dissolution of the Issuer or any other liquidation or bankruptcy proceedings are so instituted;

"Relevant Jurisdiction" means the Republic of Croatia or any political subdivision or any authority thereof or therein having power to tax or any other jurisdiction or any political subdivision or any authority thereof or therein having power to tax to which the Issuer becomes subject in respect of payments made by it of principal and/or interest on the Notes;

"Relevant Nominating Body" means, in respect of a benchmark or screen rate (as applicable):

- (i) the European Commission, the central bank for the currency to which the benchmark or screen rate (as applicable) relates, or any central bank or other supervisory authority which is responsible for supervising the administrator of the benchmark or screen rate (as applicable); or
- (ii) any working group or committee sponsored by, chaired or co-chaired by or constituted at the request of (a) the central bank for the currency to which the benchmark or screen rate (as applicable) relates, (b) any central bank or other supervisory authority which is responsible for supervising the administrator of the benchmark or screen rate (as applicable), (c) a group of the aforementioned central banks or other supervisory authorities or (d) the Financial Stability Board or any part thereof.

"Relevant Resolution Authority" means the resolution authority with the ability to exercise any Bail-in and Loss Absorption Powers in relation to the Issuer and/or the Group and/or the Notes (being, as at the Issue Date, the Croatian National Bank (in Croatian: *Hrvatska narodna banka*) and/or the Single Resolution Board, subject to the distribution of functions as specified in accordance with the SRM Regulation) or with primary

supervisory authority with respect to the Issuer's and/or the Group's eligible liabilities and loss absorbing capacity from time to time;

"Reset Date" means 13 July 2028;

"Reset Determination Date" means the day falling two T2 Business Days prior to the Reset Date;

"Reset Period" means the period from and including the Reset Date to but excluding the Maturity Date;

"Reset Rate of Interest" has the meaning given to it in Condition 4(d);

"Reset Reference Banks" means five leading swap dealers in the principal interbank market relating to euro selected by the Issuer;

"Reset Reference Rate" means in respect of the Reset Period, (i) the applicable annualised mid-swap rate for swap transactions in euro (with a maturity equal to 12 months) as displayed on the Screen Page at 11.00 a.m. (Central European Time) on the Reset Determination Date or (ii) if such rate is not displayed on the Screen Page at such time and date, the Reset Reference Bank Rate on the Reset Determination Date, where:

"Mid-Swap Quotations" means the arithmetic mean of the bid and offered rates for the annual fixed leg (calculated on a 30/360 day count basis) of a fixed for floating interest rate swap transaction in euro which (a) has a term commencing on the Reset Date which is equal to 12 months; (ii) is in an amount that is representative of a single transaction in the relevant market at the relevant time with an acknowledged dealer of good credit in the relevant swap market; and (iii) has a floating leg based on the 3-month EURIBOR rate (calculated on an 30/360 day count basis);

"Reset Reference Bank Rate" means the percentage rate determined on the basis of the Mid-Swap Quotations provided (upon request by the Issuer or on its behalf by an agent appointed by it) by the Reset Reference Banks to the Issuer and notified to the Agent Bank at or around 11:00 a.m. (Central European Time) on the Reset Determination Date and rounded, if necessary, to the nearest 0.001 per cent. (0.0005 per cent. being rounded upwards). If at least four quotations are provided, the Reset Reference Bank Rate will be the rounded arithmetic mean of the quotations provided, eliminating the highest quotation (or, in the event of equality, one of the highest) and the lowest quotation (or, in the event of equality, one of the lowest). If only two or three quotations are provided, the Reset Reference Bank Rate will be the rounded arithmetic mean of the quotations provided. If only one quotation is provided, the Reset Reference Bank Rate will be the rounded quotation provided. If no quotations are provided, the Reset Reference Bank Rate will be the Initial Fixed Interest Rate less the Margin; and

"Screen Page" means Reuters screen page "ICESWAP2", or such other screen page as may replace it on Reuters or, as the case may be, on such other page provided by such information service that may replace Thomson Reuters, in each case, as may be nominated by the person providing or sponsoring the information appearing there for the purpose of displaying comparable rates;

"SRM Regulation" means Regulation (EU) No 806/2014 of the European Parliament and of the Council of 15 July 2014 establishing uniform rules and a uniform procedure for the resolution of credit institutions and certain investment firms in the framework of a Single Resolution Mechanism and a Single Resolution Fund and amending Regulation (EU) No 1093/2010 as the same may be amended or replaced from time to time;

"Subsidiary" means, in relation to any Person (the **"first Person"**) at any particular time, any other Person (the **"second Person"**):

- (a) whose affairs and policies the first Person controls or has the power to control, whether by ownership of share capital, contract, the power to appoint or remove members of the governing body of the second Person or otherwise; or

- (b) whose financial statements are, in accordance with applicable law and generally accepted accounting principles, consolidated with those of the first Person;

"Successor Rate" means a successor to or replacement of the Original Reference Rate which is formally recommended by any Relevant Nominating Body;

"T2" means the real time gross settlement system operated by the Eurosystem, or any successor system;

"T2 Business Day" means any day on which T2 is open for the settlement of payments in euro;

"Tax Event" is deemed to have occurred if, as a result of a Tax Law Change:

- (a) in making any payments on the Notes, the Issuer has paid or will or would on the next payment date be required to pay Additional Amounts (and the foregoing cannot be avoided by the Issuer taking reasonable measures available to it); or
- (b) the Issuer is no longer entitled to claim a deduction in respect of any payments of interest in respect of the Notes on the next Interest Payment Date in computing its taxation liabilities or the amount or value of such deduction would be materially reduced;

"Tax Law Change" means a change in, or amendment to, the laws or regulations of a Relevant Jurisdiction, including any treaty to which such Relevant Jurisdiction is a party, or any change in the application of official or generally published interpretation of such laws, including a decision of any court or tribunal that provides for a position with respect to such laws or regulations that differs from the previously generally accepted position in relation to similar transactions, which change or amendment (a) (subject to (b)) becomes effective on or after the Reference Date, or (b) in the case of a change, if such change is enacted, on or after the Reference Date;

"Transfer Agent" has the meaning given to it in the preamble to these Conditions; and

"Winding-up Proceedings" means any order made by any competent court or resolution is passed for the winding up or dissolution of the Issuer on the basis of which regular liquidation or compulsory liquidation in respect of the Issuer in the Republic of Croatia are opened on the basis of applicable legal acts of the Republic of Croatia.

SUMMARY OF PROVISIONS RELATING TO THE NOTES IN GLOBAL FORM

The following is a summary of the provisions to be contained in the Global Certificate which will apply to, and in some cases modify, the Conditions as they apply to the Notes evidenced by the Global Certificate.

Initial Issue of Global Certificate

The Notes will be represented by a Global Certificate, in fully registered form, without interest coupons, deposited with a common depositary for Euroclear and Clearstream, Luxembourg and registered in the name of the common depositary (the "**Common Depositary**").

Upon the registration of the Global Certificate in the name of a nominee for Euroclear and Clearstream, Luxembourg and delivery of the Global Certificate to the Common Depositary, Euroclear or Clearstream, Luxembourg will credit each subscriber with a principal amount of Notes equal to the principal amount thereof for which it has subscribed and paid as represented by the Global Certificate.

Accountholders

Each of the persons shown in the records of Euroclear or Clearstream, Luxembourg or any other clearing system (an "**Alternative Clearing System**") (as the case may be) as the holder of a particular aggregate principal amount of the Notes represented by the Global Certificate (each an "**Accountholder**") (in which regard any certificate or other document issued by Euroclear, Clearstream, Luxembourg or such other Alternative Clearing System (as the case may be) as to the outstanding principal amount of such Notes standing to the account of any person shall, in the absence of manifest error, be conclusive and binding for all purposes) shall be treated as the holder of such aggregate principal amount of such Notes (and the term "**Holders**" and references to "**holding of Notes**" and to "**holder of Notes**" shall be construed accordingly) for all purposes other than with respect to payments on such Notes, for which purpose the registered holder (the "**Registered Holder**"), shall be deemed to be the holder of such aggregate principal amount of the Notes in accordance with and subject to the terms of the Global Certificate.

Each Accountholder must look solely to Euroclear or Clearstream, Luxembourg or any such Alternative Clearing System (as the case may be) for their share of each payment made by the Issuer to or to the order of the Registered Holder and in relation to all other rights arising under the Global Certificate, subject to and in accordance with the respective rules and procedures of Euroclear, Clearstream, Luxembourg, or such Alternative Clearing System (as the case may be). Each Accountholder shall have no claim directly against the Issuer in respect of payments due on the Notes for so long as the Notes are represented by the Global Certificate and such obligations of the Issuer will be discharged by payment to or to the order of the Registered Holder in respect of each amount so paid.

Exchange of the Global Certificate

The following will apply in respect of transfers of Notes represented by the Global Certificate held in Euroclear or Clearstream, Luxembourg or any Alternative Clearing System. These provisions will not prevent the trading of interests in the Notes within a clearing system whilst they are held on behalf of such clearing system, but will limit the circumstances in which the Notes may be withdrawn from the relevant clearing system.

Transfers of the holding of Notes represented by the Global Certificate pursuant to Condition 2(a) (*Transfers of Notes – Transfer*) may only be made in part:

- (i) if the Notes represented by the Global Certificate are held on behalf of Euroclear or Clearstream, Luxembourg or an Alternative Clearing System and such clearing system is closed for business for a continuous period of 14 days (other than by reason of holidays, statutory or otherwise) or has announced an intention permanently to cease business or does in fact do so; or
- (ii) upon or following any failure to pay principal in respect of any Notes when it is due and payable,

provided that, in the case of the first transfer of part of a holding pursuant to (i) or (ii) above, the Registered Holder has given the Registrar not less than 30 days' notice at its specified office of such Registered Holder's intention to

effect such transfer. Where the holding of Notes represented by the Global Certificate is only transferable in its entirety, the Certificate issued to the transferee upon transfer of such holding shall be a Global Certificate. Where transfers are permitted in part, Certificates issued to transferees shall not be Global Certificates unless the transferee so requests and certifies to the Registrar that it is, or is acting as a nominee for, Clearstream, Luxembourg, Euroclear and/or an Alternative Clearing System.

Any such transfer will be effected in accordance with the provisions of the Fiscal Agency Agreement and the regulations concerning the transfer and exchange of Notes scheduled thereto and, in particular, shall be effected without charge to any holder, but against such indemnity as the Registrar may require in respect of any tax or other duty of whatsoever nature which may be levied or imposed in connection with such transfer and exchange of the Global Certificate.

Transfers

Transfers of book-entry interests in the Notes will be effected through the records of Euroclear or Clearstream, Luxembourg and their respective participants in accordance with the rules and procedures of Euroclear and/or, Clearstream, Luxembourg and their respective direct and indirect participants.

Calculation of Interest

For so long as all of the Notes are represented by the Global Certificate and such Global Certificate is held on behalf of Euroclear and Clearstream, Luxembourg, interest payable to the Registered Holder shall be calculated on the basis of the aggregate principal amount of the Notes represented by the Global Certificate, and not per Calculation Amount as provided in Condition 4 (*Interest Payments*).

Payments

For so long as the Registered Holder is shown in the register of Holders as the holder of the Notes evidenced by the Global Certificate, the Registered Holder shall (subject as set out above under "*Accountholders*") in all respects be entitled to the benefit of such Notes. Payments of all amounts payable under the Conditions in respect of the Notes as evidenced by the Global Certificate will be made to the Registered Holder pursuant to the Conditions.

Distributions of amounts with respect to book-entry interests in the Notes held through Euroclear and/or Clearstream, Luxembourg will be credited, to the extent received by the Agent, to the cash accounts of Euroclear and/or Clearstream, Luxembourg participants in accordance with the relevant system's rules and procedures.

Upon any payment of any amount payable under the Conditions the amount so paid shall be entered by the Registrar on the register, which entry shall constitute *prima facie* evidence that the payment has been made.

All payments in respect of Notes represented by a Global Certificate will be made to, or to the order of, the person whose name is entered on the Register at the close of business on the Clearing System Business Day immediately prior to the date for payment, where "**Clearing System Business Day**" means Monday to Friday inclusive except 25 December and 1 January.

Cancellation

Cancellation of any Note following its redemption or purchase by the Issuer or any of its Subsidiaries will be effected by a reduction in the aggregate principal amount of the Notes in the relevant register of Holders and by the annotation of the appropriate schedule to the Global Certificate.

Partial Redemption

In the event that less than all the Notes are redeemed, selection of such Notes or portions thereof for redemption will be made only in accordance with the standard procedures of Euroclear and Clearstream, Luxembourg (to be reflected in the records of Euroclear and Clearstream, Luxembourg as either a pool factor or a reduction in principal amount, at their discretion). The Global Certificate will be written down to reflect the partial redemption.

Notices

For so long as the Notes are represented by the Global Certificate and such Global Certificate is held on behalf of Euroclear and Clearstream, Luxembourg or an Alternative Clearing System, notices to Holders may be given by delivery of the relevant notice to Euroclear and Clearstream, Luxembourg or such Alternative Clearing System (as the case may be) for communication by it to entitled Accountholders in substitution for notification and publication as required by Condition 12 (*Notices*) except that, so long as the Notes are admitted to listing on the Official List and to trading on the Euro MTF Market, notices shall also be published in accordance with the rules of such exchange. Any such notice shall be deemed to have been given to the Holders on the date on which the notice is delivered to Euroclear and/or Clearstream, Luxembourg or the Alternative Clearing System (as applicable).

Prescription

Claims against the Issuer in respect of any amounts payable in respect of the Notes represented by the Global Certificate will be prescribed after 10 years (in the case of principal) and five years (in the case of interest) from the Relevant Date (as defined for these purposes in the Conditions).

Meetings

The holder of a Global Certificate will be treated as being one person for the purposes of any quorum requirements of, or the right to demand a poll at, a meeting of Holders and, at any such meeting, as having one vote in respect of each €1,000 in principal amount of Notes for which the Global Certificate may be exchanged.

Written Resolution and Electronic Consent

For so long as the Notes are evidenced by the Global Certificate and such Global Certificate is registered in the name of any nominee for any one or more of Euroclear and Clearstream, Luxembourg or another clearing system, then, in respect of any resolution proposed by the Issuer:

- (i) where the terms of the proposed resolution have been notified to the Holders through the relevant clearing system(s), the Issuer shall be entitled to rely upon approval of such resolution proposed by the Issuer given by way of electronic consents communicated through the electronic communications systems of the relevant clearing system(s) in accordance with their operating rules and procedures by or on behalf of the holders of not less than 75 per cent. in principal amount of the Notes outstanding ("**Electronic Consent**") by close of business on the Relevant Date (as defined for these purposes in Schedule 3 of the Fiscal Agency Agreement). Any resolution passed in such manner shall be binding on all Holders, even if the relevant consent proves to be defective. The Issuer shall not be liable or responsible to anyone for such reliance; and
- (ii) where Electronic Consent is not being sought, for the purpose of determining whether a written resolution has been validly passed, the Issuer shall be entitled to rely on consent or instructions given in writing directly to the Issuer by (a) Accountholders in the clearing system(s) with entitlements to the Global Certificate and/or, (b) where the Accountholders hold any such entitlement on behalf of another person, on written consent from or written instruction by the person identified by that Accountholder as the person for whom such entitlement is held. For the purpose of establishing the entitlement to give any such consent or instruction, the Issuer shall be entitled to rely on any certificate or other document issued by, in the case of (a) above, Euroclear, Clearstream, Luxembourg or any other relevant Alternative Clearing System (the "**Relevant Clearing System**") and, in the case of (b) above, the Relevant Clearing System and the Accountholder identified by the Relevant Clearing System for the purposes of (b) above. Any resolution passed in such manner shall be binding on all Holders, even if the relevant consent or instruction proves to be defective. Any such certificate or other document shall, in the absence of manifest error, be conclusive and binding for all purposes. Any such certificate or other document may comprise any form of statement or print out of electronic records provided by the Relevant Clearing System (including Euroclear's EUCLID or Clearstream, Luxembourg's Xact system) in accordance with its usual

procedures and in which the Accountholder of a particular principal amount of the Notes is clearly identified together with the amount of such holding. The Issuer shall not be liable to any person by reason of having accepted as valid or not having rejected any certificate or other document to such effect purporting to be issued by any such person and subsequently found to be forged or not authentic.

USE OF PROCEEDS

The net proceeds of the issue of the Notes will be used by the Issuer for its general corporate purposes, including, without limitation, the financing of its lending activities, the refinancing of existing liabilities and the strengthening of its capital and liability structure, including for the purposes of meeting its MREL.

HISTORICAL FINANCIAL INFORMATION OF THE ISSUER

The information set out in the tables below is a summary of the Issuer's consolidated financial performance and unaudited key performance indicators for the three months ended 31 March 2026 and (where relevant) 31 March 2025 (as obtained from the 2026 Interim Financial Information) and financial years ended 31 December 2025 and 31 December 2024 (as obtained from the 2025 Financial Statements and 2024 Financial Statements). For information on the basis of preparation and presentation of the financial information contained herein, see "*Presentation of Financial Information*". The information set out in the tables below has been extracted (without any material adjustment) from and should be read in conjunction with the 2025 Financial Statements, the 2024 Financial Statements and the 2026 Interim Financial Information, which are incorporated by reference in this Offering Memorandum and form an integral part hereof (see "*Information Incorporated by Reference*"). The financial year of the Issuer starts on 1 January and ends on 31 December.

The Issuer's Consolidated Statements of Profit or Loss

	Three months ended 31 March 2026	Three months ended 31 March 2025	Year ended 31 December 2025	Year ended 31 December 2024
	<i>(Amounts in EUR '000)</i>			
Interest income using the effective interest method	59,328	59,170	226,270	258,608
Other similar income	286	541	1,682	2,507
Interest expense	(20,085)	(19,376)	(73,692)	(83,164)
Other similar expense	(58)	(3)	(231)	(218)
Net interest income	39,471	40,332	154,029	177,733
Fee and commission income	18,712	18,478	77,993	77,303
Fee and commission expense	(9,028)	(9,344)	(39,750)	(41,410)
Net fee and commissions income	9,684	9,134	38,243	35,893
Net gains/(losses) from financial instruments at fair value through profit and loss	(796)	1,226	5,856	5,603
Realized gains on disposal of debt securities at fair value through other comprehensive income	6	6	30	28
Gains/(losses) from hedge accounting	(724)	-	221	-
Other operating income	471	1,630	4,920	5,838
Trading and other income	(1,043)	2,862	11,027	11,469
General and administrative expenses	(27,020)	(24,049)	(108,012)	(99,478)
Depreciation and amortization	(3,616)	(3,350)	(13,731)	(13,371)
Expected credit losses	2,043	(4,668)	(3,558)	(14,364)
Provisions for liabilities and expenses	(937)	(1,531)	(6,092)	(7,832)
Operating expenses	(29,530)	(33,598)	(131,393)	(135,045)
PROFIT BEFORE TAX	18,582	18,730	71,906	90,050
Income tax expense	(3,346)	(3,398)	(13,137)	(16,515)
PROFIT FOR THE PERIOD	15,236	15,332	58,769	73,535

The Issuer's Consolidated Statement of Cash Flows

	Three months ended 31 March 2026	Three months ended 31 March 2025	Year ended 31 December 2025	Year ended 31 December 2024
	<i>(Amounts in EUR '000)</i>			
Cash flows from operating activities				
Profit before tax	18,582	18,730	71,906	90,050
<i>Adjusted by:</i>				
- Depreciation and amortization	3,616	3,350	13,731	13,371
- Net gain/(loss) on exchange rate differences from the revaluation of monetary assets and liabilities	(19)	196	428	(607)
- Expected credit losses	(2,043)	4,668	3,558	14,364
- Provisions for liabilities and charges	937	1,531	6,092	7,832
- Net gains/(losses) from financial instruments at fair value through profit and loss	796	(1,226)	(5,645)	(5,405)
- Net interest income	(39,472)	(40,332)	(154,028)	(177,734)
- Dividend income	(6)	(7)	(242)	(225)
Changes in operating assets and liabilities				
Loans and receivables from banks	(18)	(19,021)	(2,207)	-

	Three months ended 31 March 2026	Three months ended 31 March 2025	Year ended 31 December 2025	Year ended 31 December 2024
	<i>(Amounts in EUR '000)</i>			
Financial assets at fair value through profit and loss	1,341	(27,877)	1,361	(11,213)
Financial assets at amortized cost	(1,859)	(754,403)	(1,165,185)	(176,402)
Financial assets at fair value through other comprehensive income	1,289	(427)	(351)	(1,068)
Loans and receivables from customers	(54,695)	(116,152)	(826,485)	41,235
Other assets	7,437	(5,477)	(65,650)	20
Deposits from banks	24,755	(24,328)	6,127	25,413
Customer deposits	(402,303)	(572,732)	445,970	784,093
Other liabilities	(3,957)	(1,463)	(6,324)	(25,742)
Net cash used in operating activities before interest and taxes	(445,619)	(1,534,970)	(1,676,944)	577,982
Interest received	59,614	59,711	227,951	261,115
Interest paid	(20,142)	(19,378)	(73,923)	(83,381)
Income tax paid	(3,777)	(3,131)	(20,006)	(17,081)
Net cash used in operating activities	(409,924)	(1,497,768)	(1,542,922)	738,635
Cash flows from investing activities				
Purchase of property, equipment and intangible assets	(2,923)	(2,302)		
.....			(16,448)	(13,975)
Sale of property, equipment and intangible assets ..	1	54	609	3,623
Dividends received	6	7	242	225
Net cash used in investing activities	(2,916)	(2,241)	(15,597)	(10,127)
Cash flows from financing activities:				
Dividend paid	(44,197)	(24,134)	(48,389)	(5,284)
Increase in borrowings	31,998	21,021	479,488	50,416
Repayments of borrowings	(247,934)	(99,333)	(267,502)	(75,060)
Lease payments	(976)	(934)	(3,696)	(3,608)
Net cash used in financing activities	(261,109)	(103,380)	159,901	(33,536)
Effect of exchange rate changes on cash and cash equivalents	-	-	-	6
Net increase/(decrease) in cash and cash equivalents	(673,949)	(1,603,389)	(1,398,618)	694,978
1 January 2026 opening balance prior to restatement for the amendments to IFRS 9 (issued in May 2024)	2,411,730	-	-	-
Adjustment on initial application of amendments to IFRS 9 on 1 January 2026	(9,310)	-	-	-
Cash and Cash Equivalents at the Beginning of the Year	2,402,420	3,810,348	3,810,348	3,115,370
Cash and Cash Equivalents at the End of the Year	1,728,471	2,206,959	2,411,730	3,810,348

The Issuer's Consolidated Statement of Financial Position

	As at 31 March 2026	As at 31 December 2025	As at 31 December 2024
	<i>(Amounts in EUR '000)</i>		
ASSETS			
Cash and cash equivalents	1,728,471	2,400,420	3,798,745
Loans and receivables from banks	2,510	2,491	2,284
Financial assets at fair value through profit and loss	63,917	65,258	66,619
Financial assets at fair value through other comprehensive income	4,524	5,813	5,462
Debt securities at amortized cost	2,192,267	2,197,444	1,032,259
Loans and receivables from customers	3,749,881	3,695,186	2,868,701
Investment in subsidiaries	-	-	-
Deferred tax assets, net	4,368	3,950	4,423
Tax prepayment	1,149	716	9
Derivatives - hedge accounting	14,392	9,864	-
Other assets	90,455	97,891	32,246
Property, equipment and right of use assets	58,435	57,130	51,301
Investment property	4,559	4,586	4,826
Intangible assets	19,718	19,662	14,912
TOTAL ASSETS	7,934,646	8,562,411	7,881,787
LIABILITIES			

	As at 31 March 2026	As at 31 December 2025	As at 31 December 2024
	<i>(Amounts in EUR '000)</i>		
Financial liabilities at fair value through profit and loss.....	137	22	542
Deposits from banks	107,680	82,925	76,798
Customer deposits.....	6,699,801	7,102,104	6,656,134
Borrowings and lease liabilities	456,763	672,398	456,928
Provisions for commitments and contingencies	41,217	41,402	41,483
Income tax liability	19	25	6,048
Derivatives - hedge accounting	2,470	4,381	-
Other liabilities	36,624	83,401	84,341
TOTAL LIABILITIES.....	7,344,711	7,986,658	7,322,274
EQUITY			
Share capital	161,970	161,970	161,970
Reserves for own shares, net of treasury shares	583	583	594
Statutory reserve	8,099	8,099	8,099
Other reserves	80,985	80,985	80,614
Fair value reserve.....	3,721	4,775	4,479
Revaluation reserve.....	6,316	6,387	5,004
Retained earnings.....	328,261	312,954	298,753
TOTAL EQUITY.....	589,935	575,753	559,513
TOTAL LIABILITIES AND EQUITY	7,934,646	8,562,411	7,881,787

KEY FINANCIAL RATIOS AND ALTERNATIVE PERFORMANCE MEASURES OF THE ISSUER

For the Issuer, measures that might be considered to be “alternative performance measures” (“APMs”) as described in the ESMA Guidelines on Alternative Performance Measures published on 5 October 2015 include (without limitation) the following (such terms being used in this Offering Memorandum as defined below):

- “**Capital adequacy ratio**”: ratio of own funds to total risk exposure;
- “**Cost of risk**”: ratio of provisions for the period to the average gross loans for the period;
- “**Cost-to-income ratio**”: Operating expenses (sum of general and administrative expenses, and depreciation and amortization) / sum of net interest income, net fees and commissions income and trading and other income);
- “**Loan-to-deposit ratio**”: Loans and receivables from customers to total customer deposits;
- “**NFCI% Average Assets**”: ratio of net fees and commissions income (annualised for interim periods) for the period to the average total assets for the period (calculated as average of total assets at the current and prior period end);
- “**NIM% Average Assets**”: ratio of net interest income for the period (annualised for interim periods) to the average total assets for the period (calculated as average of total assets at the current and prior period end);
- “**NPL coverage ratio**”: Calculated as Stage 3 impairment loss allowance (impairment loss allowance for loans and receivables from customers, Giro Account with CNB and Other Banks, and fees receivables) divided by Stage 3 gross exposures (gross Stage 3 exposures for loans and receivables from customers, Giro Account with CNB and Other Banks, and fees receivables); NPL coverage ratio is calculated in accordance with methodology developed and used by CNB in order to have comparable ratio for local market;
- “**NPL ratio**”: ratio of **non-performing loans** (Stage 3 gross exposures as defined in NPL coverage ratio) to total loans (sum of total gross loans, Giro Account with CNB and Other Banks, and fees receivables); NPL ratio is calculated in accordance with methodology developed and used by CNB in order to have comparable ratio for local market;
- “**Return on assets ratio**”: ratio of profit after tax (annualised for interim periods) to total assets as at reporting date;
- “**Return on equity ratio**”: ratio of profit (annualised for interim periods) after tax to total equity as at reporting date;
- “**Stage 2 coverage**”: ratio of expected credit losses for Stage 2 loans to gross Stage 2 loans; and
- “**Stage 2 ratio**”: ratio of gross Stage 2 loans to total gross loans.

The financial measures presented in this section are not audited, reviewed, verified or reported on by the independent auditors, and are not defined in accordance with the IFRS. An APM should not be considered in isolation from, or as a substitute for any analysis of, financial measures defined according to IFRS. Investors are advised to review these APMs in conjunction with the consolidated financial statements of the Group contained in this Offering Memorandum.

The Issuer believes that the below measures provide useful information to investors for the purposes of evaluating the financial condition and results of operations of the Issuer, the quality of its assets and the fundamentals of its business. However, the Issuer’s use and method of calculation of APMs may vary from other companies’ use and calculation of such measures.

No statement in this Offering Memorandum is intended as a profit forecast and no statement in this Offering Memorandum should be interpreted to mean that the earnings of the Group for the current or future years would necessarily match or exceed the historical published earnings of the Group.

Unless stated otherwise, the APMs are presented for the three months ended 31 March 2026 and the years ended 31 December 2025 and 31 December 2024 on a consolidated basis for the Group.

Summary presentation of APMs

The key APMs for the Group, for the years ended 31 December 2024 and 31 December 2025, and for the three-month period ended 31 March 2026, are set out below.

APM		31 December 2024	31 December 2025	31 March 2026
Loan-to-deposit ratio (%)		43.1	52.0	56.0
NPL coverage ratio (%)		70.9	74.0	74.5
NPL ratio (%)		3.0	3.2	3.5
NIM % Average Assets (%)		2.4	1.9	1.9
NFCI % Average Assets (%)		0.5	0.5	0.5
Cost of risk (%)		0.46	0.10	(0.21)
Cost-to-income ratio (%)		50.1	59.9	63.7
Return on asset ratio (%)		0.9	0.7	0.8
Return on equity ratio (%)		13.1	10.2	10.3
Capital adequacy ratio (%)		21.1	19.5	19.3
Stage 2 coverage (%)		7.3	5.7	5.4
Stage 2 ratio (%)		15.4	12.1	11.3

		As at and for the year ended 31 December 2024	As at and for the year ended 31 December 2025	As at and for the three months ended 31 March 2026
Loan-to-deposit ratio (%)	Loans and receivables from customers	2,868,701	3,695,186	3,749,881
	Total customer deposits	6,656,134	7,102,104	6,699,801
NPL Coverage Ratio (%)	Stage 3 impairment loss allowance (impairment loss allowance for loans and receivables from customers, giro account with CNB and other banks and fees receivables)	144,577	145,563	146,331
	Stage 3 gross exposures (gross Stage 3 exposures for loans and receivables from customers, giro account with CNB and other banks and fees receivables)	203,927	196,598	196,420
NPL Ratio (%)	Non-performing loans (gross Stage 3 exposures for loans and receivables from customers, giro account with CNB and other banks and fees receivables)	203,927	196,598	196,420
	Total loans (sum of total gross loans, giro account with CNB and other banks and fees receivables)	6,746,059	6,156,721	5,622,471
NIM % Average Assets (%)	Net interest income	177,733	154,029	157,884
	Average total assets	7,463,702	8,222,099	8,248,529
NFCI % Average Assets (%)	Net fees and commissions income	35,893	38,243	38,736
	Average total assets	7,463,702	8,222,099	8,248,529
Cost of risk (%)	Gains/(losses) from loan impairment and receivables from customers and other assets	14,364	3,558	(8,172)
	Average gross loans	3,105,072	3,470,293	3,908,303
Cost-to-income ratio (%)	Sum of general and administrative expenses and depreciation and amortization	112,849	121,743	30,636

	Sum of net interest income, net fees and commissions income and trading and other income	225,095	203,299	48,112
Return on asset ratio (%)	Annualized profit after tax	73,535	58,769	60,944
	Total assets as at reporting date	7,881,787	8,562,411	7,934,646
Return on equity ratio (%)	Annualized profit after tax	73,535	58,769	60,944
	Total equity as at reporting date	559,513	575,753	589,935
Capital adequacy ratio (%)	Own funds	511,786	547,316	546,918
	Total risk exposure	2,422,132	2,813,398	2,829,677
Stage 2 coverage	Expected credit losses for Stage 2 loans	34,650	26,502	24,087
	Gross Stage 2 loans	471,690	467,790	443,594
Stage 2 ratio	Total gross loans	3,059,120	3,881,465	3,935,141

DESCRIPTION OF THE ISSUER

History and Background of the Issuer

Hrvatska poštanska banka p.l.c. was established in October 1991 with its registered office in Zagreb. Its initial shareholders were Croatian Post and Telecommunication and its business partners. The Bank is a universal bank based in Croatia with a strong retail and small-business focus providing a comprehensive range of banking services to its clients. As of the end of 2025, the Bank was the fifth-largest bank in Croatia by assets with a market share of 9.4% and the largest domestically-owned bank (*source: Moody's*). Since 1991, the Bank has remained the only Croatian-owned bank with a market share of more than 1%.

The Bank has grown both organically and through acquisitions. Recent transactions included the acquisition of JADRANSKA BANKA d.d. ŠIBENIK (2018), HPB-Stambena štedionica d.d (2019) and Sberbank P.l.c. (2022), rebranded as Nova hrvatska banka P.l.c. The merger of Nova hrvatska banka P.l.c. was concluded in 2023.

The Bank serves 556,000 clients. Group's total assets amounted to EUR 8,562.4 million and total equity to EUR 575.8 million as of 31 December 2025. Bank's total assets amounted to EUR 8,563.8 million and total equity to EUR 576.4 million as of 31 December 2025. The Republic of Croatia is the Bank's largest individual shareholder, holding 53.66% of the Bank's shares. Together with Croatian Post INC., the Croatian Deposit Insurance Agency and the NEK Fund, these shareholders collectively hold approximately 77.00% of the Bank's share capital. The Bank's business network consists of 62 branch offices and 4 outlets and 7 regional centres and it is available to clients throughout Croatia. Through its own branch offices and through the project 'Bank in Post Office', the Bank continuously increases its accessibility and together with the Croatian Post INC, it has become the largest distribution channel for basic banking products and services in Croatia, with more than 1,000 branches and offices.

In 2015, the Bank was recapitalised by predominantly private shareholders. The Bank's registered office is at Jurišićeva ulica 4, Zagreb, City Of Zagreb, Croatia, and it is Registered at the Commercial Court in Zagreb under company registration number (MBS): 080010698.

The Bank has share capital of EUR 162 million divided into 2,024,625 ordinary shares each in the nominal value of EUR 80.00 and paid in full.

Hrvatska poštanska banka p.l.c. is the 100% owner of HPB Invest Ltd and HPB-nekretnine d.o.o.

HPB Invest Ltd is a management company established for the purpose of setting up and managing UCITS (Undertakings for Collective Investment in Transferable Securities) funds and HPB-nekretnine d.o.o. is a management company for real estate services.

The Bank is publicly listed on the Zagreb Stock Exchange Inc., Official Market (ticker: HPB) with a free float proportion of around 23%.

Key milestones in the Issuer's development

1991	Bank is established in Zagreb.
1995	Moved to current headquarters.
2003	First branch opened in Split.
2005	Established HPB-nekretnine d.o.o. and HPB Invest Ltd , thereby forming the Group.
2006	Establishment of HPB-Stambena štedionica Plc, a housing savings bank (which was subsequently merged into the parent company in December 2019).
2015	Public offering of the Bank's shares raising HRK 550 million (approx. 73 million EUR).
2018-2019	Acquires 100% of the share capital of JADRANSKA BANKA d.d. ŠIBENIK and subsequent merger.

	Merged HPB-Stambena štedionica d.d.
2022	Acquired a 100% ownership interest in Sberbank P.l.c.
2023	Completed the merger of Nova hrvatska banka P.l.c. into the Group.
2025	Supervisory board strengthened with three new members.

On 4 March 2025 the Bank signed a share purchase agreement with the Croatian Deposit Insurance Agency, to purchase 100% ownership stake in of the share capital of CROATIA BANKA d.d., for a transaction amount of EUR 15 million. Closing of the transaction is subject to fulfilment of the conditions precedent, which mainly relate to obtaining all necessary regulatory approvals. The acquisition is consistent with the Bank's strategy of increasing its market share and strengthening its market position. On 17 April 2026, the Bank's General Assembly approved the acquisition of 100% of shares in CROATIA BANKA d.d.

Key Information about the Bank

Legal and commercial name of the Issuer	Hrvatska poštanska banka p.l.c.
Legal form of the Issuer	Public limited company
Place of registration (registered office)	Jurišićeva ulica 4, Zagreb, City of Zagreb
Identification number (OIB)	87939104217
LEI	529900D5G4V6THXC5P79
MBS (company registration number)	080010698
European unique identifier (EUID)	HRSR.080010698
Legislation under which the Issuer operates	Companies Act; Credit Institutions Act; Payment Services Act; Consumer Credit Act; Croatian Resolution Act; Regulations and supervision by the Croatian National Bank; Rules of the European Central Bank and EU banking regulations Capital Market Act, Act on Legal Entities Owned by the Republic of Croatia
Date of incorporation	23 October 1991
Duration	Indefinite
Telephone number	+385 1 4804 400

Business Overview

Hrvatska poštanska banka p.l.c. operates as a full-service credit institution, providing a comprehensive range of banking and financial services.

In accordance with the registration in the court register of the Commercial Court in Zagreb, the Bank has the following company objects registered:

- receipt of monetary deposits or other repayable funds from the public and granting of loans for its own account from these funds;
- receipt of monetary deposits or other repayable funds;
- lending, including consumer credit, mortgage credit and, where permitted by a special law, financing of commercial transactions, including export financing based on the purchase at a discount without recourse of non-current, non-matured receivables collateralised with a financial instrument (forfeiting);
- repurchase of receivables with or without recourse (factoring);
- financial leasing;
- issuance of guarantees or other commitments;
- trading for its own account or on the behalf of accounts of customers in:
 - money market instruments;
 - transferable securities;
 - foreign exchange, including currency exchange transactions;
 - financial futures and options,
 - exchange and interest-rate instruments;
- payment services in compliance with special laws;
- loan reference services, such as collection, analysis and provision of information on the creditworthiness of legal and natural persons that conduct their business independently;
- issuing and administering other means of payment, if the provision of such services is not considered the provision of services within the meaning of the special law;
- safe custody services;
- money broking;
- advice to legal persons on capital structure, business strategy and related issues as well as the provision of services relating to mergers and the acquisition of shares and holdings in other companies;
- issuance of electronic money;
- investment and ancillary services and activities as defined by special law governing the capital market, including:
 - reception and transmission of orders in relation to one or more financial instruments;
 - execution of orders on behalf of customers,
 - dealing on its own account;
 - portfolio management;
 - investment advice;
 - underwriting of financial instruments and/or placing of financial instruments on a firm commitment basis;

- underwriting of financial instruments and/or placing of financial instruments without a firm commitment basis;
- safekeeping and administration of financial instruments for the account of customers, including custodianship and related services such as cash/collateral management;
- granting credits or loans to an investor to allow him/her/it to carry out a transaction in one or more financial instruments, where the firm granting the credit or loan is involved in the transaction;
- advisory on capital structure, industrial strategy and related matters, and advice and services relating to mergers and the purchase of undertakings;
- foreign exchange services where these are connected to the provision of investment services, - investment research and financial analysis or other forms of general recommendation relating to transactions in financial instruments;
- services related to the services of underwriting and/or placing of financial instruments on a firm commitment basis;
- investment services and activities as well as ancillary services related to the derivatives referred to in Article 3, paragraph 1, item 2, sub-item (d), indents 2, 3, 4 and 7, of the Capital Market Act where these investment services and activities are connected to the provision of investment or ancillary services; and
- activities related to the sale of insurance policies in accordance with the law governing insurance.

Its core business activities comprise retail banking and corporate banking operations. The Bank's principal activities comprise:

- the acceptance of deposits and the provision of credit products and services to natural and legal persons in domestic and foreign currencies;
- the provision of payment and transaction services;
- the issuance of guarantees, letters of credit and other forms of sureties;
- factoring and financial leasing services;
- trading in securities and the provision of related investment services;
- ancillary services related to lending activities, including the collection and processing of financial information and the assessment of the creditworthiness of natural and legal persons engaged in business activities;
- activities relating to the distribution of insurance policies in accordance with applicable insurance regulations;
- the issuance of electronic money;
- the issuance and management of other payment instruments where such activities do not constitute payment services within the meaning of the relevant legislation;
- other banking products; and
- other services permitted under its banking licence.

The Bank operates through three primary business segments, each serving distinct customer segments and contributing to the Bank's diversified revenue base: (i) Corporate Banking including SME; (ii) Retail Banking and (iii) Financial Markets.

The Bank's business network consists of 62 branch offices, 4 outlets and 7 regional centres and it is available to clients throughout Croatia. Through its own branch offices and through the project 'Bank in Post Office', the Bank continuously increases its accessibility and together with the Croatian Post, it has become the largest distribution channel for basic banking products and services in Croatia, with more than 1000 branches and offices.

The Bank constantly improves the range of its products and services to ensure that all categories of clients are provided with a quality and complete financial service. The Bank's key products include:

- the Bank offers domestic EUR and foreign currency savings and savings for children, HPB Combination packages of products for employed persons, retired persons and students, a wide range of loans for citizens, modern card products and electronic banking services;
- the Bank's range of products for corporate clients includes loans for short term and long term financing, issuance of guarantees, letters of credit and other forms of sureties, cards, treasury and payment services;
- the Bank seeks to encourage and develop a high quality entrepreneurial initiative, the Bank actively cooperates with HAMAG BICRO (the Croatian Agency for small and medium sized enterprises ("SMEs"), Innovation and Investments) and HBOR (the Croatian Bank for Reconstruction and Development) in various programs of extending loans to small business owners;
- the Bank offers its corporate clients the services of financial consulting, cash management and asset management;
- the Bank is a deposit bank of several investment funds and the bank custodian of voluntary pension funds;
- the Bank is a member of the Zagreb Stock Exchange Inc. and of the Central Depository and Clearing Company Inc. as a member broker;
- the Bank provides custody and brokerage services, acts as an agent and sponsor of securities issuance, and provides advisory services related to investments in securities (investment counselling/consulting);
- the Bank performs payment operations for its clients and uses the Croatian Financial Agency's network of branch offices;
- the Croatian Post INC, on behalf of and for the account of the Bank, provides payment services to citizens;
- the Bank's business network includes 7 regional centres and 62 branch offices and 4 outlets in all major cities in the country;
- the Bank's distribution channels comprise a wide network of ATMs and point of sale terminals located in the Croatian Financial Agency's branch offices, in the Croatian Post's offices and points of sale throughout Croatia;
- the Bank provides banking operations to its clients through its network of postal offices; and
- the Bank has established correspondent relations with more than 358 banks in Croatia and abroad.

Strengths

- **Unique market position as Croatia's only major domestically owned bank.** the Bank is the sole large-scale bank in Croatian state ownership, operating in a market otherwise dominated by subsidiaries of foreign banking groups. This structural distinction provides the Bank with a differentiated institutional identity, a mandate to serve the Croatian economy and a level of brand credibility. The Bank is also independently validated by Moody's with the provision of investment-grade ratings (Baa2 deposits / Baa3 issuer, stable outlook) — making the Bank one of a small number of domestically owned banks in Central and Eastern Europe to hold an investment-grade credit rating.
- **Unmatched nationwide distribution network.** The Bank operates the broadest distribution infrastructure of any Croatian bank, combining 66 proprietary branch offices with access points at over 1,000 Croatian Post offices and 141 dedicated financial corners across the Republic of Croatia. This network provides comprehensive geographic coverage, including rural and underserved communities

where competitors are absent, and constitutes a durable structural advantage for retail deposit gathering, new client acquisition and product cross-selling that no competitor has replicated or can easily replicate.

- **Exceptionally strong capital, liquidity and funding profile.** The Bank maintains a capital and liquidity position that is substantially above regulatory requirements on all key metrics (as of 31 March 2026): CET1 and Total Capital Ratio of 19.3%, Liquidity Coverage Ratio (LCR) of 206.8% and Net Stable Funding Ratio (NSFR) of 192.4% and high-quality liquid assets (HQLA) of EUR 3,780.7 million. Both the LCR and NSFR are approximately double the regulatory threshold of 100%.
- **Demonstrated above-market commercial growth and deepening client franchise.** the Bank has delivered five consecutive years of above-market asset growth, increasing its share of total sector assets from below 8% to 9.4% by end-2025. The Bank's gross loan portfolio grew 26.9% in 2025 against estimated sector growth of 7–9%. The retail client base of over 535,000 individuals reflects deep primary banking relationships, with 57.8% of clients maintaining their primary income account with the Bank and an average cross-sell ratio of 1.98 products per client. According to independent research, the Bank leads the Croatian banking market in client trust and referral rates.¹
- **Market-leading product proposition.** The Bank has demonstrated a consistent capacity to originate market-moving product initiatives. In 2025, the launch of the HPB Super Housing Loan introduced the most competitive mortgage pricing in the Croatian market at the time of launch, initiating a broader repricing of housing loan rates across the sector, and generated new lending of EUR 651 million during the year, with retail housing loans growing 21.9% year-on-year. The Bank's savings products have similarly achieved strong market recognition, reinforcing the Bank's positioning as a client-centric institution.
- **Fast and autonomous decision-making.** As the only major bank with its headquarters and full credit and risk authority located in Croatia, the Bank offers corporate and public sector clients direct access to senior decision-makers without referral to foreign parent company committees. This structural advantage translates into materially faster credit approvals, greater flexibility in structuring bespoke solutions and stronger responsiveness to client and market needs, which is a key competitive differentiator in the large corporate and public sector segment, where the Bank has consistently deepened long-term financing and deposit relationships.
- **Proven acquisition and integration capability.** the Bank has successfully executed three acquisitions since 2019 — Jadranska banka, HPB-Stambena štedionica and ex-Nova hrvatska banka — with the full operational integration of Nova hrvatska banka completed in 2024. This track record demonstrates a disciplined and repeatable inorganic growth capability, which is further evidenced by the signed agreement to acquire Croatia banka d.d., a transaction that will bring the Group's total sector asset share to approximately 10% upon completion. Each acquisition has been executed without material disruption to the Bank's operations, financial performance or capital position.
- **Experienced management team with a clear strategic framework.** The Bank's 2026–2030 Strategy, approved by the Supervisory Board in December 2025, defines a structured transformation agenda across three pillars — Customer Focus, Digital and Operational Excellence, and Sustainable Growth.

Strategy

According to independent research, the Bank is the leader in client trust and referrals, and client loyalty represents the highest value of financial institutions.² Hrvatska poštanska banka p.l.c. strives to be a strong and reliable Croatian bank, attractive equally to investors, clients and employees.

In the retail segment, the Bank's ambition is to be recognised as the Croatian bank of choice across generations, building long term relationships founded on trust, relevance and superior experience. The Bank aims to increase the number of active clients with primary income accounts, with a particular focus on attracting younger, economically active and highly educated clients who demonstrate strong financial potential, lower risk profiles and a greater propensity for multi-product engagement. The Bank will further accelerate digital adoption and

¹ Source: Valicon, "All finance", 2025.

² Source: Valicon, "All finance", 2025.

deepen client engagement by delivering intuitive, personalised and seamlessly integrated banking experiences across all channels, reinforcing the Bank's ambition to lead the Croatian market in customer experience.

In the SME segment, the Bank seeks to act as a trusted financial partner within local communities, strengthening its market presence while focusing on sectors with strong growth dynamics and investment potential. Through tailored financing solutions, advisory support and sector-specific expertise, the Bank aims to enable sustainable business expansion and contribute to the resilience and competitiveness of the Croatian economy.

Within the large corporate segment, the Bank intends to increase the share of privately owned large enterprises in its portfolio, while continuing to deliver high-quality, relationship-driven corporate banking services. The focus remains on building long term strategic partnerships, enhancing sectoral expertise and supporting sustainable business models that align with broader economic and environmental objectives.

The Bank's strategy for 2026-2030 is built on three key pillars: Focus on Client; Digital and Operational Efficiency and Sustainable Growth.

Focus on Client

Banking is fundamentally built on relationships. The Bank's ambition is to become a bank that cultivates trusted, long-term relationships, providing clients with a consistent sense of security, support and understanding, whether through digital interaction or personal engagement within its branch network. The Bank is committed to ensuring that at every stage of their relationship with the Bank, clients experience simplicity, transparency and a personalised approach. Across all channels and interactions, the experience must be seamless, consistent and intuitive. Investment in customer experience represents a fundamental driver of sustainable growth and competitive differentiation. Accordingly, the Bank will systematically design, measure and continuously refine client journeys across all touchpoints, building an organisation that not only responds to client needs but anticipates and proactively addresses them.

Digital and Operational Efficiency

Digital transformation, structured around three core dimensions of development, will enable the Bank to realise its digital ambition and long-term strategic objectives.

- Transformation of the client value proposition. The Bank will redefine its value proposition by placing the client firmly at the centre of product and service design. Through the development of always-available digital channels, data-driven personalisation and fully digital end-to-end processes, the Bank will deliver fast, intuitive and tailored banking solutions. Human interaction will remain integral, provided where it adds value or where clients prefer it, ensuring the right balance between digital efficiency and personal advisory support.
- Modern modular architecture and operational automation. The Bank's digital transformation will also enhance efficiency, productivity and scalability, establishing the foundations for technological leadership in banking. By building a modern, modular and interconnected digital architecture, the Bank will ensure operational stability, security and flexibility within an increasingly digital environment. This transformation will accelerate time-to-market for new products, enable faster innovation cycles, optimise operational processes and further elevate the client experience.
- Transforming the Bank's culture and ways of working The Bank is fostering a value-driven culture centred on client impact, continuous improvement and accountability. The Bank's ambition is to consistently exceed client expectations and embed customer value into every decision and process. The Bank aims to attract, develop and retain the talent and skills essential for the future. The Bank believes that its people thrive in a diverse and inclusive environment, where an outstanding employee experience unlocks time, energy and creativity, empowering them to deliver greater value to clients and society.

Sustainable Growth

Both sustainable growth as well as organic and inorganic growth is at the core of the Bank's strategic direction. The Bank's objective is to build a resilient and forward-looking business model that delivers long-term value for

all of its stakeholders. Responsible financing and effective management of sustainability risks form an integral part of its operations. The Bank actively supports its clients in transitioning towards more sustainable business models through dedicated financial solutions and strategic partnerships, while setting high standards for responsible financing practices. The Bank is committed to redirecting capital flows towards sustainable initiatives and developing sustainable products, with the objective of increasing the volume of sustainable financing. At the same time, the Bank ensures prudent management of sustainability-related risks and continuously assesses their potential impact on other prudential risk categories and on the Bank's overall operations.

Financing of the Issuer

The Issuer has a primarily deposit-based funding model. Customer deposits made up 82.9% of total liabilities and equity, as of 31 December 2025. As of 31 December 2025, total customer deposits were predominantly composed of corporate deposits (55.0%) and retail deposits (44.9%). Besides these deposits, the Bank's funding mainly comprises long-term borrowings to meet its MREL and short-term and long-term loans from banks including Croatian Bank for Reconstruction and Development (HBOR) for incentive-based financing such as for energy efficiency or supporting small business development.

As of 31 March 2026, the Issuer had received funding of approximately EUR 7.3 billion, with the split being as follows: approximately 44% from retail, 41% from the corporate, public sector and financial market segment, 9% from the SME segment and 6% comprised of other loan liabilities.

Information on the Issuer's financial results

For the year ended 31 December 2025, the Bank generated net profit after tax of EUR 59.1 million. Profit before tax amounted to EUR 72.4 million. Impairment losses on loans and advances and other value adjustments of financial and non-financial assets totalled EUR 3.6 million, while provisions for liabilities and charges amounted to EUR 6.1 million. Total operating income amounted to EUR 201.9 million. Net interest income of EUR 154.0 million accounted for 75.8% of total operating income.

Net interest income declined by 13.3% for the year ended 31 December 2025 compared to the year ended 31 December 2024, primarily due to a steep reduction in interest rates on overnight deposits placed with central banks. This negative impact was partially offset by strong loan growth and increased investments in higher-yield securities, leading to a stabilisation of net interest income in the second half of 2025. Operating expenses (general and administrative expenses, depreciation and amortization) increased by 7.4% for the year ended 31 December 2025, primarily reflecting strategic investments in employees and the digital transformation programme.

As of 31 December 2025, the Bank's total assets amounted to EUR 8,563.8 million, representing an increase of EUR 681.2 million (an increase of 8.6%) compared with the position as of 31 December 2024. Loans and receivables from customers remained the largest component of the balance sheet, accounting for 43.1% of total assets as of 31 December 2025. Total deposits increased by 6.7% year-on-year. As of 31 December 2025, demand deposits increased by EUR 437.0 million compared to 31 December 2024, while term deposits decreased by EUR 21.5 million.

For the year ended 31 December 2025, the Group generated net profit after tax of EUR 58.8 million. Net profit of the Bank amounted to EUR 59.1 million, while HPB Invest Ltd. realised a net profit of EUR 0.2 million and HPB-nekretnine d.o.o. a net profit of EUR 0.1 million. As of 31 December 2025, the Group's total assets amounted to EUR 8,562.4 million.

In the first quarter of 2026, the Bank reported profit after tax of EUR 15.2 million, substantially unchanged from the corresponding period in 2025. Assets of EUR 7,936.0 million as of 31 March 2026 were 7.3% lower than 31 December 2025, gross loans of EUR 3,935.1 million were 1.4% higher, and deposits 5.3% lower at EUR 6,808.5 million.

Net interest income for the first quarter of 2026 declined by 2.1% year-on-year, primarily due to lower average interest rates on overnight deposits (average weighted rate: Q1 2025 = 2.8%, Q1 2026 = 2.0%) and lower volumes

placed with the central bank. After stabilisation of reference interest rates net interest income was at the highest in the last four quarters which is also reflective of the Bank's balance sheet transformation (strong growth of credit activity and increased investment in securities) during 2025.

Net fee and commission income increased by 3.5% in the first quarter of 2026, mostly in the payment transaction segment. Operating expenses increased by EUR 3.9 million year-on-year, primarily due to investments in employees aimed at mitigating inflationary pressures, as well as intensified work on strategic projects (digital transformation programme), which led to growth in administrative expenses. Profit before tax for the first quarter of 2026 decreased by EUR 0.1 million due to an increase in operating expenses and unrealised losses on the Bank's securities portfolio. Income from the reversal of provisions increased in the first quarter of 2026 due to the improved risk profile of the performing portfolio combined with effective collection activities in the non-performing portfolio.

In the first quarter of 2026, the Group's profit after tax amounts to EUR 15.2 million. Net profit of the Bank/Issuer amounted to EUR 15.2 million, while HPB Invest Ltd. realised a net profit of EUR 60.4 thousand and HPB-nekretnine d.o.o. a net loss of EUR 1.9 thousand. As at 31 March 2026, the Group's total assets amounted to EUR 7,934.6 million.

Corporate Banking

Large Corporates and public sector

The Large Corporates and Public Sector Division provides banking services to more than 1,600 clients, with a continued focus on service quality and product development. Following the operational merger of Nova hrvatska banka (NHB) in 2024, 2025 was characterised by the full capture of integration synergies and sustained organic growth.

The division's gross loan portfolio increased significantly during 2025 compared with 2024, underscoring the Bank's active role in financing economic activity. The portfolio composition remains predominantly concentrated in corporate clients and central government-related entities. During 2025, the Bank rebalanced its lending activity from predominantly liquidity-driven financing towards longer-term investment lending, reflecting the gradual recovery of capital expenditure in both the private and public sectors.

Total deposits of legal entities within the division increased materially in 2025. While the central government segment continues to account for a significant share of demand deposits, there was also a growing contribution from large private-sector corporates.

The large corporate segment expanded further during 2025, with a structural shift towards investment financing, with increased demand for capital expenditure financing, particularly in the energy, tourism and residential construction sectors. Investment activity by local authorities intensified in the areas of green transition and digital infrastructure, with the Bank maintaining its position as a key financing partner to the public sector.

In the forthcoming period, the division will continue to support key economic stakeholders, large corporates, central government entities and local authorities. Strategic priorities include portfolio diversification towards financially sound privately owned corporates and local authorities, expansion of non-interest income streams and further enhancement of service delivery standards.

Small and Medium Sized Enterprises

The SME Division serves more than 15 thousand clients and continues to enhance its financing capabilities in support of micro, small and medium-sized enterprises. The division's activities in 2025 were aligned with its mandate to contribute to sustainable economic development through responsible lending.

At 31 December 2025, gross exposures to SME clients amounted to EUR 483 million, with total value adjustments of EUR 39 million. The increase in term deposits supported funding diversification and improved maturity

structure. The SME Division recorded a notable increase in term deposits during 2025, contributing to a more stable funding structure and supporting the broader trend of deposit reallocation from demand to time-bound savings products within the banking system. The division continues to develop financing and transactional solutions designed to facilitate business operations for entrepreneurs, with a sustained focus on operational efficiency and service quality. Ongoing improvements to credit approval processes aim to ensure timely access to financing and enhance overall client responsiveness. The strategic objective remains to strengthen the Bank's position within the micro, small and medium-sized enterprise segment, while contributing to sustainable development.

Through its strategic cooperation with Hrvatska pošta, the Bank has further enhanced the geographic accessibility of its services. Leveraging the largest distribution network in the Republic of Croatia, entrepreneurs are able to open accounts and access digital banking and lending products even in areas without a physical branch presence. In parallel, the division remains focused on portfolio optimisation and full regulatory alignment, ensuring a resilient, active and sustainable client base prepared to meet future market challenges.

Retail Banking

Retail banking activities are conducted through the Bank's proprietary distribution network, which as at the end of 2025 comprised six regional centres, 62 branch offices, four outlets and one digital branch (e-branch), as well as through the distribution channel of Croatian Post across more than 1,000 post offices throughout Croatia. At 31 December 2025, total retail deposits stood at EUR 3,189.5 million, representing a decrease of 2.7% compared with the previous year.

Lending activity intensified during 2025. At the beginning of the year, the Bank introduced the 'Super Housing Loan' product, offering more favourable lending terms to retail clients and initiating a downward trend in interest rates within the domestic banking market. During the year ended 31 December 2025, total new lending amounted to EUR 651 million, of which EUR 449 million, or 69%, related to housing loans. As a result, the gross portfolio of housing and other retail loans increased by EUR 337.9 million, or 21.9%, as at 31 December 2025 compared to 31 December 2024. Approximately 30% the Bank's 2025 loan book was disbursed as unsecured retail loans to individuals.

Card business

In 2025, the Bank processed a total of 53.2 million card transactions, representing an increase of 8.3% compared with the previous year. Total transaction volume amounted to EUR 2.9 billion, up 7.4% year-on-year. Transactions executed using the Bank's cards reached 44.8 million, marking an 11.7% increase compared with 2024. Of the total number of issued cards, 97.1% relate to retail clients, while 2.9% relate to corporate clients.

During 2025, the card business delivered solid operational growth, further strengthening the Bank's market position and enhancing the client payment experience. The year was characterised by accelerated technological development and a significant expansion of digital payment capabilities. Mobile payment functionality was successfully enabled across the Bank's card portfolio, allowing clients to perform secure and seamless transactions via mobile devices. This development represents an important step in the continued digitalisation of the Bank's card operations and reflects its strategic focus on modern, globally accepted payment solutions.

In parallel, the Bank initiated the development of a comprehensive five-year card strategy for the period 2026–2030. The strategy defines the future direction of the card portfolio and supporting technological infrastructure, including the enhancement of existing products, development of new services, modernisation of card processing systems, strengthening of security standards and improvement of operational efficiency.

Digital Banking

Innovation in business operation is an integral part of the Bank's corporate culture, and the Bank's services and products are tailored to the different profiles and needs of its clients. The emphasis is on quality and fast services,

and by applying new technologies, the Bank defines market trends which all of its client generations reward with confidence.

The Bank delivers digital banking services to retail and corporate clients through mobile and internet banking platforms, SMS and email notification services, and a dedicated Payment Services Directive 2 ("PSD") interface for licensed third-party providers. Digital channels represent a key pillar of the Bank's operating model, supporting process efficiency, cost optimisation and uninterrupted service availability.

During 2025, user adoption increased across all major digital channels, with the strongest growth recorded in corporate mobile banking (an increase of 10%). The 'mHPB' mobile application is used by nearly 171 thousand retail clients, reflecting a 6% year-on-year increase. Retail mobile banking recorded just under five million executed payment orders, while total transaction volume increased by 10% compared with the previous year. In the corporate segment, the number of executed payment orders grew by 11%, with transaction volumes increasing by 22% to EUR 1.6 billion, indicating continued migration towards mobile channels for higher-value transactions.

Mobile banking is increasingly positioned as a primary transactional channel within the corporate segment, reflecting the mobility and convenience of handheld devices relative to fixed desktop environments. The integrated mHPB platform, serving both client segments, enhances channel consistency and operational simplicity. At 31 December 2025, internet banking penetration reached nearly 99 thousand retail users (an increase of 4% compared to 31 December 2024) and exceeded 16 thousand corporate users (an increase of 7% compared to 31 December 2024). Retail internet banking payment orders for the year ended 31 December 2025 declined by approximately 9% to 474,283, while corporate orders decreased by just under 7% to 1,831,884. Nevertheless, transaction volumes continued to grow, increasing by 3% for the year ended 31 December 2025 in the retail segment to over EUR 89 million and by more than 22% in the corporate segment to EUR 13.2 billion, reflecting a migration towards higher-value transactions and more concentrated usage patterns compared to the year ended 31 December 2024.

The Bank operates a dedicated access interface in line with PSD, facilitating secure connectivity for licensed third-party providers under the applicable regulatory framework. Utilisation of the interface remained stable during 2025. During 2025, several digital transformation initiatives were implemented or further advanced, with a focus on strengthening the security and resilience of digital channels, expanding technology-enabled product offerings and enhancing the overall customer experience. Mid-year, the Bank successfully launched a digital wallet solution enabling clients to link their HPB Visa cards to Apple Pay, Google Pay and Garmin Pay services.

Further enhancements were undertaken to strengthen fraud prevention capabilities across digital channels. The initial phase of the Fraud Prevention programme was deployed into production during the year, reinforcing real-time transaction monitoring and advanced risk detection mechanisms. As digital adoption continues to increase, sustained investment in digital infrastructure and controls remains a strategic priority. Focus areas include technology upgrades, innovation management and continuous compliance with evolving regulatory standards. In the next phase of development, the Bank will continue to upgrade digital functionalities, enhance security architecture and ensure responsiveness to changing client expectations.

Loan Portfolio

The following table shows the development of the loan portfolio based on the relevant segments:

Segment	As of (EUR billions)		
	31 December 2024	31 December 2025	31 March 2026
Retail	1.7	2.0	2.1
Corporate, public sector and financial market	1.0	1.4	1.4
SME	0.4	0.5	0.5

As of 31 March 2026, the retail loan portfolio was split as follows: approximately 58% for housing loans and 42% for other loans.

As of 31 March 2026, the SME and corporate sectors loan portfolio was split as follows: approximately 31% to the construction sector, 24% to the manufacturing sector, 13% to the wholesale sector, 10% to the transportation sector, 9% to the accommodation sector, 7% to the energy sector and 6% to the real estate sector.

Financial Markets

Following the record levels of client deposits and associated interest income achieved in 2024, the first half of 2025 saw a moderate contraction of the deposit base. In response, the Trading and Liquidity Department allocated a portion of surplus liquidity into Croatian government bonds. In early March 2025, the Bank acquired a total of EUR 700 million of two-year and five-year Republic of Croatia sovereign bonds, securing yields significantly above those available on overnight placements with the ECB. In addition to standard deposit activity in the interbank and institutional markets, the Financial Markets Division further intensified its activity in the corporate deposit segment, contracting significant volumes of short term corporate deposits during the year. Excess liquidity, which averaged approximately EUR 2 billion throughout 2025, was placed on a daily basis with the ECB via the overnight deposit facility.

Alongside participation in domestic Treasury bill issuances, the Bank continued to participate successfully in Treasury bill auctions of Eurozone member states. The remainder of the investment portfolio was predominantly allocated to fixed-income securities, which recorded a moderate price increase during 2025, thereby contributing positively to net trading income.

Despite initial volatility related to tariff announcements, global equity markets recorded strong performance in 2025, with major indices reaching new historical highs. Through investments in equity and balanced funds managed by HPB Invest Ltd., the Bank realised a significant increase in valuation, which had a favourable impact on trading income.

Given its high liquidity position, the Bank did not participate in the regular ECB refinancing (repo) operations conducted during 2025 and consistently maintained regulatory liquidity ratios above prescribed thresholds. The liquidity coverage ratio (LCR) at 31 December 2025 stood at a robust 208%.

Foreign exchange turnover generated by corporate clients, as well as exchange office transaction volumes, increased compared with the previous year. Through disciplined foreign currency position management and prudent risk control, the Bank significantly exceeded planned results in this segment.

In the cash management business, the Bank remained one of the most significant participants in the domestic market. Leveraging its extensive branch and exchange office network, and in cooperation with Fina gotovinski servisi d.o.o., the Bank continued to provide competitive cash trading and cash supply services. Volumes in this segment remained broadly stable in 2025 compared with 2024.

During the year, the Bank continued to act as an arranger in domestic bond issuances of the Ministry of Finance, reaffirming its active role in the local debt capital market.

In the custody and depositary services segment for pension and investment funds, operations were marked by ongoing enhancement of service quality and alignment with evolving regulatory requirements. Assets under custody and depositary services continued to grow steadily, reflecting both favourable market developments and the Bank's strengthened service capabilities in this segment.

The composition of the consolidated securities portfolio in 2023, 2024 and 2025 is set out below. The Bank has repositioned its large surplus liquidity towards securities in view of declining benchmark interest rates.

Consolidated (Amounts in '000 EUR)*	31 December 2023	31 December 2024	31 December 2025
Equity Instruments.....	18,742	32,949	35,359

Consolidated (Amounts in '000 EUR)*	31 December 2023	31 December 2024	31 December 2025
Private sector bonds, notes and bills	43,208	48,594	51,007
Public sector bonds, notes and bills	847,901	1,015,828	2,171,796
Total.....	909,851	1,097,371	2,258,162

* Securities amount without accrued interest, impairment and hedge accounting effects.

As of 31 March 2026, the debt securities portfolio of the Issuer is (a) denominated entirely in euros; (b) split as follows based on the type of issuer: (i) Republic of Croatia, Ministry of Finance, 87.9%, (ii) French Republic, Ministry of Economy and Finance, 8.9%, and (iii) others, 3.2%; and (c) split as follows based on accounting treatment: (i) amortised cost/debt securities, 97.2%, and (ii) fair value through profit and loss, 2.8%.

Asset and Liability Management

The Bank's asset and liability management framework ("ALM") is centred on the active management of structural balance sheet risks, with the overarching objective of preserving net interest income, protecting the economic value of equity, and ensuring uninterrupted access to funding across all market conditions.

The ALM function operates as the Bank's primary instrument for balance sheet optimisation, translating risk appetite into concrete structural positions. It oversees the management of interest rate risk in the banking book ("IRRBB") and funding liquidity risk, while maintaining alignment with the Bank's strategic and capital planning processes. ALM is responsible for monitoring liquidity crisis indicators, defining appropriate recovery measures and action plans to ensure timely restoration of liquidity in stress scenarios. As well as for the continuous assessment of asset and liability repricing profiles and maturity transformation — all of which support the Bank's internal funds transfer pricing framework.

The analytical outputs of the ALM function - including liquidity gap analyses, Economic Value of Equity and Net Interest Income sensitivity metrics - feed directly into ALCO decision-making on balance sheet positioning, product pricing, hedging strategy, and the management of the Bank's investment portfolio.

Subsidiaries' Operations

HPB Invest Ltd

HPB Invest Ltd is a management company established for the purpose of setting up and managing UCITS (Undertakings for Collective Investment in Transferable Securities) funds established in July 2005 and fully owned by the Bank. Its share capital amounts to EUR 0.9 million as of 31 December 2025 and has been fully paid in. As of 31 December 2025, it manages six open-ended investment funds with a public offering: HPB Short-Term Bond Fund, HPB Bond Fund, HPB Plus Fund, HPB Global Fund, HPB Equity Fund and HPB Fokus 2026 Fund. Total assets under management in the open-ended public investment funds amounted to EUR 67.1 million as of 31 December 2025 compared to EUR 57.2 million as of 31 December 2024. The average month-end assets during 2025 amounted to EUR 62.0 million, compared to EUR 47.6 million in the previous year.

Following the generally positive trends recorded in the preceding two years, 2025 was also characterised by stable and overall positive returns in global capital markets. Consequently, assets under management increased steadily throughout most of the year.

HPB-nekretnine d.o.o.

HPB-nekretnine d.o.o. is a real estate services company established in August 2005 and wholly owned by the Bank. Its share capital amounts to EUR 0.6 million as of 31 December 2025 and has been fully paid in. Core business activities include: (1) real estate valuation and related engineering services, including financial supervision, (2) advisory and brokerage services in real estate transactions, (3) energy performance certification; and (4) real estate operations and property management. At the end of 2025, it employed 14 staff members.

External economic and geopolitical factors

The Bank's activities are heavily concentrated in Croatia, and the performance of the Croatian economy is a key element in the Bank's financial and operating performance. Nominal GDP growth in 2025 remained robust, while real GDP growth moderated compared to 2024, primarily reflecting weaker external demand from Croatia's key export markets, notably Germany and Italy. From a longer-term perspective, Croatia's real GDP growth continues to outpace the EU average. By the end of 2025, GDP per capita is expected to converge further towards the EU average, reaching approximately 78% of the EU level.

In terms of expenditure components, household consumption made the largest contribution to real GDP growth in 2025, supported by rising wages, favourable labour market conditions and sustained consumer confidence. Macroeconomic measures introduced in the second half of 2025 moderated household lending growth, slightly dampening the overall contribution of private consumption. At the same time, these measures mitigated the build-up of excessive leverage.

Average consumer prices, as measured by the Consumer Price Index (CPI), indicate a slight acceleration of inflation in Croatia to 3.7% in 2025. Although significantly lower than the elevated rates recorded in 2022 and 2023, inflationary pressures remained, particularly in the categories of energy and housing, as well as in healthcare services and hospitality. The increase in energy prices, partly reflecting base effects, was influenced by the gradual withdrawal of administrative price controls in the process of alignment with EU regulatory practices. This was accompanied by persistently elevated food price inflation (5.1%), which, given the substantial weight of food in the consumer basket, continues to materially affect perceived inflation and household purchasing power.

The Croatian labour market remained exceptionally strong in 2025, reaching levels indicative of near full employment, with wage increases more pronounced in the public sector, largely reflecting adjustments agreed under collective bargaining agreements.

In 2025, fiscal policy continued to reflect a prudent approach, with a focus on maintaining the general government deficit below the Maastricht reference value of 3% of GDP. According to European Commission forecasts, the general government deficit is expected to remain at approximately 2.8% of GDP, while the debt-to-GDP ratio is projected to stabilise at a moderate level of around 56%.

Market environment

Following several years of consolidation, which significantly reduced the number of credit institutions operating in Croatia, 2025 marked the second consecutive year without structural changes in the sector. The market comprises 19 commercial banks and one housing savings bank. Market concentration remains elevated, with the five largest banks accounting for approximately 82.9% of total assets.

The Croatian banking system continues to be dominated by foreign owned institutions, which account for approximately 90% of total sector assets. The Bank remains the largest domestically owned bank, ranking fifth overall with a market share of 9.4%.

Total sector assets continued to expand, increasing by 8.3% in 2025, despite partial liquidity outflows from households' deposits into treasury bills and bonds. The asset structure remains primarily concentrated in loans and advances and deposits with the Croatian National Bank, while lending activity in 2025 stabilised at lower levels, reflecting tighter financing conditions and the impact of macroprudential measures.

Asset quality continued to improve, supported by favourable macroeconomic conditions. The system-wide NPL ratio declined further to 2.28%. Within the household segment, the NPL ratio decreased to 3.3% (from 3.7%), while in the non-financial corporate sector it fell to 3.7% (from 4.5%). These improvements reflect sustained real GDP growth and continued labour market resilience, which have supported borrowers' repayment capacity. At the same time, bank profitability remained elevated, underpinned by higher net interest margins, although a gradual narrowing is expected in 2026 in line with declining reference interest rates. The sector continues to be

characterised by high capitalisation levels, while liquidity indicators remain robust, supported by a substantial volume of funds held in transaction accounts with the central bank.

Regulatory requirements applicable to the Issuer

Capital requirements

The Bank manages capital in line with internal capital adequacy assessment ("ICAAP"). It establishes significant risks to which it is exposed or estimates that it may be exposed, calculates or estimates the required capital requirements for exposure to particular risks and establishes the total required (internal) capital for the current and subsequent period in accordance with the business plan. In accordance with capital requirements so expressed, capital planning is carried out whereby items of available capital are considered exclusively to items recognised for the purpose of calculating the regulatory capital.

The Bank's minimum total capital adequacy requirement prescribed by law is 8%. This is complemented by an obligation to maintain a capital conservation buffer of 2.5% (2024: 2.5%), a systemic risk buffer of 1.5% (2024: 1.5%) a systemic risk buffer for systemically important credit institutions in the Republic of Croatia in the amount of 1.0% (2024: 1.0%) and a countercyclical risk buffer in the amount of 1.5% (2024: 1.5%). During 2025 and 2024, the Bank continuously fulfilled all applicable regulatory capital requirements.

Capital Requirement	CET1 / T1 / Total Capital As at 31 December 2026	CET1 / T1 / Total Capital As at 31 December 2025	CET1 / T1 / Total Capital As at 31 March 2026
Minimum Requirement (Pillar 1)	4.50% / 6.00% / 8.00%	4.50% / 6.00% / 8.00%	4.50% / 6.00% / 8.00%
+ Specific Pillar 2 Requirement (P2R).....	1.38% / 1.85% / 2.46%	1.38% / 1.85% / 2.46%	1.33% / 1.77% / 2.36%
Total SREP Requirement (TSCR)	5.88% / 7.85% / 10.46%	5.88% / 7.85% / 10.46%	5.83% / 7.77% / 10.36%
Combined Buffer Requirement (CBR)	6.50% / 6.50% / 6.50%	6.50% / 6.50% / 6.50%	6.50% / 6.50% / 6.50%
— Capital Conservation Buffer (CCB)	2.50% / 2.50% / 2.50%	2.50% / 2.50% / 2.50%	2.50% / 2.50% / 2.50%
— Countercyclical Capital Buffer (CCyB)	1.50% / 1.50% / 1.50%	1.50% / 1.50% / 1.50%	1.50% / 1.50% / 1.50%
— Systemic Risk Buffer (SRB)	1.50% / 1.50% / 1.50%	1.50% / 1.50% / 1.50%	1.50% / 1.50% / 1.50%
— Other Systemically Important Inst. (O-SII).....	1.00% / 1.00% / 1.00%	1.00% / 1.00% / 1.00%	1.00% / 1.00% / 1.00%
Overall Capital Requirement (OCR)	12.38% / 14.35% / 16.96%	12.38% / 14.35% / 16.96%	12.33% / 14.27% / 16.86%
+ Pillar 2 Guidance (P2G).....	— / — / —	— / — / —	0.25% / 0.25% / 0.25%
TOTAL: OCR + P2G	12.38% / 14.35% / 16.96%	12.38% / 14.35% / 16.96%	12.58% / 14.52% / 17.11%

Liquidity requirements

Responsibility for liquidity risk management rests with the Bank's Management Board. The Bank's Asset and Liability Committee is authorised by the Management Board to manage liquidity risk. The Committee makes decisions and conclusions regarding liquidity management in its sessions.

The Bank prescribes and conducts stress tests of its liquidity. The Strategic Risk and Risk Control Division conducts stress tests taking into account Bank-specific factors (internal factors) and market factors (external factors). Stress resilience tests are conducted over the liquidity coverage ratio. The NSFR, which is an indicator of the Bank's structural liquidity, was 202% as at 31 December 2025 (2024: 254%) At the same time, the LCR was 208% as at 31 December 2025 (2024: 261%).

MREL requirements

MREL requirement	Indicative requirement As at 31 December 2023	Obligatory final requirements As at 31 December 2024	Obligatory final requirements As at 31 December 2025	Obligatory final requirements As at 31 March 2026
MREL (% TREA).....	22.08	23.81	24.17	24.17
Capital conservation buffer (CET1 relevant) (%)	2.50	2.50	2.50	2.50
Systemic risk buffer (%)	1.50	1.50	1.50	1.50

O-SII buffer (%).....	0.50	1.00	1.00	1.00
Countercyclical buffer (%).....	1.00	1.50	1.50	1.50
MREL + capital buffers (% TREA)	27.58	30.31	30.67	30.67
TREA (in EUR '000).....	2,241,081	2,422,132	2,813,398	2,829,677
Regulatory capital and MREL eligible instruments (in EUR '000).....	773,475	831,354	890,468	920,217
MREL rate actual (%).....	34.51	34.32	31.65	32.52
surplus.....	6.93	4.01	0.98	1.85

Legal Framework

The conditions governing the establishment and operation of the Bank as a credit institution in the Republic of Croatia are primarily regulated by the Credit Institutions Act and the Companies Act (OG Nos. 125/2011, 111/2012, 68/2013, 110/2015, 40/2019, 34/2022, 114/2022, 18/2023, 130/2023 and 136/2024) (the “**Companies Act**”). The Bank's operations are further governed by secondary legislation issued by, among others, the CNB, regulating the Bank's core activities and related operations, in particular the Decision on the Governance System (OG No. 30/26). The CNB also exercises general supervisory authority over credit institutions in Croatia, pursuant to Article 95 of the Credit Institutions Act.

The provision of investment and ancillary services and the performance of investment activities in Croatia are regulated by the Capital Market Act (OG Nos. 65/2018, 17/2020, 83/2021, 151/2022, 85/2024, 126/2025 and 45/26), the relevant secondary legislation issued also by the Croatian Financial Services Supervisory Agency (“**HANFA**”), and applicable European Union legislation governing capital markets, whether directly applicable or transposed into Croatian law. Payment services provided by the Bank are regulated by the Payment Services Act (OG Nos. 66/2018, 114/2022 and 136/2024), together with the related secondary legislation. In conducting insurance distribution activities, the Bank complies with the Insurance Act (OG No 30/2026) and the corresponding implementing regulations.

Given that the Republic of Croatia, directly or through entities under its control, is the majority shareholder of the Bank, the Bank is also subject to specific legislation applicable to companies majority-owned by the State, in particular the Act on Legal Entities Owned by the Republic of Croatia (OG No. 102/2025) and related regulations. As the Bank's shares are admitted to trading on the regulated market of the Zagreb Stock Exchange, the Bank qualifies as an issuer and is therefore subject to the Capital Market Act in the part governing issuers whose securities are admitted to trading on a regulated market, as well as to the relevant secondary legislation issued by HANFA and applicable EU legislation. Of particular relevance is Regulation (EU) No 596/2014 of the European Parliament and of the Council of 16 April 2014 on market abuse (Market Abuse Regulation), repealing Directive 2003/6/EC and Commission Directives 2003/124/EC, 2003/125/EC and 2004/72/EC.

In its operations, the Bank applies directly applicable European Union legislation adopted by the European Parliament and the Council. Of particular importance is Regulation (EU) No 575/2013 of the European Parliament and of the Council of 26 June 2013 on prudential requirements for credit institutions and investment firms and amending Regulation (EU) No 648/2012 (Capital Requirements Regulation – CRR), together with the related delegated and implementing regulations of the European Commission, which are directly applicable in Croatia. The Bank also complies with other relevant regulations governing the operations of legal entities in Croatia and cross-border activities of Croatian legal entities and credit institutions, including international agreements and foreign regulations relating it to anti-money laundering, restrictive measures (sanctions), and international payment transactions.

The Croatian Financial Services Supervisory Agency (HANFA) is the competent authority for the supervision of the Bank insofar as it provides investment and ancillary services and performs investment activities. The Croatian Deposit Insurance Agency oversees compliance with obligations arising from the Deposit Insurance Act (OG Nos. 146/2020 and 119/2022). The Croatian National Bank is responsible for implementing rules and determining procedures and instruments for the resolution of credit institutions in accordance with the Croatian Resolution Act.

The Personal Data Protection Agency supervises compliance with personal data protection regulations, in particular Regulation (EU) 2016/679 of the European Parliament and of the Council of 27 April 2016 (General Data Protection Regulation – GDPR) and the Act on the Implementation of the General Data Protection Regulation (OG No. 42/2018). As an obliged entity under the Anti-Money Laundering and Terrorist Financing Act (OG Nos. 108/2017, 39/2019 and 151/2022), the Bank implements measures, actions and procedures prescribed by law to prevent and detect money laundering and terrorist financing and to prevent the misuse of the financial system for such purposes. In addition, as an obliged entity subject to anti-money laundering and counter-terrorist financing (AML/CFT) requirements, the Bank applies the EBA Guidelines on ML/TF risk factors (EBA/GL/2021/02) and the EBA Guidelines on policies and procedures in relation to compliance management and the role and responsibilities of the AML/CFT compliance officer pursuant to Article 8 and Chapter VI of Directive (EU) 2015/849 (EBA/GL/2022/05), and implements them in its operations.

Furthermore, the Bank complies with the Act on Restrictive Measures (OG Nos. 133/2023 and 151/2025), which governs the implementation of restrictive measures (sanctions) adopted by the Republic of Croatia in accordance with legal acts and decisions of the European Union, the United Nations and other international organisations, including decisions of the Government of the Republic of Croatia, for the purpose of safeguarding democratic values, the rule of law, human rights, and international peace and security. In addition to the aforementioned Act, the Bank applies the EBA Guidelines on internal policies, procedures and controls to ensure the implementation of Union and national restrictive measures (EBA/GL/2024/14) and the EBA Guidelines on internal policies, procedures and controls to ensure the implementation of Union and national restrictive measures under Regulation (EU) 2023/1113 (EBA/GL/2024/15), and integrates them into its internal governance and control framework.

Shareholding of the Issuer

As at the date of this Offering Memorandum, the authorised share capital of the Issuer is EUR 162.0 million divided into 2,024,625 ordinary shares each in the nominal value of EUR 80.00 and paid in full.

The shareholding structure and relevant share capital information are set out below:

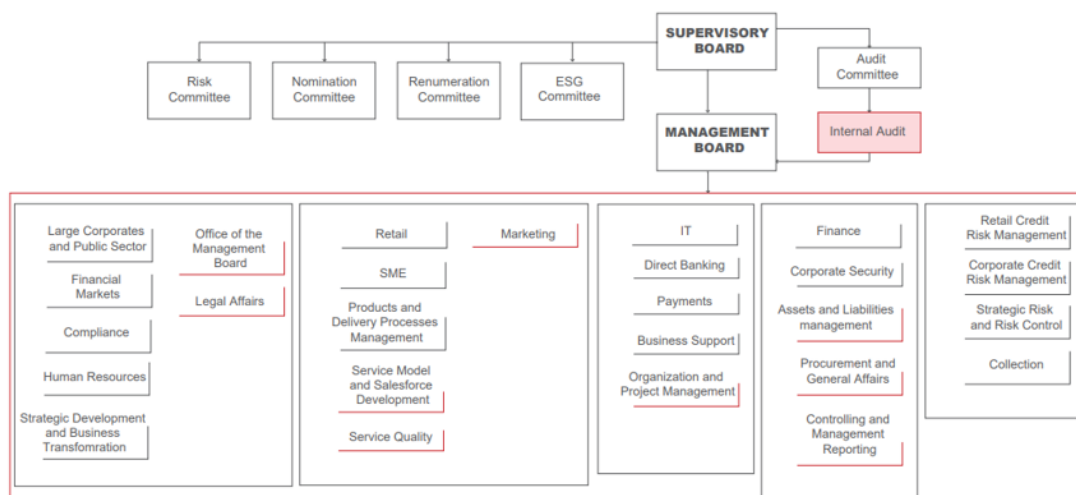
Shareholder	No. of shares	% of Equity
Republic of Croatia	1,086,346	53.66
Croatian Post INC	241,610	11.93
Croatian Deposit Insurance Agency	181,818	8.98
PBZ CO OMF - category B	121,522	6.00
Other shareholders (each under 5% of share of the equity capital)	393,329	19.43

Shareholders exercise their rights at the Bank's General Assembly, which resolves on matters prescribed by applicable legislation and the Bank's statute. The General Assembly is ordinarily convened by the Management Board and must also be convened at the request of the Supervisory Board or shareholders in accordance with the relevant provisions of the Companies Act. In accordance with the Bank's statute, each share confers one vote. Voting rights are not subject to limitations, nor are there restrictions on their exercise, except in the case of treasury shares, in respect of which the associated rights are suspended.

Internal Management Structure of the Issuer

The Issuer's management structure comprises of the Supervisory Board, the Management Board, the Audit Committee, the Risk Committee, the Nomination Committee, the ESG Committee and the Remuneration Committee. Below is the Issuer's organisational chart.

Macro-Level Organizational Structure of the Bank



Supervisory Board

There are no actual or potential conflicts of interest between the duties to the Issuer of any of the members of the Supervisory Board and their respective private interests or other duties.

The selection, requirements and appointment of candidates to the Supervisory Board and Management Board of the Bank are governed by the Credit Institutions Act (OG Nos. 22/2026) and relevant bylaws. As a legal entity of special interest to the Republic of Croatia, as determined by the Decision on Legal Entities of Special Interest to the Republic of Croatia (OG Nos. 147/2021 and 78/2023), the procedures for the selection and appointment of candidates to the Supervisory Board and Management Board of the Bank, as well as the requirements to be met by candidates for the positions of President and members of the Supervisory Board and the Management Board, are governed by the Act on Legal Entities Owned by the Republic of Croatia (OG No. 102/2025), Credit Institutions Act (OG No. 22/2026), Companies Act, Decision on the Assessment of the Suitability of the Chairperson of the Management Board, Members of the Management Board, Chairperson of the Supervisory Board, Members of the Supervisory Board, and Key Function Holders in a Credit Institution (OG No. 30/2026) and Regulation of the conditions for the election and appointment of members of supervisory boards and management boards of legal entities of special interest to the Republic of Croatia (OG No. 12/2019).

Members of the Supervisory Board

Name	Position within the Issuer	Date of Appointment	Date of Termination
Alen Stojanović	President of the Supervisory Board, Independent Member	14 August 2025 14 August 2025	14 August 2029 14 August 2029
Mislav Ante Omazić	Deputy President of the Supervisory Board, Independent Member	14 August 2025	14 August 2029
Dajana Barbić	Independent Member	14 August 2025	14 August 2029
Marijana Vuraić Kudeljan	Member	14 August 2025	14 August 2029
Marija Cvrlje	Member	14 August 2025	14 August 2029

Alen Stojanović – Professor Stojanović is President of the Supervisory Board and an independent member. Professor Stojanović holds a Master's degree and a PhD from the Faculty of Economics and Business, University of Zagreb, where he is currently appointed as a tenured Full Professor in the Department of Finance. He initiated the establishment of and currently heads the Institute for Financial Markets Research at the Faculty of Economics and Business, University of Zagreb.

Under the current mandate, effective as of 14 August 2025, he serves as Chair of both the Remuneration and Nomination Committees and is a member of the Audit and Risk Committees of the Supervisory Board of the Bank.

Mislav Ante Omazić – Professor Omazić is Deputy President of the Supervisory Board and an independent member. Professor Omazić earned his PhD in 2007 from the Faculty of Economics and Business, University of Zagreb. Since 2024, he has held the academic title of tenured Full Professor in the Department of Organization and Management at the same faculty.

He currently holds the position of President of the Management Board at IEDC - Bled School of Management. He also serves on the Executive Board of GNK Dinamo. He has been a member of the Supervisory Board of the Bank since 2021. In the current term, commencing on 14 August 2025, he serves as Deputy Chair of the Audit Committee, Chair of the ESG Committee, and a member of the Remuneration Committee of the Bank.

Dajana Barbić – Associate Professor Barbić is an independent member of the Supervisory Board. She obtained her PhD in 2014 from the Faculty of Economics and Business University of Zagreb, where she has been employed since 2008. Since 2021, she has held the title of Associate Professor in the Department of Finance.

Her previous and current board experience includes service on the Supervisory Board of Croatian Radiotelevision (HRT), as well as prior appointments to the Supervisory Board of Nova hrvatska banka P.l.c. and as Chair of the Supervisory Board of the Croatian Pension Investment Company (HMID) d.o.o. She is an active member of the Scientific Society of Economists, contributes to the Operational Working Group on Financial Literacy at the Ministry of Finance, and took part in the Working Group responsible for drafting the Pension Insurance Act at the Ministry of Labour, Pension System, Family and Social Policy.

Under the current mandate, effective as of 14 August 2025, she serves as Chair of the Risk Committee, and as a member of the Nomination Committee and the ESG Committee of the Supervisory Board of the Bank.

Marijana Vuraić Kudeljan - Marijana Vuraić Kudeljan is a member of the Supervisory Board of the Bank. She graduated from the Faculty of Economics and Business, University of Zagreb, in 1996, and obtained a Master of Science degree from the Faculty of Law, University of Zagreb, in 2004. She served as Assistant Director in the Personal Identification Number Service, the Tax System Sector, and the Sector for Regulatory Affairs and Self-Assessment within the Tax Administration of the Ministry of Finance of the Republic of Croatia, prior to her appointment as Deputy Director of the Central Office of the Tax Administration in 2015.

She is a member of the Working Group for the implementation of tax reform and contributed actively to the High-Level Working Group on Taxation of the EU Council during Croatia's Presidency of the Council of the European Union. She is a member of Supervisory Board of the Croatian Chamber of Tax Advisors.

Appointed to the Supervisory Board of the Bank in 2017, Ms. Vuraić Kudeljan continues to serve in this capacity. As of 14 August 2025, within the current mandate, she is a member of the Audit Committee, the Nomination Committee, the Remuneration Committee, and the ESG Committee.

Marija Cvrnje - Marija Cvrnje is a member of the Supervisory Board of the Bank. She Graduated from the Faculty of Law, University of Split, in 1987. Since 2017, she has held the position of Assistant Director of the Administrative Support Division at the Central Registry of Insured Persons (REGOS) in Zagreb.

Previously, she served as a Member of the Management Board of Hrvatske autoceste - održavanje i naplata cestarine d.o.o. She was also a Management Board Member responsible for public procurement at Zagrebački holding d.o.o., Deputy Chairperson of the State Commission for the Supervision of Public Procurement Procedures, and Head of the Department for Oversight of Public Procurement within the Directorate for the Public Procurement System at the Ministry of Finance of the Republic of Croatia.

Under the current mandate, effective as of 14 August 2025, she serves as a member of the Risk Committee of the Supervisory Board of the Bank.

The Management Board

There are no actual or potential conflicts of interest between the duties to the Issuer of any of the members of the Management Board and their respective private interests or other duties.

Members of the Management Board

<u>Name</u>	<u>Position within the Issuer</u>	<u>Date of Appointment</u>	<u>Date of Termination</u>
Marko Badurina	President of the Management Board	13 September 2023	13 September 2027
Anto Mihaljević	Member of the Management Board	13 September 2023	13 September 2027
Ivan Soldo	Member of the Management Board	13 September 2023	13 September 2027
Tadija Vrdoljak	Member of the Management Board	13 September 2023	13 September 2027
Josip Majher	Member of the Management Board	11 October 2025	13 September 2027

Marko Badurina – Marko Badurina has been president of the Management Board since 2019, commencing a second term in 2023. Mr. Badurina continues to oversee corporate banking and public sector operations, financial markets, internal audit, compliance, the Office of the Management Board, strategic development and business transformation, human resources, and legal affairs. He is also responsible for representing the Bank in its engagements with shareholders, the Supervisory Board, regulatory authorities, and the public, and for the strategic leadership of the Bank, including presiding over sessions of the Management Board. Until the successful merger, he also served as Chairman of the Supervisory Board of Nova hrvatska banka.

Mr. Badurina graduated in Finance from the Faculty of Economics and Business, University of Zagreb in 2005, and completed a postgraduate specialisation in Finance and Banking in 2012. He earned an Executive Certificate in Management and Leadership from MIT Sloan Executive Education and completed the Global CEO Program, a collaborative initiative between IESE Business School and MIT Sloan. He began his career in the Treasury Department of Volksbank d.d., continued in the Financial Markets Division of Sberbank d.d., and later served as Advisor to the Management Board of Sberbank d.d.

Anto Mihaljević – Anto Mihaljević has been a member of the Management Board since 2019, commencing a second term in 2023. Mr. Mihaljević oversees a broad portfolio of strategic areas, including retail banking, small and medium-sized enterprise (SME) operations, product development and delivery processes, service quality, enhancement of the Bank's service delivery framework and sales capabilities, as well as marketing.

He graduated in 1999 from the Faculty of Economics and Business at the University of Zagreb, where he earned a degree in Economics. Before joining the Bank, Mr. Mihaljević cultivated more than 22 years of experience in the financial services industry, primarily within the UniCredit Group. His professional track record includes a series of senior leadership roles at Zagrebačka banka, in addition to key executive positions at UniCredit Leasing and Allianz Zagreb.

Ivan Soldo – Ivan Soldo has been a member of the Management Board since 2019, commencing a second term in 2023. Mr. Soldo leads the Bank's credit risk function for retail and corporate banking, with additional responsibility for strategic risk frameworks, risk control systems, and the coordination of collection strategies.

Mr. Soldo holds a Master's degree in Economics, having graduated from the Faculty of Economics and Business, University of Zagreb in 2005. Mr. Soldo began his career at KPMG Croatia in 2005. In 2011, he joined Raiffeisen Bank International in Vienna, where he served as Executive Director in charge of risk management for financial institutions and sovereign entities. He has been part of the Bank's executive leadership since 2019.

Tadija Vrdoljak - Tadija Vrdoljak has been a member of the Management Board since 2023. Mr. Vrdoljak holds executive responsibility for financial management, oversight of assets and liabilities, procurement and general administrative functions, corporate security, as well as controlling and strategic management reporting.

He earned his degree in Economics from the Faculty of Economics in Osijek in 1996. He went on to complete a postgraduate scientific program at the Faculty of Economics and Business in Zagreb in 2001 and was awarded a doctoral degree from the Faculty of Economics in Osijek in 2010. Over the span of his career, Mr. Vrdoljak has

held distinguished leadership roles within the banking sector. As a Member of the Management Board at both Slavenska banka and Hypo Alpe-Adria-Bank, he played a key role in steering institutional strategy, later extending his expertise to executive positions in retail and agribusiness domains. He rejoined the banking sector in 2018 as a Member of the Management Board of Croatia banka. In April 2022, he was appointed President of the Management Board of Nova hrvatska banka, leading the institution through to its successful integration into the Bank in July 2023.

Josip Majher – Josip Majher has been a member of the Management Board since 2023. He is responsible for business operations support, information technology, organisational and project management, payment systems, and direct channels.

He holds a degree in Economics from the Faculty of Economics and Business, University of Zagreb (2008), and completed postgraduate studies in Financial Institutions and Markets in 2012 at the same institution. In 2023, he graduated from the prestigious EMBA Global Americas & Europe program, jointly delivered by Columbia Business School in New York and London Business School, earning MBA degrees from both. Mr. Majher built a significant portion of his career at Croatia osiguranje, Croatia's largest insurance provider, where he served from 2009 to 2020. In this role, he led initiatives in sales strategy implementation, market expansion, and the development of integrated sales systems. Before joining the Bank, he served as Special Advisor at the Ministry of Labour, Pension System, Family and Social Policy. He was responsible for legislative improvements related to pension fund operations, business process optimization, and strategic project leadership. During this tenure, he also played a key role as the Ministry's coordinator for Croatia's accession to the Organisation for Economic Co-operation and Development (OECD), representing the country in several OECD committees.

Audit Committee

Members of the Audit Committee:

Name	Position within the Issuer	Date of Appointment	Date of Termination
Sanja Sever Mališ	President of the Audit Committee, Independent Member	14 August 2025	14 August 2029
	Deputy President of the Audit Committee, Independent Member	14 August 2025	14 August 2029
Mislav Ante Omazić	Independent Member	14 August 2025	14 August 2029
Alen Stojanović	Member	14 August 2025	14 August 2029
Ivana Radeljak Novaković	Member	14 August 2025	14 August 2029
Marijana Vuraić Kudeljan	Member	14 August 2025	14 August 2029

The Audit Committee performs the following significant functions:

- reports to the Supervisory Board on the outcome of the statutory audit as well as on the outcome of the review of the Issuer's sustainability reports, and explains how they contribute to the integrity of financial reporting and explains the Committee's role in these processes;
- monitors the process of financial and sustainability reporting, including the process of reporting in electronic format in accordance with the law regulating company accounting, and the process carried out to determine the information to be reported in line with the standards of reporting on sustainability, as regulated by the implementing acts of the European Commission and gives recommendations or proposals to ensure its integrity;
- monitors the effectiveness of the internal quality management and the risk management systems in connection with financial and sustainability reporting, including the process of reporting in the electronic format in accordance with the law regulating company accounting, and internal audit to monitor that the processes of financial and sustainability reporting in the Bank are carried out in line with all applicable standards;
- the statutory audit of the annual financial statements and annual consolidated financial statements, and verifies as well as performing the sustainability reports review;

- examines and monitors the independence of the auditing company that performs the statutory audit and verifies the sustainability reports, in particular the suitability of providing non-auditing services that are subject to its prior approval;
- is responsible for the process of selecting the auditing company and proposes the auditing company to be appointed;
- gives prior consent to the annual work plan of the internal audit and consent to the decision on the appointment and dismissal of the manager of the Internal Audit department and to the internal regulation on the activities of the internal audit;
- discusses internal audit reports and significant issues related to this area; and
- has other rights and obligations, prescribed by the laws regulating the individual activities and by internal regulations of the Bank.

Remuneration Committee

Members of the Remuneration Committee:

Name	Position within the Issuer	Date of Appointment	Date of Termination
Alen Stojanović	President of the Remuneration Committee, Independent Member	14 August 2025	14 August 2029
Mislav Ante Omazić	Independent Member	14 August 2025	14 August 2029
Marijana Vuraić Kudeljan	Member	14 August 2025	14 August 2029

The Remuneration Committee performs the following significant functions:

- to provide support to the Supervisory Board when adopting and regularly reviewing the fundamental principles of the Remuneration Policy;
- to provide support and advice to the Management of the Bank when drafting the Remuneration Policy;
- to draft proposals of the decisions related to the remuneration of the employees to be decided by the Supervisory Board/ Shareholders' General Meeting, including decisions which have implications for the exposure of the Bank to the risks and risk management;
- to propose to the Supervisory Board consultants to provide services concerning the Remuneration Policy and the implementation of the Policy;
- to provide support to the Bank's Supervisory Board when reviewing and checking the implementation of the Remuneration Policy and when assessing the compliance of the implementation of the Remuneration Policy with other remuneration principles as well as with other relevant regulations, standards, principles and codes (at least once a year);
- to formally apply, once a year, different scenarios, testing the effects of the future external and internal events on the Remuneration Policy and its implementation, as well as to carry out retroactive tests;
- to provide support and advice to the Management Board and the Supervisory Board in preparing the annual report on the remuneration of the members of the Management Board and the Supervisory Board, and to consider it and give prior approval before formally determining and submitting it to the General Assembly for its approval; and
- to perform other activities determined by regulation.

Risk Committee

Members of the Risk Committee:

Name	Position within the Issuer	Date of Appointment	Date of Termination
Dajana Barbić	President of the Risk Committee, Independent Member	14 August 2025	14 August 2029

Name	Position within the Issuer	Date of Appointment	Date of Termination
Alen Stojanović	Independent Member	14 August 2025	14 August 2029
Marija Cvrle	Member	14 August 2025	14 August 2029

The Risk Committee performs the following significant functions:

- to advise the Supervisory Board on the overall current and future risk appetite as well as strategy and assisting in overseeing the implementation of that strategy by senior management, without prejudice to the responsibility of the Management and Supervisory Board of the credit institution for the overall risk management and overseeing of the credit institution;
- to advise and give recommendations to the Supervisory Board regarding necessary adjustments of the risk management strategy following changes in Bank's business model, market trends or recommendations from risk control functions;
- to review whether prices of liabilities and assets offered to clients take fully into account the credit institution's business model and risk strategy, and where prices do not properly reflect risks in accordance with the business model and risk strategy, to present a remedy plan to the management of the credit institution;
- to cooperate with the other Supervisory Board Committees whose activities could have impact on risk strategy, especially with Audit Committee and Remuneration Committee, as well as relevant Bank's control functions;
- without prejudice to the tasks of the Remuneration Committee, in order to establish sound remuneration policies, to examine whether incentives provided by the remuneration system take into consideration risk, capital, liquidity and the likelihood and timing of earnings; and
- to perform other activities determined by regulations.

Nomination Committee

Members of the Nomination Committee:

Name	Position within the Issuer	Date of Appointment	Date of Termination
Alen Stojanović	President of the Nomination Committee, Independent Member	14 August 2025	14 August 2029
Dajana Barbić	Independent Member	14 August 2025	14 August 2029
Marijana Vuraić Kudeljan	Member	14 August 2025	14 August 2029

The Nomination Committee performs the following significant functions:

- to recommend the members of the Management and the members of the Supervisory Board
- regularly, and at least annually, to assess the structure, size, composition and activities of Management Board and Supervisory Board and, if necessary, to propose changes;
- to prepare a description of the roles and capabilities for individual members of the Management or Supervisory Board in order to exercise their duties, and assess the time commitment expected;
- regularly, and at least annually, to assess the structure, size, composition and performance of the Management and Supervisory Board and if necessary, to propose changes;
- regularly, and at least annually, to assess the knowledge, skills and experience of individual members of the Management and Supervisory Board and of the Management and Supervisory Board collectively, and report these bodies on the assessment;
- to review regularly the policy for selection of members of the Management and Supervisory Board and appointment of senior management and to make recommendations to the Management and Supervisory Board, and if deemed required, to give proposal for their change;

- to decide on a target for the representation of the underrepresented gender in the Management and Supervisory Board and to propose the strategy on how to increase the number of the underrepresented gender;
- on an ongoing basis and to the extent possible, to ensure that the Management and Supervisory Board's decision making is not dominated by any one individual or small group of individuals in a manner that is detrimental to the interests of the credit institution as a whole; and
- to perform other activities determined by regulations.

ESG Committee

Members of the ESG Committee:

Name	Position within the Issuer	Date of Appointment	Date of Termination
Mislav Ante Omazić	President of the ESG Committee, Independent Member	14 August 2025	14 August 2029
Dajana Barbić	Independent Member	14 August 2025	14 August 2029
Marijana Vuraić Kudeljan	Member	14 August 2025	14 August 2029

The environmental, social and governance ('ESG') Committee performs the following significant functions:

- Oversight of the implementation and any potential modifications of methodologies in managing environmental, social, and governance factors
- Oversight of the implementation of the policy on managing environmental, social, and governance factors
- Regular review of the fundamental principles of the policy on managing environmental, social, and governance factors
- Oversight of the appropriate implementation of policies and practices related to the integration of ESG risks into business processes, in line with the overall corporate governance framework
- Oversight of the establishment and achievement of non-financial strategic sustainability objectives
- Oversight of monitoring the impact of environmental and climate risks on the Bank's risk profile
- Regular review of the fundamental principles of sustainability concerning social factors through relationships with employees, investors, and the community and
- Oversight of the implementation and processes related to governance factors, particularly those concerning anti-corruption policies, conflict of interest prevention, diversity policies in governing bodies, and gender equality.

Information Security and Cyber-security

The Bank implements information and cyber security policies designed to manage risks relating to the confidentiality, integrity and availability of data and to the overall security of the information system. These policies comprise a set of internal acts addressing information security, aligned with applicable legislation, regulatory requirements, recommendations issued by competent national authorities and relevant international standards. They are implemented through a combination of organisational, technical and process measures. The overarching objectives are to safeguard the personal data of consumers and end-users, prevent security incidents, and manage the material impacts, risks and opportunities identified in the area of information security, supported by regular monitoring through internal control mechanisms and key performance indicators.

The organisational unit responsible for information security, oversight of cyber threats and fraud prevention is the Corporate Security Division. Overall accountability for policy implementation rests with the Management Board, which approves the policies and oversees their application, while the Corporate Security Division and other competent organisational units ensure operational implementation.

The policies set out principles for security incident management, detection and response procedures, access control rules, security requirements for systems and infrastructure, and employee obligations in safeguarding data and digital channels. They are aligned with relevant international standards and third-party initiatives (including recommendations from competent national authorities and EU regulatory guidance), which the Bank applies within its information security governance framework. By the end of 2024, the Bank had finished activities for aligning with DORA requirements.

Credit Ratings

The Issuer obtained new issuer ratings from Moody's Investors Service* on 5 February 2026.

Type	Rating
Long Term Counterparty Risk Rating.....	Baa1
Long Term Deposit Rating.....	Baa2
Issuer Rating	Baa3

* Moody's Investors Service Cyprus Limited, Porto Bello Building, 1, Siafi Street, 3042 Limassol.

A rating is not a recommendation to buy, sell or hold securities and may be subject to suspension, change or withdrawal at any time by the assigning rating agency.

Risk Management

The Bank manages risks through a comprehensive risk management system comprising policies, procedures and methodologies established for the purpose of identifying, measuring, assessing, monitoring, controlling and managing risks to which the Bank is or may be exposed. The objective of the risk management system is to ensure that risks are effectively mitigated and that their potential adverse impact is minimised, thereby safeguarding the stability and soundness of the Bank's operations, including the timely fulfilment of all contractual and regulatory obligations. The risk management system is subject to regular review and enhancement, encompassing both qualitative and quantitative components. It has been established in accordance with the following key principles governing risk assumption and management:

- defining acceptable levels of risk exposure through the establishment of internal risk limits, ensuring full alignment with regulatory constraints and prudential requirements,
- continuous improvement of policies and procedures for the identification, measurement, assessment, control and monitoring of risks arising from the Bank's activities,
- ongoing development of methodologies and tools for measuring and monitoring risk exposure, in line with the evolution of the risk control function, enhancement of information systems and changes in products and business activities.

By the nature of its business, the Bank assumes various risks in entering into business relationships with clients. In assuming and managing risks, the Bank pursues the following objectives:

- ensuring stable and secure growth through the application of an effective and comprehensive risk management framework,
- improving the overall risk profile of the Bank,
- ensuring the consistent application of an integrated risk management system based on harmonised policies and procedures across the Bank.

Credit Risk

Credit risk represents the risk of loss arising from a counterparty's failure to meet its contractual monetary obligations towards a credit institution. Credit risk is inherent to the Bank's core business activities and constitutes the most significant risk to which the Bank is exposed. Accordingly, particular attention is devoted to credit risk management through comprehensive policies, procedures and internal regulations governing all stages of the

credit process. The objective of credit risk management is to ensure a high-quality credit portfolio, sustainable earnings and growth in lending activities, while maximising risk-adjusted returns and maintaining an appropriate balance between risk and return, taking into account the cost of funding.

Credit risk management within the Bank is organisationally structured through:

- The Management Board,
- Authorised decision-making bodies (Credit Committee) and designated decision-makers,
- Operational and organisational segregation between front-office (transaction origination) and back-office functions within the credit process,
- Corporate Credit Risk Management Division,
- Retail Credit Risk Management Division,
- Strategic Risk and Risk Control Division.

The Bank's risk appetite for credit risk is defined through established exposure limits, aligned with internal policies and regulatory requirements. For the purpose of monitoring and managing credit risk, the Bank continuously tracks a range of risk parameters, including the borrower's creditworthiness and repayment capacity, the timeliness of servicing obligations towards the Bank, the quality and enforceability of collateral and other credit risk mitigation instruments, the adequacy of regulatory and internal capital, and overall portfolio quality indicators.

Credit risk is closely interrelated with concentration risk and interest rate-induced credit risk. The Bank considers these risks in an integrated manner and manages them as part of the broader credit risk framework.

The Bank's NPL ratio was 3.2% as of the end of 2025. The Bank's coverage of problem loans by Stage 3 provisions was 74.0% as of 31 December 2025 and above the market average. The Bank's share of Stage 2 loans (with a significant increase in credit risk) was 12.1%. The Bank reported expected credit losses and impairment of non-financial assets of EUR 3.6 million for the year ended 31 December 2025, compared to a provision of EUR 14.4 million for the year ended 31 December 2024.

Liquidity Risk

Liquidity risk represents the risk of loss arising from an existing or expected inability of the Bank to meet its financial obligations as they fall due. Liquidity risk is closely associated with the following two risks, which the Bank manages as a single category for risk management purposes:

- Funding liquidity risk, being the risk that the Bank may not be able to meet its current and future cash flow and collateral requirements without adversely affecting its daily operations or financial results,
- Market liquidity risk, being the risk that the Bank may be unable to close or offset positions at or near prevailing market prices due to insufficient market depth, disruptions or reduced market activity.

Liquidity risk management within the Bank is organisationally structured through:

- The Management Board,
- Assets and Liabilities Office,
- Asset and Liability Management Committee (ALCO), including a dedicated Liquidity Subcommittee,
- Strategic Risk Management and Risk Control Division,
- Financial Markets Division.

The Bank measures and assesses exposure to liquidity risk through, *inter alia*: Calculation and ongoing monitoring of the Liquidity Coverage Ratio (LCR), assessment of structural liquidity through indicators such as the Net Stable Funding Ratio (NSFR) and Additional Liquidity Monitoring Metrics (ALMM).

The Bank's risk appetite for liquidity risk is defined through established liquidity risk exposure limits. In order to ensure effective liquidity risk management, appropriate internal thresholds are set for the Liquidity Coverage Ratio and for structural liquidity indicators, in alignment with regulatory requirements and the Bank's internal risk tolerance framework.

The net stable sources of financing ratio (NSFR), which is an indicator of the Bank's structural liquidity, as at 31 December 2025 was 202% (2024: 254%) At the same time, the liquidity coverage ratio (LCR) was 208% (2024: 261%).

Market Risk

- Market risk comprises position risk, foreign exchange risk and commodity risk.
- Position risk represents the risk of loss arising from changes in the price of a financial instrument or, in the case of derivative instruments, from changes in the price of the underlying variable,
- Foreign exchange risk represents the risk of loss arising from changes in foreign exchange rates and/or changes in the price of gold,
- Commodity risk represents the risk of loss arising from changes in commodity prices.

Market risk management within the Bank is organisationally structured through:

- The Management Board,
- Operational and organisational segregation between front-office (transaction origination and trading) and back-office treasury functions,
- The Asset and Liability Management Committee (ALCO),
- Strategic Risk and Risk Control Division.

The Bank's risk appetite for market risk is defined through established market risk exposure limits. In order to control market risk, appropriate limits are set at the portfolio, sub-portfolio and individual instrument level, depending on the nature of the financial instrument and the relevant market risk exposure measure. In addition, warning-level limits are established for individual equity securities classified as trading book assets. The measurement and assessment of exposure to market risk are based on methodologies including Value at Risk (VaR), basis point value (BPV) as a measure of interest rate sensitivity, and nominal exposure limits depending on the characteristics of the instrument concerned.

Interest Rate Risk

Interest rate risk in the banking book represents the risk of loss arising from potential changes in interest rates that affect positions recorded in the banking book (non-trading book).

- Interest rate risk in the banking book at the Bank is organisationally structured through:
- The Management Board,
- The Asset and Liability Management Committee (ALCO),
- Strategic Risk Management and Risk Control Division,
- Assets and Liabilities Office.

The Bank's risk appetite for interest rate risk in the banking book is defined through established exposure limits. In order to manage this risk effectively, appropriate limits are set on the ratio of the change in the economic value of the banking book to regulatory capital, and the ratio of the change in net interest income to regulatory capital.

In addition, the risk is measured by calculating the change in the net present value of the portfolio in the event of a one basis point shift in the reference interest rate curve, as a measure of sensitivity. Exposure is controlled through a basis point value limit. Furthermore, the Bank monitors the VaR of positions sensitive to interest rate movements.

Operational Risk

Operational risk represents the risk of loss resulting from inadequate or failed internal processes, people and systems, or from external events, including legal risk. Operational risk management within the Bank is organisationally structured through:

- The Management Board,
- Operational risk management structure (Operational Risk Manager, Operational Risk Support Officers and Liaison Officers),
- Operational Risk Management Committee,
- Corporate Security Division,
- Compliance Division,
- Strategic Risk and Risk Control Division.

The methodology for measuring and assessing exposure to operational risk is based on the collection and analysis of data on operational risk events, risk and control self-assessments, information system risk assessments, the results of business impact analyses taking into account the implemented business continuity plan, and the assessment of risks associated with outsourcing arrangements.

In order to manage operational risk effectively, the Bank primarily applies risk mitigation measures through its system of internal controls, as well as risk transfer mechanisms (insurance) where appropriate. In addition, a comprehensive business continuity management system has been established.

Capital Adequacy Management

The Bank's capital levels are significantly above regulatory minima. The Bank reported Common Equity Tier 1 (CET1) and total capital ratios of 19.45% as of 31 December 2025. These were substantially above the respective regulatory requirements of 12.38% and 16.96% that include the 2.50% capital conservation buffer, a 1.50% systemic risk buffer and a 1.50% countercyclical capital buffer that apply to all Croatian banks, as well as the Bank's 1.00% other systemically important bank buffer and an overall 2.46% Pillar 2 capital requirement. The countercyclical buffer will increase to 2.00% in January 2027.

Legal Proceedings

The Bank is involved in a significant number of legal proceedings, for which provisions have been established in the financial statements.

Most of the active lawsuits against the Bank and the Group pertain to CHF loans disputes arising from the "Petrošač" case, which were assumed by the Bank following its merger of Sberbank d.d. The association 'Petrošač' sued a total of eight Croatian banks (including the Bank's legal predecessor) in 2012, claiming that consumers who took out loans linked to CHF in the period from 2004 to 2008 were not adequately informed by the banks of all risks associated with such loans, and that the variable interest rates applied in those agreements were unlawful. The claim sought to have both the CHF-indexation of the loan principal and the unilateral

adjustment of variable interest rates declared null and void. After lengthy proceedings involving both the Constitutional and Supreme Courts, the High Commercial Court of the Republic of Croatia delivered rulings in the collective consumer protection proceedings, while the Constitutional Court of the Republic of Croatia in February 2021 essentially confirmed the findings concerning the nullity of the CHF currency clause and variable interest rate provisions. The ruling in the collective proceedings was declaratory rather than condemnatory in nature, meaning that individual consumers were required to institute separate proceedings in respect of their monetary claims. As a result of these unfavourable rulings, the number of new client-consumer lawsuits against the Bank related to CHF loans has increased year after year. In individual disputes concerning non-converted CHF loans, the courts' positions and judicial practice have clearly developed in favour of the plaintiffs. During 2023, compared to previous years, the number of lawsuits against the Bank related to CHF loans, as well as the number of final judgments against the Bank, further increased. The increased litigation resulted in higher amounts of provisions for legal cases. The Bank has specifically created portfolio provisions for potential disputes related to non-converted CHF loans.

Regarding converted loans, pursuant to amendments to the Consumer Credit Act and the Credit Institutions Act adopted in 2015, CHF-linked loans were converted into EUR-linked or HRK loans under the statutory conversion framework. The Supreme Court issued a decision in the so-called 'model' proceedings initiated due to questions about the validity of agreements for CHF loan conversion. The Supreme Court declared the conversion of loans in CHF valid and considered that conversion agreements (including all their addenda) have valid legal effect regardless of the nullity of provisions on interest rates or currency clauses in the original CHF loan agreements. This Supreme Court ruling was initially expected to reduce pressure and significantly ease the Bank's position in ongoing individual lawsuits concerning converted loans. In 2022, the Court of Justice of the European Union also delivered a decision, determining that the disputed conversion cases were not subject to the application of Directive 93/13 in the circumstances of that case, in particular having regard to the fact that the original loan agreement had been concluded before Croatia's accession to the European Union. The Court of Justice of the European Union left it to the national courts to assess whether a contractual balance was indeed established, taking into account all legal and factual circumstances preceding the conversion. In 2026, the Supreme Court issued a further decision in proceedings concerning converted CHF-linked loans, clarifying the legal position in respect of certain consumer claims following statutory conversion. The decision indicates that, while consumers who converted CHF-linked loans are not entitled to repayment of principal amounts allegedly overpaid under null provisions of the original loan agreements, they may still pursue claims for statutory default interest. Accordingly, although the latest Supreme Court decision may reduce the Issuer's exposure in respect of principal repayment claims relating to converted CHF-linked loans, individual proceedings may continue, in particular in relation to statutory default interest and related costs. The Bank has established provisions for converted CHF loans.

Furthermore, in 2024 and 2025 there has been an increase in the number of lawsuits filed against the Bank related to the nullity of upfront and exit fees, as well as in the number of final judgments rendered against the Bank. With respect to the nullity of upfront and exit fees, the Supreme Court of the Republic of Croatia, in its decisions issued in 2022 and 2024, took a position regarding the rights of plaintiffs as consumers where the claim relates to upfront and exit fees. For the Bank to succeed in such proceedings, the Bank must demonstrate the objectively incurred, fair costs it directly sustained when concluding the loan agreement or due to early loan repayment. Additionally, the Bank must provide precise evidence regarding the amount of these costs. The Bank is also required to consider its transparency obligations as stipulated by the Consumer Protection Act. Otherwise, the provisions in question would be deemed null and void. In view of these developments, the Bank has increased provisions for cases in which the claim pertains to the nullity of upfront and exit fees.

The Bank's total provisions relating to CHF mortgage claims were EUR 16.7 million as at 31 March 2026.

The Bank's total provisions relating to upfront and exit fees were EUR 2.0 million as at 31 March 2026.

In addition to the foregoing, set out below is a description of the most relevant legal proceedings in which the Bank is involved as at the date of this Offering Memorandum, with value per proceeding of EUR 8 million or more):

- The plaintiffs have brought damages proceedings against the Issuer, alleging that certain actions and omissions by the Issuer between 2009 and 2013 prevented them from conducting their business and from developing a planned water-park and hotel complex. The claim is primarily based on allegations that the Issuer failed to approve the transfer of certain credit obligations, unlawfully initiated enforcement proceedings, failed to act under alleged settlement arrangements and wrongfully disposed of certain collateral. The Issuer has disputed the claim in full, including on the grounds that the relevant requirements for damages liability have not been met, that the alleged earlier settlement arrangements were not validly concluded, and that the Issuer acted on the basis of valid contractual and enforcement documentation. The total claimed amount in dispute is EUR 201.0 million, comprising principal in the amount of EUR 87.4 million, costs in the amount of EUR 0.3 million and accrued default interest on the principal in the amount of EUR 113.3 million.

The claim was dismissed in full by the first-instance court, which also ordered the plaintiffs to reimburse the Issuer's litigation costs. The second-instance court dismissed the plaintiffs' appeal and upheld the first-instance judgment on the merits, while partially modifying the costs award. Following a revision request by the plaintiffs, the Supreme Court set aside the second-instance judgment and remitted the case to the second-instance court for reconsideration. In the repeated proceedings, the second-instance court issued a new judgment in favour of the Issuer, dismissing the plaintiffs' appeals and again upholding the judgment of the first-instance court previously rendered in favour of the Issuer. The plaintiffs filed a proposal for leave to file a revision against that judgment, to which the Issuer submitted a response disputing the merits of such proposal. As of the date of this Offering Memorandum, the Supreme Court had not yet decided on the plaintiffs' proposal for leave to file a revision.

The Issuer considers the claim to be unfounded and views the proceedings as vexatious litigation and has notified its regulator accordingly. In light of the foregoing, the Issuer has not, at this stage, recognised any provisions in respect of these proceedings, meaning that provisions for this dispute amount to EUR 0.00 as of 31 March 2026. Based on the available assessment, the Issuer's position is that the evidence in the proceedings does not support the plaintiffs' allegations that any earlier settlement arrangements or agreements were validly concluded or that the Issuer breached any obligations giving rise to damages liability. The Issuer's external counsel has indicated that the likely outcome should remain favourable to the Issuer, although there remains a procedural possibility that the second-instance court could remit the case to the first-instance court for further consideration or additional reasoning.

- The plaintiffs have brought damages proceedings against the Issuer, alleging that the Issuer, as a secured creditor over certain real estate, unlawfully waived its right to separate settlement in pre-bankruptcy settlement proceedings concerning one of the plaintiffs, allegedly with the purpose of preventing the adoption of a financial and operational restructuring plan. The plaintiffs also allege that the Issuer unlawfully continued enforcement proceedings over the relevant real estate during the pre-bankruptcy settlement proceedings. The Issuer has disputed the claim in full and maintains that its actions, including its voting in the pre-bankruptcy settlement proceedings and its decision to waive separate settlement, were lawful and legitimate exercises of its creditor rights. The total amount in dispute is EUR 33.9 million comprising principal in the amount of EUR 20.5 million, costs in the amount of EUR 0.1 million and accrued default interest on the principal in the amount of EUR 13.3 million.

The Issuer has filed its statement of defence, disputing the claim in full. There appears to have been limited or no substantive progress on the merits of the dispute to date. The plaintiffs sought to have the case transferred to another competent court on the basis of alleged concerns regarding impartiality, but that request was rejected by the competent higher court. The plaintiffs subsequently filed a request for leave to file a revision against that decision, alleging violations of constitutional procedural rights. The Issuer filed its response to that request, disputing its procedural admissibility and merits. In the further course of the proceedings, the Issuer filed a submission requesting the court to proceed with the case and emphasising that the legality of the suspension of the pre-bankruptcy settlement proceedings and the Issuer's right to waive separate settlement had already been finally determined in prior administrative court proceedings. In response to the plaintiffs' submission, the Issuer filed a further submission contesting the plaintiffs' allegations and again proposed that the court dismiss the claim. Since then, a main hearing has been held, at which the person authorised to represent the plaintiffs was heard, and a

further hearing has been scheduled for the examination of additional witnesses. Several further submissions have also been filed in the proceedings, largely reiterating arguments already raised earlier in the case. Accordingly, the proceedings remain ongoing.

The Issuer considers the claim to be unfounded and views the proceedings as vexatious litigation and has notified its regulator accordingly. In light of the foregoing, the Issuer has not, at this stage, established any provisions in respect of these proceedings, meaning that provisions for this dispute amount to EUR 0.00 as of 31 March 2026. In particular, the Issuer's position is that the claim seeks to challenge the Issuer's lawful exercise of creditor rights in circumstances where the Issuer had significant outstanding claims against one of the plaintiffs. The Issuer further relies on prior final administrative court decisions which confirmed that the Issuer had a statutory right to waive separate settlement, that the reasons for the Issuer's business decision were not subject to administrative or judicial review in that context, and that the restructuring plan was lawfully rejected on the basis of creditor votes.

- The plaintiff has brought damages proceedings against the Issuer, alleging that the Issuer, as a secured creditor over certain real estate, unlawfully waived its right to separate settlement in pre-bankruptcy settlement proceedings concerning a related company, allegedly with the purpose of preventing the adoption of a financial and operational restructuring plan. The plaintiff further alleges that the Issuer unlawfully continued enforcement proceedings over the relevant real estate during those pre-bankruptcy settlement proceedings and that the Issuer's conduct caused damage to the plaintiff in connection with two loan facilities granted to the plaintiff and the enforcement of collateral securing those facilities. The Issuer has disputed the claim in full and maintains that its conduct, including its actions as creditor and secured creditor, was lawful and constituted a legitimate exercise of its creditor rights. The stated total amount in dispute is EUR 31.0 million comprising principal in the amount of EUR 21.9 million, costs in the amount of EUR 0.1 million and accrued default interest on the principal in the amount of EUR 9.1 million.

The Issuer filed its statement of defence, disputing the claim in full. Following the plaintiff's failure to attend a preparatory hearing, the court issued a decision deeming the claim withdrawn and awarded costs to the Issuer. The plaintiff filed an appeal and a request for restitution to the previous procedural position. By decision of the competent court, the plaintiff's request for restitution to the previous procedural position was allowed. The plaintiff filed an appeal and a request for restitution to the previous procedural position. The competent court allowed the plaintiff's request for restitution to the previous procedural position. The Issuer appealed against that decision and the plaintiff filed a response to that appeal, in which it also requested the recusal of the judge assigned to the case. The court dismissed the plaintiff's request for recusal. However, no decision has yet been issued on the Issuer's appeal against the court's decision allowing the plaintiff's request for restitution to the previous procedural position. Thus, the proceedings remain ongoing.

The Issuer considers the claim to be unfounded and views the proceedings as vexatious litigation and has notified its regulator accordingly. In light of the foregoing, the Issuer has not, at this stage, recognised any provisions in respect of these proceedings, meaning that provisions for this dispute amount to EUR 0.00 as of 31 March 2026. In particular, the Issuer's position is that the claim seeks to challenge the Issuer's lawful exercise of creditor rights and to improve the plaintiff's position in related proceedings concerning the same underlying credit exposures. The Issuer also notes that the claim appears to overlap substantially with claims brought by related corporate plaintiffs in separate proceedings against the Issuer. Based on the Issuer's assessment, the likelihood of an outflow is considered remote.

- The plaintiff has brought damages proceedings against the Issuer, alleging that the Issuer's legal predecessor failed, without proper grounds, to disburse funds under a loan agreement, as subsequently amended, and that such alleged failure caused damage to the plaintiff. The matter was assumed by the Issuer following a merger with another credit institution. The Issuer disputes the claim. The stated total amount in dispute is EUR 26.5 million, comprising principal in the amount of EUR 14.3 million and accrued default interest on the principal in the amount of EUR 12.2 million.

The proceedings have been stayed due to the deletion of the plaintiff from the court register. The proceedings had previously been stayed and resumed on several occasions as a result of status-related changes affecting the parties. In December 2023, the court again stayed the proceedings until they are taken over by the plaintiff's legal successor. The Issuer is considering further procedural steps, including a possible motion to discontinue the proceedings. Given that the proceedings are currently stayed and no legal successor of the plaintiff has yet taken over the proceedings, the dispute is not progressing on the

merits at this stage. The proceedings thus remain ongoing, and the Issuer is assessing the available procedural options.

The Issuer considers the claim to be unfounded and assesses the plaintiffs' prospects of success in the dispute as low. The Issuer's position is that it has not breached any contractual provisions, as the borrower was not permitted to draw down the loan funds due to its failure to satisfy the agreed contractual conditions. By way of precaution, the Issuer has provisioned a certain amount in relation to this dispute, proportionate to the assessed risk. Accordingly, the Issuer recognised provisions in respect of these proceedings in the amount of EUR 0.3 million as of 31 March 2026.

TAXATION

The following is a general description of the Issuer's understanding of certain Croatian tax considerations relating to the Notes. It is not exhaustive and does not purport to be a complete analysis of all tax considerations relating to the Notes, whether in that country or elsewhere. Prospective purchasers of the Notes should consult their own tax advisers as to which countries' tax laws could be relevant to acquiring, holding and disposing of the Notes and receiving payments of interest, principal and/or other amounts under the Notes and the consequences of such actions under the tax laws of those countries. This overview is based on the law as in effect on the date of this Offering Memorandum and is subject to any change in law that may take effect after such date, even with retroactive effect.

REPUBLIC OF CROATIA

Corporations, Legal Entities and Individuals Engaged in Economic Activities

Companies, legal entities and individuals independently and permanently engaged in economic activities for the purpose of generating profit, having their place of effective management and/or their registered legal seat in Croatia, are subject to profit tax pursuant to the Croatian Profit Tax Act (OG No. 177/2004, as amended from time to time; "**Profit Tax Act**") (unlimited corporate income tax liability). Companies, legal entities and individuals having neither their place of effective management nor their registered legal seat in Croatia are subject to corporate income tax only on income from certain Croatian sources (limited corporate income tax liability).

Generally, the profit tax base is the difference between revenues and expenditures assessed pursuant to accounting rules, which is then increased and reduced for tax-specific items under the profit tax provisions. The tax base for residents is based on their worldwide income, while for non-residents is based only on income from Croatian sources.

Profit tax is taxable at the rate of (i) 10% applicable to companies, legal entities and individuals subject to profit tax with annual revenues up to EUR 1,000,000, and (ii) 18% applicable to companies, legal entities and individuals subject to profit tax with annual revenues above EUR 1,000,000. Accordingly, if a Croatian company, other legal and natural persons or business unit of a non-resident subject to paying profit tax is a holder of Notes, income on this basis would not be taxed directly, but such persons, should their overall operations generate profit, would be required to pay a profit tax of 10% or 18%, as applicable.

Multinational enterprise groups and large-scale domestic groups are subject to the minimum global profit tax pursuant to the Croatian Minimum Global Profit Tax Act (OG No. 155/2023, as amended from time to time). The minimum global profit tax regime prescribes a global minimum level of taxation of 15% for multinational enterprise groups and large-scale domestic groups with total consolidated revenues exceeding EUR 750,000,000 generated in any two of the previous four years.

The general rules outlined above apply to the extent there are no limitations imposed under applicable double taxation treaties.

Withholding tax

Profit generated in Croatia by a non-resident is subject to withholding tax pursuant to the Profit Tax Act. Interest, dividends, profit shares, copyrights and other intellectual property rights payable to a non-resident natural person are all generally subject to withholding tax. Withholding tax payment is the obligation of the person who distributes the profit.

The tax base is calculated as the gross amount of profit distributed from a Croatian resident to a non-resident. The withholding tax rate is 15%, except for dividends and profit shares for which the withholding tax is paid at a rate of 10%. As an exception, withholding tax is paid at a rate of 25% for all payments in case payments are made to legal entities having their seat or place of effective management in a country which is listed on the EU list of non-cooperative jurisdictions for tax purposes and with which Croatia does not have a double taxation treaty.

Interest payments on commodity loans for the purchase of goods used for carrying out a taxpayer's business activity, loans granted by a non-resident bank or other financial institution, and holders of government or corporate

bonds (such as the Notes) who are non-resident legal persons are exempted from withholding tax payment.

The withholding tax rates may also be lower if Croatia and the non-resident's country have entered into a double taxation treaty or exempt if the Notes qualify for exemption pursuant to the terms prescribed under the relevant EU directive applicable to interest and royalty payments made between associated companies of different member states.

Natural Persons

Pursuant to the Croatian Income Tax Act (OG No. 115/2016, as amended from time to time; "**Income Tax Act**"), individuals having a permanent domicile and/or their habitual abode in Croatia are subject to income tax in Croatia on their worldwide income (unlimited income tax liability). Individuals having neither a permanent domicile nor their habitual abode in Croatia (non-residents) are subject to income tax only on income from certain Croatian sources (limited income tax liability).

Capital income in Croatia generally includes receipts from interest, exclusions of property and usage of services at the expense of profit of the current period, capital gains and profit shares acquired by grants or optional purchases of own shares, as well as receipts from dividends and profit shares based on shares of capital that are realized in the tax period.

The general tax rules outlined above and below in relation to taxation of income apply to the extent there are no limitations imposed under applicable double taxation treaties.

Capital income – Interest

Receipts from any type of claims are considered as interest, and especially (i) receipts from interest on savings in Euro or foreign currencies, (ii) receipts from interest that are based on securities, (iii) receipts of interest on the basis of given loans, and (iv) receipts from distribution of income of an investment fund in the form of interest, if they are not taxed as profit shares on the basis of the distribution of profit or income of an investment fund. The capital income based on receipts from interest is generally taxable with a tax rate of 12% Capital income tax on interests shall be paid as withholding tax by the payer of the receipt. However, receipts from interest realized by investing into bonds (such as the Notes), irrespective of the issuer and type of bonds are expressly not considered as interest for capital income tax purposes.

Capital income – Capital gains

Capital gains represent the difference between the purchase value and agreed selling price or receipt assessed on the basis of market value of the financial property that is being disposed of. Capital gains also include receipts from disposing of financial instruments and structured products ("**Financial Property**"), *i.e.*, receipts from (i) transferrable securities and structured products (such as the Notes), including shares of companies and other associations whose shares may be disposed of similarly as shares of companies, (ii) money market instruments, (iii) units of joint venture entities, (iv) derivatives, and (v) a proportional part of the salvage value in a case of dissolution of the investment fund and other receipts from ownership shares in a case of dissolution, winding up or withdrawal.

Disposal of Financial Property includes sale, exchange, gift and other types of transfer, but does not include: (i) transfer of shares from one voluntary pension fund to another, (ii) exchange of securities with equivalent securities of the same issuer, provided that the relations among the holders of shares and capital of the issuer are not affected, as well as exchange of securities or financial instruments with other securities or financial instruments, and acquisition of securities or financial instruments in a case of change of status, provided that in all such cases there is no cash flow and the sequence of acquisition of financial property is ensured (where the value assessed on the date of the first acquisition of financial property shall be considered to be the purchase value), (iii) division of stocks of the same issuer, provided that there is no change of share capital or cash flow, (iv) exchange of shares among investment sub-funds of the same umbrella fund, or exchange of shares among investment funds that are managed by the same management company, provided that the sequence of acquisition of financial property is ensured (where the value assessed on the date of the first acquisition of financial property shall be considered to be the purchase value), (v) repurchase of shares of the Croatian War Veterans' Fund, and/or (vi) disposal with debt and money market instruments issued by the Croatian state and local and regional self-government units.

The capital income from capital gains is generally taxable with a tax rate of 12%. Capital income tax on capital gains shall be calculated and paid annually by the holder of the Financial Property, unless this task has been expressly taken over in the name and on behalf of the tax payer by a financial intermediary. However, capital income from capital gains shall not be taxed if the relevant disposal was made (i) between spouses and first-degree relatives and other members of the immediate family, (ii) between divorced spouses, if the disposal is directly related to the divorce, (iii) in relation to inheritance of Financial Property, or (iv) after more than two years from the date of acquisition of Financial Property.

If Financial Property was acquired as a gift and disposed of within two years from the date of acquisition, the capital income shall be assessed as the difference between the purchase value and agreed selling price or receipt assessed on the basis of the market value of the Financial Property that is being disposed of, whereas the date at which the giver acquired the Financial Property is considered to be the date of acquisition, and the market value at the time of acquisition shall be considered to be the purchase value.

Taxation of inheritance and gifts

If Notes are received as an inheritance or gift or acquired on any other basis without compensation on the territory of Croatia, the receiver would be required to pay taxes in the amount of 4% of the market value of the Notes.

The following persons are exempt from taxation: (i) spouse, ancestors and descendants of the deceased person/donor, (ii) individual and legal entities that receive movable property as compensation or for other purposes related to the Homeland War, by the state or local government, (iii) individuals and legal entities that receive gifts or donations for purposes laid down by special regulations, and (iv) humanitarian organizations, religious communities, trusts, foundations and public authorities.

FATCA

Pursuant to certain provisions of the U.S. Internal Revenue Code of 1986, commonly known as FATCA, a "foreign financial institution" may be required to withhold on certain payments it makes ("foreign passthru payments") to persons that fail to meet certain certification, reporting, or related requirements. The Issuer may be a foreign financial institution for these purposes. A number of jurisdictions (including the jurisdiction of the Issuer) have entered into, or have agreed in substance to, intergovernmental agreements with the United States to implement FATCA ("IGAs"), which modify the way in which FATCA applies in their jurisdictions. Under the provisions of IGAs as currently in effect, a foreign financial institution in an IGA jurisdiction would generally not be required to withhold under FATCA or an IGA from payments that it makes. Certain aspects of the application of the FATCA provisions and IGAs to instruments such as the Notes, including whether withholding would ever be required pursuant to FATCA or an IGA with respect to payments on instruments such as the Notes, are uncertain and may be subject to change. Even if withholding would be required pursuant to FATCA or an IGA with respect to payments on instruments such as the Notes, such withholding would not apply prior to the date that is two years after the publication of the final regulations defining "foreign passthru payment". Holders should consult their own tax advisers regarding how these rules may apply to their investment in the Notes.

SUBSCRIPTION AND SALE

The Sole Bookrunner has, in a subscription agreement dated 9 July 2026 (the "**Subscription Agreement**") and made between the Issuer and the Sole Bookrunner upon the terms and subject to the conditions contained therein, agreed to subscribe for the Notes at their issue price of 99.563 per cent. of their principal amount (less the total fees and certain expenses incurred by the Sole Bookrunner in connection with the management of the issue of the Notes). The Issuer has also agreed to indemnify the Sole Bookrunner against certain liabilities in connection with the issue of the Notes. The Sole Bookrunner is entitled in certain circumstances to be released and discharged from its obligations under the Subscription Agreement prior to the closing of the issue of the Notes.

Other relationships

The Sole Bookrunner and its affiliates have engaged, and may in the future engage, in investment banking and/or commercial banking transactions with, and may perform services to, the Issuer and/or its affiliates in the ordinary course of business for which they have received or may receive customary fees and commissions. The Sole Bookrunner and its affiliates may have positions, deal or make markets in the Notes, related derivatives and reference obligations, including (but not limited to) entering into hedging strategies on behalf of the Issuer and its affiliates, investor clients, or as principal in order to manage their exposure, their general market risk, or other trading activities.

In addition, in the ordinary course of their business activities, the Sole Bookrunner and its affiliates may make or hold a broad array of investments and actively trade debt and equity securities (or related derivative securities) and financial instruments (including bank loans) for their own account and for the accounts of their customers. Such investments and securities activities may involve securities and/or instruments of the Issuer and its affiliates. The Sole Bookrunner or its affiliates that have a lending relationship with the Issuer routinely hedge their credit exposure to the Issuer consistent with their customary risk management policies. Typically, the Sole Bookrunner and its affiliates would hedge such exposure by entering into transactions which consist of either the purchase of credit default swaps or the creation of short positions in securities, including potentially the Notes. Any such positions could adversely affect future trading prices of the Notes. The Sole Bookrunner and its affiliates may also make investment recommendations and/or publish or express independent research views in respect of such securities or financial instruments and may hold, or recommend to clients that they acquire, long and/or short positions in such securities and instruments.

General

Neither the Issuer nor the Sole Bookrunner has made any representation that any action will be taken in any jurisdiction by the Issuer or the Sole Bookrunner that would permit a public offering of the Notes, or possession or distribution of this Offering Memorandum (in preliminary, proof or final form) or any other offering or publicity material relating to the Notes (including roadshow materials and investor presentations), in any country or jurisdiction where action for that purpose is required. The Sole Bookrunner has represented, warranted and agreed that it has complied and will comply to the best of its knowledge and belief in all material respects with all applicable laws and regulations in each country or jurisdiction in which it purchases, offers, sells or delivers Notes or possesses, distributes or publishes this Offering Memorandum (in preliminary, proof or final form) or any other offering material relating to the Notes. Persons into whose hands this Offering Memorandum come are required by the Issuer and the Sole Bookrunner to comply with all applicable laws and regulations in each country or jurisdiction in which they purchase, offer, sell or deliver notes or possess, distribute or publish this Offering Memorandum or any other offering material relating to the Notes, in all cases at their own expense.

US

The Notes have not been nor will be registered under the Securities Act or with any securities regulatory authority of any state or other jurisdiction of the US and may not be offered or sold within the US or to, or for the account or benefit of, US person except in accordance with Regulation S or pursuant to an exemption from, or in a transaction not subject to, the registration requirements of the Securities Act and applicable state or local securities laws.

The Sole Bookrunner has agreed that neither it, nor any of its affiliates (nor any person acting on its or their behalf) will offer, sell or deliver the Notes (i) as part of their distribution at any time or (ii) otherwise until 40 days after the later of the commencement of the offering and the closing date, within the US or to, or for the account or benefit of, US persons, and it will have sent to each dealer to which it sells Notes during the distribution compliance period a confirmation or other notice setting forth the restrictions on offers and sales of the Notes within the US or to, or for the account or benefit of, US persons.

In addition, until 40 days after the commencement of the offering of the Notes, an offer or sale of Notes within the US by any dealer (whether or not participating in the offering) may violate the registration requirements of the Securities Act.

Terms used above which are not otherwise defined have the meanings given to them by Regulation S under the Securities Act.

EEA

Prohibition of sales to EEA retail investors

The Sole Bookrunner has represented and agreed that it has not offered, sold or otherwise made available and will not offer, sell or otherwise make available any Notes to any retail investor in the EEA. For the purposes of this provision, the expression "**retail investor**" means a person who is one (or both) of the following:

- (i) a retail client as defined in point (11) of Article 4(1) of MiFID II; or
- (ii) a customer within the meaning of the Insurance Distribution Directive, where that customer would not qualify as a professional client as defined in point (10) of Article 4(1) of MiFID II.

UK

Prohibition of sales to UK retail investors

The Sole Bookrunner has represented and agreed that it has not offered, sold, distributed or otherwise made available and will not offer, sell, distribute or otherwise make available, any Notes to any retail investor in the United Kingdom. For the purposes of this provision, the expression "**retail investor**" means a person who is not a professional client, as defined in point (8) of Article 2(1) of Regulation (EU) No 600/2014 as it forms part of domestic law in the UK by virtue of the EUWA.

Other regulatory restrictions

The Sole Bookrunner has represented and agreed that:

- (i) it has only communicated or caused to be communicated and will only communicate or cause to be communicated an invitation or inducement to engage in investment activity (within the meaning of Section 21 of the FSMA) received by it in connection with the issue or sale of any Notes in circumstances in which Section 21(1) of the FSMA does not apply to the Issuer; and
- (ii) it has complied and will comply with all applicable provisions of the FSMA with respect to anything done by it in relation to any Notes in, from or otherwise involving the United Kingdom.

Singapore

The Sole Bookrunner has acknowledged that this Offering Memorandum has not been registered as a prospectus with the Monetary Authority of Singapore. Accordingly, the Sole Bookrunner has represented and agreed that it has not offered or sold any Notes or caused the Notes to be made the subject of an invitation for subscription or purchase and will not offer or sell any Notes or cause the Notes to be made the subject of an invitation for subscription or purchase, and has not circulated or distributed, nor will it circulate or distribute, this Offering Memorandum or any other document or material in connection with the offer or sale, or invitation for subscription

or purchase, of the Notes, whether directly or indirectly, to any person in Singapore other than (i) to an institutional investor (as defined in Section 4A of the SFA) pursuant to Section 274 of the SFA or (ii) to an accredited investor (as defined in Section 4A of the SFA) pursuant to and in accordance with the conditions specified in Section 275 of the SFA.

Croatia

The Sole Bookrunner has represented and agreed that the Notes have not been and will not be offered, sold, or publicly promoted or advertised in the Republic of Croatia unless in compliance with the Prospectus Regulation (including exemptions from the obligation to publish a prospectus in accordance with the Article 1(4) of the Prospectus Regulation) and the Croatian Capital Market Act (OG No. 65/18, 17/20, 83/21, 151/22, 85/2024, 126/25, 45/2026, and as amended from time to time), or any other laws applicable in the Republic of Croatia governing the issue, offering and sale of securities.

GENERAL INFORMATION

Authorisation

The Issuer has obtained all necessary consents, approvals and authorisations in connection with the issue and performance of the Notes. The issue of the Notes was authorised by the Management Board of the Issuer on 23 April 2026.

Listing and Admission to Trading

Application has been made to the Luxembourg Stock Exchange for the Notes to be admitted to trading on the Luxembourg Stock Exchange's Euro MTF Market and to be listed on the Official List of the Luxembourg Stock Exchange. The Euro MTF Market is a market operated by the Luxembourg Stock Exchange and is not a regulated market for the purposes of MiFID II.

Governmental, Legal and Arbitration Proceedings

There are no, and have not been any, governmental, legal or arbitration proceedings (including any such proceedings which are pending or threatened, of which the Issuer is aware), in the 12 months prior to the date of this Offering Memorandum which may have, or have had in the recent past, significant effects on the financial position or profitability of the Issuer and/or the Group.

Significant /Material Adverse Change

There has been no material adverse change in the prospects and the financial position of the Issuer since 31 December 2025 and there has been no significant change in the financial position or performance of the Group since 31 March 2026.

Material Contracts

There are no material contracts entered into other than in the ordinary course of the Issuer's business which could result in any member of the Group being under an obligation or entitlement that is material to the Issuer's ability to meet its obligations to Holders in respect of the Notes.

Independent Auditors

The unaudited condensed consolidated and separate interim financial statements of the Group and the Issuer as of and for the period ended 31 March 2026 prepared in accordance IAS 34 have been reviewed by PricewaterhouseCoopers d.o.o. of Heinzelova 70, Zagreb. With respect to the unaudited condensed consolidated and separate interim financial statements of the Group and the Issuer as of and for the period ended 31 March 2026, PricewaterhouseCoopers d.o.o., independent auditors, have reported that they applied limited procedures in accordance with professional standards for a review of such information. However, their separate report states that they did not audit and they do not express an opinion on that interim financial information. Accordingly, the degree of reliance on their report on such information should be restricted in light of the limited nature of the review procedures applied.

The audited consolidated and separate financial statements of the Group and the Issuer as of and for the year ended 31 December 2025, prepared in accordance with IFRS, have been audited by PricewaterhouseCoopers d.o.o. of Heinzelova 70, Zagreb.

The audited consolidated and separate financial statements of the Group and the Issuer as of and for the year ended 31 December 2024, prepared in accordance with IFRS, have been audited by BDO Croatia d.o.o. of 10000 Zagreb, Radnička cesta 180.

Documents on Display

Copies of the following documents (and English translations where the relevant documents are not in English) may be inspected free of charge as set out below:

- (a) the constitutional documents of the Issuer;
- (b) the 2025 Annual Report;
- (c) the 2025 Auditor's Report;
- (d) the 2024 Annual Report;
- (e) the 2024 Auditor's Report;
- (f) the 2026 Interim Financial Information;
- (g) the 2026 Review Report;
- (h) a copy of this Offering Memorandum;
- (i) the Fiscal Agency Agreement (which includes the form of Global Certificate); and
- (j) the Deed of Covenant.

Documents (a)-(i), may be inspected during normal business hours at the offices of the Issuer and Agent.

Documents (a)-(h) and (i) only, may be inspected on the website of the Issuer at <https://www.hpb.hr/en/financial-reports-and-other-investors-information/322>.

This Offering Memorandum will be published on the website of the Luxembourg Stock Exchange at: <https://www.luxse.com/>

Yield

On the basis of the issue price of the Notes of 99.563 per cent. of their principal amount, the yield of the Notes, up to (but excluding) the Reset Date, is 4.358 per cent. per annum. The yield is calculated as at the Issue Date on the basis of the issue price. It is not an indication of future yield.

ISIN and Common Code

The Notes have been accepted for clearance through Euroclear and Clearstream, Luxembourg. The ISIN for the Notes is XS3428232204 and the common code for the Notes is 342823220.

The address of Euroclear is 1 Boulevard du Roi Albert 11, B-1210 Brussels, Belgium and the address of Clearstream, Luxembourg is 42 Avenue JF Kennedy, L-1855 Luxembourg, Luxembourg.

Legal Entity Identifier

The Legal Entity Identifier (LEI) code of the Issuer is 529900D5G4V6THXC5P79.

ISSUER

Hrvatska poštanska banka p.l.c.

Jurišićeva ulica 4
HR-10000
Zagreb (Grad Zagreb)
Croatia

SOLE BOOKRUNNER

Morgan Stanley Europe SE

Grosse Gallusstrasse 18
60312 Frankfurt am Main
Germany

AGENT AND AGENT BANK

The Bank of New York Mellon, London Branch

160 Queen Victoria Street
London EC4V 4LA
United Kingdom

TRANSFER AGENT AND REGISTRAR

The Bank of New York Mellon SA/NV, Dublin Branch

The Shipping Office
20 - 26 Sir John Rogerson's Quay
Dublin 2, D02 Y049
Ireland

LEGAL ADVISERS

To the Issuer as to English law

Clifford Chance LLP

10 Upper Bank Street
London E14 5JJ
United Kingdom

To the Issuer as to Croatian law

Wolf Theiss Rechtsanwälte GmbH & Co KG Zagreb

Branch

Ivana Lučića 2A
Zagreb, Croatia

To the Sole Bookrunner as to English law

Dentons UK and Middle East LLP

One Fleet Place
London EC4M 7WS
United Kingdom

To the Sole Bookrunner as to Croatian law

Divjak, Topić, Bahtijarević & Krka Law Firm Llc

Ivana Lučića 2A
Zagreb
Croatia

INDEPENDENT AUDITORS OF THE ISSUER

PricewaterhouseCoopers d.o.o.

Heinzelova 70
Zagreb
Croatia

LISTING AGENT

Arthur Cox Listing Services Limited

Ten Earlfort Terrace
Dublin 2
D02 T380
Ireland

